

OPERATIONAL SOFTWARE
FOR MANUFACTURERS & JOB SHOPS



DBA ACCOUNTING USER GUIDE

General Ledger
Accounts Payable
Payroll Link
International Module

0602

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TABLE OF CONTENTS

1. INTRODUCTION	5
2. HOW THE ACCOUNTING SYSTEM WORKS	7
Accounting system flow chart	19
3. HOW TO GET STARTED	21
4. IMPLEMENTATION	23
Phase 1 – System orientation	24
Phase 2 – Develop numbering schemes	25
Phase 3 – Enter GL chart of accounts (AM-C)	25
Phase 4 – Enter master files	31
Phase 5 – Enter module defaults	31
Phase 6 – Train personnel to use the programs	32
Phase 7 – Activate Accounting (AI-A)	32
Phase 8 - Enter beginning balances	33
Phase 9 – Start using system & check the numbers	36
Implementation checklist	38
5. GENERAL LEDGER	41
General Ledger overview	42
General Ledger file structure	43
How batch posting works	44
General Ledger flow chart	46
How to use departmental accounting	47
How to show sales and COGS on the income statement	49
What to do at period end	50
Fiscal year end procedure	52
How DBA handles current and retained earnings	53
Mfg transactions - post manually or automatically?	55
Consolidating financial statements for multiple companies	56
Setting up checking accounts	57
Checking accounts flow chart	59
Reconciling accounts with bank statements	60
6. ACCOUNTS PAYABLE	63
Accounts Payable overview	64
Accounts Payable flow chart	65
Reconciling vendor invoices with purchase orders	66
Scheduling vendor payments	68
Using history notes and follow-ups	71
7. ACCOUNTS RECEIVABLE	73

8. PAYROLL LINK.....	75
Setting up the Payroll Link (PL-E)	78
Payroll link flow chart	80
Program descriptions	81
9. INTERNATIONAL MODULE	85
Multiple currency startup	88
IM-A International Configuration.....	90
IM-B Enter Multiple Currencies.....	92
Multi-currency processing chart	100
IM-C Enter Currency Exchange Rates	102
IM-D Enter Landed Cost Defaults.....	104
IM-E Enter Landed Cost Duty Codes.....	105
IM-F Enter Landed Cost Customs Fees.....	107
IM-G Enter Tax-In Codes.....	109
10. ACCOUNTING MAINTENANCE.....	111
AM-A Reset General Ledger Close Date	112
AM-B Fiscal Year End Routine.....	112
AM-C Enter General Ledger Accounts	113
AM-D Enter General Ledger Departments.....	115
AM-E Format Standard Financial Statements	117
AM-F Format Custom Financial Statements	123
AM-G Consolidate Financials	133
11. ACCOUNTING DEFAULTS	135
AD-A General Ledger Defaults	136
AD-B Checking Accounts Defaults.....	143
AD-C Accounts Payable Defaults	146
12. MONTH END ACCOUNTING	149
13. IMPORTANT TIMES	155
Things to do daily	155
Things to do monthly.....	156
Thins to do at year end.....	157
Index.....	159

1. INTRODUCTION

Welcome!

Welcome to DBA, an operational software package for manufacturers and job shops. DBA provides a powerful set of tools that will help you control costs, manage inventory, and deliver on time.

This user guide is designed to give you a conceptual grasp of the DBA accounting system. The more up-front time you spend studying the system, the more smoothly and quickly the implementation process will be.

About this user's guide

This user guide focuses on giving you a conceptual grasp of the DBA accounting system and does not attempt to cover all the step-by-step details. Once you understand how the system works, learning to use the individual programs that comprise it is easy.

This is a supplement to the *DBA Manufacturing User Guide*

This user guide is a supplement to the *DBA Manufacturing User Guide*, which covers the manufacturing system and general system information. Refer to that guide for all information except for the specifics of DBA accounting.

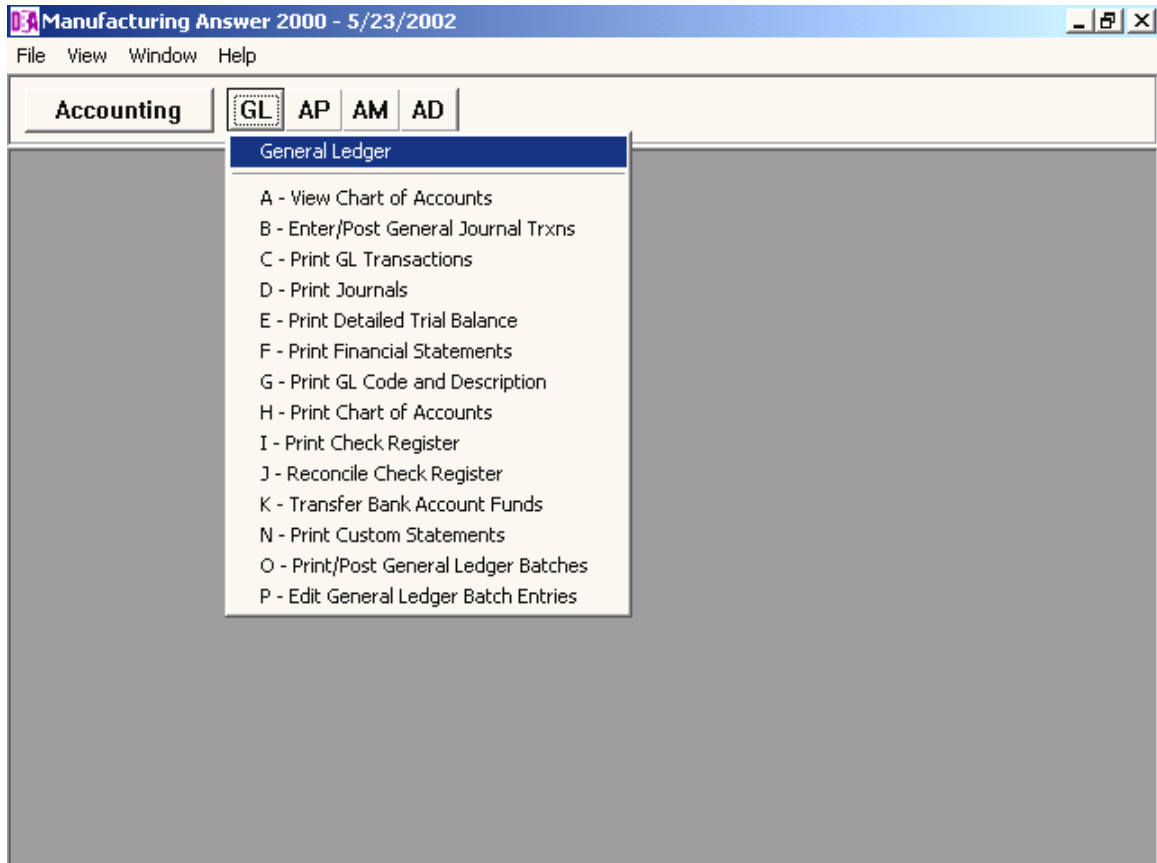
Use on-line help for step-by-step instructions

Step-by-step instructions for all the system's individual programs are found in DBA's extensive on-line help system.

To get help on a topic, click *Help* on the master menu and navigate to your topic using the table of contents or index or search functions. You can also click Help from within any DBA program and open the on-line help specific to that program.

Any help topic can be printed out, if desired.

2. HOW THE ACCOUNTING SYSTEM WORKS



The purpose of this chapter is to describe how DBA's accounting system works so that you will go into the implementation process with a thorough understanding as to how the various elements of the system work together.

Once the accounting system is properly set up, all posting automatically goes to the correct general ledger accounts without your users having to make any accounting decisions or to have any accounting knowledge. The key to a successful accounting implementation lies in setting it up properly at the beginning. We suggest you take the time and study this chapter before entering any data to avoid time-wasting mistakes and get the most out of your accounting system implementation.

The general ledger is the foundation of the system

The general ledger is the foundation of the DBA system. All activities performed throughout the accounting and manufacturing modules post to the general ledger, which collects all financial data and produces financial statements that enable you to evaluate the financial state of your company.

Supporting files and reports backup the general ledger

Not only do all activities post to the general ledger, but supporting transaction files are maintained in the various modules that reconcile with your general ledger balances. Examples of supporting files would be inventory transactions, work order labor transactions, invoice history, payroll history, etc. A variety of reports are available from these supporting files that enable you to analyze company performance in these areas.

Because you have all these supporting files and reports for analysis, you do not have to rely on your general ledger being your primary analysis tool like it is with some accounting systems. Therefore, your chart of accounts can be simplified such that it is designed primarily for the purpose of producing financial statements rather than to serve as a reporting tool for detailed analysis of things such as production data, sales, or product costing. There are far better reports for this type of analysis within the various modules, so it is not necessary to over-complicate the general ledger in an attempt to make it an all-purpose reporting tool.

The general ledger file structure

The general ledger consists of two files: the GL transactions file (BKGLTRAN) and the GL chart of accounts file (BKGLCOA).

The chart of accounts file contains running balances for each month in the current year, one year past, and two years past. Each time a record gets posted to the GL transactions file, the corresponding running balance for that period is updated in the GL chart of accounts file.

General ledger detail reports, such as journals and the detailed trial balance, are derived from data in the GL transactions file. Financial statements are derived from the monthly balances in the GL chart of accounts file.

GL transaction records are all coded with a two-character journal *Type* code. This allows the transactions to be organized into journals for reporting purposes. The journal types are: GJ (general journal), CR (cash receipts), CD (cash disbursements), RS (sales), RP (purchases), PR (payroll), WO (work orders), OT (other) and YE (Year End Close).

DBA also offers departmental accounting

DBA's general ledger account codes consist of a 10-character alphanumeric account code followed by an optional four-character department code.

The department code allows you to create departmental sub-accounts within a base GL account. When you run financial statements, you have the option of limiting the report to one department or a range of departments, or departmental detail can be ignored and the detail will roll into a single figure for the base GL account.

Normally the use of departmental accounting in DBA is confined to income and expense accounts only. It is difficult to maintain balance sheet accounts such as

inventory and accounts receivable by department because the supporting files that supply the reconciliation reporting with the general ledger are not organized departmentally.

DBA uses a batch transfer to the permanent general ledger

General ledger transactions from activities performed throughout DBA do not immediately post to the permanent general ledger. Instead, they first post to a temporary file (BKGLTEMP) and from there you can select groups of transactions for batch transfer to the permanent general ledger. This batch transfer takes place in the *Print/Post General Ledger Batches* program.

This batch transfer capability gives you complete control over what goes into your permanent general ledger. When you select a batch for transfer, the program verifies that all GL accounts are valid and that the batch is in balance. You can print out your batches before transfer and edit any entries that may need changes through the *Edit General Ledger Batch Entries* program.

Unlike traditional batch-oriented accounting systems where you must enter batch numbers and print out control totals, etc., DBA's batch processing is extremely flexible. A batch is whatever you want it to be. It can be all system entries for a day or date range, or it can be narrowed down to specific batch types such as cash receipts, cash disbursements, sales, purchases, etc.

If you want to achieve what is more or less a "real time" general ledger, simply run the batch transfer program once or twice a day. Select all transactions. Running the program frequently in this manner involves few steps and will run quickly.

Another advantage to running the batch transfer program daily or semi-daily is that should any corrections be required to any of the transactions, there are fewer transactions to sift through and the transactions themselves are fresh and therefore easier to track down should any errors be found.

DBA is an inventory and WIP driven system

Unlike non-manufacturing accounting systems, expenses for labor, materials, outside processing, and overhead are not directly expensed each month. Instead, these costs are absorbed into your manufactured items during the work order process and are then transferred to inventory where they sit on your books as an asset. Only when you invoice the manufactured items do you then realize an expense, which is in the form of cost-of-goods-sold.

In a manufacturing company you have two inventories: an on-hand inventory (consisting of finished goods, semi-finished goods, and raw materials) and a work-in-process (WIP) inventory (consisting of uncompleted work orders in various stages of progress). Labor, materials, outside processing, and overhead costs flow into your WIP inventory. Whenever manufactured items get completed and transferred out of WIP to on-hand inventory, these costs comprise the overall cost of the items in inventory. Once in on-hand inventory an item can be sold (invoiced) to a customer, or can be issued to work orders (as in the case of

subassemblies).

This method of absorbing production costs into your inventory and realizing the expense only at the time of sale insures that your revenues (sales) are aligned with your cost-of-goods-sold. This lets you truly know whether and how much money you are making or losing in any given period.

The alternative to absorbing costs into your inventory, which is to directly expense your production costs, will result in wild swings in your reported income from period to period and will cause you to lose the ability to accurately evaluate your profitability.

Even job shops are inventory-driven

Some job shops purchase everything solely for each job and strive not to carry any inventory and thus object to being told they have an inventory driven system.

From a philosophical standpoint, yes, job shops that purchase solely for each job do not carry an inventory; however, from an accounting point of view, all manufacturing companies, including job shops, technically have inventory.

In the case of the job shop that purchases solely for the job, inventory is still involved in two respects. One, there is always a WIP inventory as costs are accumulated for labor, materials, outside processing, and overhead during the work order process. Two, there is on-hand inventory between the time that items are finished and invoiced, even if invoicing occurs on the same day items are completed.

This basic concept of absorbing costs into WIP inventory and transferring the finished items to inventory and recognizing the costs only when items are invoiced applies to all manufacturing companies, including job shops.

Item classes optionally control inventory GL posting

In DBA all items, including finished goods, subassemblies, and raw materials, are assigned to item classes. Each item class is set up with general ledger account codes for inventory (asset), cost-of-goods sold (expense), sales (income), and WIP inventory (asset).

Whenever an item is transferred to on-hand inventory (either as a finished good from a work order or as a direct purchase on a purchase order), the inventory GL account for the item's class gets debited. When an item gets invoiced, the inventory GL account for the item's class gets credited and the cost-of-goods-sold GL account for the item's class gets debited. When labor, material, outside processing, and overhead get charged to a work order, the WIP GL account for the item class of the item being manufactured gets debited.

Through the use of item classes, users in the manufacturing side of the system are completely shielded from any general ledger and accounting issues and do not need any accounting knowledge. Once item classes are established, all that is required of the manufacturing people is that they assign items to the appropriate item class and the general ledger posting is automatically taken care of.

Great care, then, should be taken in the set up of item classes. Not only are item classes used to control general ledger posting, they are also used to organize item numbers into meaningful groupings for reporting and analysis purposes. Therefore, for reporting purposes you might have many more item classes than are needed purely for general ledger purposes; in fact, many item classes may have identical GL account codes.

Absorbing labor and overhead into WIP inventory

Besides the product classes, there are three other default general ledger account codes that are essential to the manufacturing process. They are the *Absorbed Labor* GL account, the *Absorbed Fixed Overhead* GL account, and the *Absorbed Variable Overhead* GL account.

These three accounts are to be located in the expense section of the chart of accounts. *Absorbed Labor* is normally located immediately after your direct labor expense accounts. *Absorbed Fixed Overhead* is normally located immediately after your fixed overhead expense accounts, and *Absorbed Variable Overhead* is normally located after your variable overhead expense accounts.

Whenever labor is reported to work orders, these three accounts are credited and the *WIP* account of the item class for the item being manufactured is debited (fixed and variable overhead rates are applied by the system as a percentage of labor, so all three accounts – labor, fixed overhead, variable overhead – are posted to whenever labor is reported).

The challenge in a manufacturing accounting system is to set up your labor and overhead rates such that your actual labor and overhead for the period exactly equal the labor and overhead that was absorbed into your WIP inventory for the period. See *How labor and overhead rates are established* further below for details on how these rates are established.

Direct labor

On your income statement you would first list your *direct labor* GL accounts actually paid or accrued for the period (which will be debit balances) followed by the GL account for *Absorbed Labor* (which will be a credit balance). Ideally, the debit amounts for the actual direct labor will exactly equal the credit amount for the absorbed labor, thus canceling each other out and bringing your direct labor expense down to zero. This zero balance means that your direct labor for the period was accurately absorbed 100% into your WIP inventory.

In real life, however, it is rare for absorbed labor to ever exactly equal your actual direct labor. The difference represents what is called your *labor variance*. This variance amount is normally adjusted via a journal entry at month end. See *Month end manufacturing adjustments* further below for details.

Fixed overhead

Fixed overhead is handled the same way. On your income statement you would first list your fixed overhead GL accounts actually paid or accrued for the period (which will be debit balances) followed by the GL account for *Absorbed Fixed*

Overhead (which will be a credit balance). Ideally, the debits and credits will cancel each other out, bring your fixed overhead expense down to zero. This zero balance means that your fixed overhead for the period was accurately absorbed 100% into your WIP inventory.

In real life, however, you will never get your absorbed fixed overhead to ever exactly equal your actual fixed overhead. The difference represents what is called your *fixed overhead variance*. This variance amount is normally adjusted via a journal entry at month end. See *Month end manufacturing adjustments* further below for details.

Variable overhead

Variable overhead is handled exactly the same as fixed overhead. On your income statement you would first list your variable overhead GL accounts actually paid or accrued for the period (which will be debit balances) followed by the GL account for *Absorbed Variable Overhead* (which will be a credit balance). Ideally, the debits and credits will cancel each other out, bring your variable overhead expense down to zero. This zero balance means that your variable overhead for the period was accurately absorbed 100% into your WIP inventory.

In real life, however, you will never get your absorbed variable overhead to ever exactly equal your actual variable overhead. The difference represents what is called your *variable overhead variance*. This variance amount is normally adjusted via a journal entry at month end. See *Month end manufacturing adjustments* further below for details.

How labor and overhead rates are established

As you can see from the previous section, setting accurate labor and overhead rates are important. You want to set rates that accurately absorb labor and overhead into your WIP inventory so that absorbed costs for the period are as close as possible to your actual costs.

Arriving at accurate rates for labor and overhead is straightforward. In the case of labor, take your actual direct labor for the period divided by the actual number of direct labor hours for the period, and you will have an average hourly labor rate. In the case of either of the overhead categories, determine which expenses comprise each type of overhead, then take your total actual overhead for the period divided by the number of direct labor hours for the period, and you will have an accurate hourly overhead rate.

Each month you will want to review your *labor variance*, *fixed overhead variance*, and *variable overhead variance* amounts. If these variances grow beyond what is an acceptable range, you want to adjust your labor and overhead rates so that the next month's absorbed costs are as close to reality as possible.

DBA offers two type of labor processing: Labor part numbers and Routings.

Labor Part Numbers

If you are using labor part numbers, labor is set up in the inventory database with

a part number(s) and is included in your bills of material as a component. Labor is then “issued” to work orders just as if it were a material component. When you set up the labor part number, it is set up as a type “L” part number (L=Labor) and against the part number you can set up a standard cost for labor, fixed overhead, and variable overhead. Whenever labor gets issued to work orders, costs are charged to your *Absorbed Labor*, *Absorbed Fixed Overhead*, and *Absorbed Variable Overhead* GL accounts. If your monthly variances for these accounts indicate a need for rate adjustments, change the standard costs on your labor part number(s), which is done through the *Enter Standard Costs* program.

Routings

If you are using the *Routings* module, labor is not included in your bills of material. Instead, labor is defined in *routings*, which are bills of labor sequences (operations). The factory is organized into work centers, and each labor sequence is designated to take place in a particular work center. It is in the work centers where rates are established for labor, fixed overhead, and variable overhead. If your monthly variances for these accounts indicate a need for rate adjustments, change the rates in your work centers, which are done via the *Enter Work Centers* program.

Manufacturing posting can optionally be done with journal entries

DBA’s manufacturing system, which includes all activities performed in the work orders, purchase orders, and inventory modules, is fully integrated with the general ledger, meaning that every single activity performed creates transaction records that will ultimately get posted to the general ledger. This means that each time a component is received to inventory or is issued to a work order, or labor is reported, or an item is completed, or inventory gets adjusted, transaction records are created in the general ledger.

As you can imagine (when you think of all the activities that occur in a manufacturing system every single day), this automatic posting creates a tremendous number of general ledger transaction records. Having this much detail in the general ledger is not necessary for reporting purposes because the same detail (and more) is maintained in the supporting files and reports in the manufacturing modules.

An alternative to automatic posting is to switch it off (which can be done through the *General Ledger Defaults* program) and make journal entries at the end of each month to your manufacturing GL accounts via the *Post General Journal Trxns* program.

Manual inventory accounting requires, at the most, only a dozen journal entries. The entire procedure will only take you a few minutes at the end of each period.

An alternative to making journal entries is to keep the automatic posting switched on, but periodically consolidate the general ledger transaction detail into summary balances as described in the next section.

GL detail can be consolidated for manufacturing data

As discussed previously, the manufacturing system (work orders, purchase orders, inventory) creates large numbers of general ledger transactions. Having all this detail in your general ledger is not necessary for reporting purposes because the same detail (and more) is maintained in the supporting files and reports within the modules.

As discussed in the previous section, manufacturing posting can be switched off and done at month end via journal entries. An alternative to making manufacturing journal entries is to periodically consolidate your general ledger transactions into summary balances.

DBA offers a *Consolidate General Ledger Detail* program that compresses general ledger transactions into single monthly debit and credit totals for each journal type. This program can be run by a range of dates and GL accounts and filter by journal type, so you can be highly selective as to which detail you wish to compress. A good approach would be to keep all the detail for 60 or 90 days so that it's available for short-term reference, but after that consolidate it, knowing that you have complete transactional backup data in the supporting files in the various modules.

DBA automatically accrues liability for PO's received but not invoiced

Many vendors do not send you an invoice with their shipments. In fact, it often can be days or even weeks before you get an invoice for materials or services that you have purchased and received. From an accounting point of view, however, you incurred a liability when you received the shipment because the goods or services are now in your possession and you owe for them whether you've been invoiced yet or not. This liability should be reflected on your books. With many accounting systems this requires a tedious month end procedure whereby these transactions have to be summed up and a journal entry made to reflect these non-received invoices.

In DBA this liability is automatically handled by the system in the following manner. When a purchase order is received, each line item will either be received into inventory or will be charged to a work order. Either the inventory account or the WIP account of the item's item class will be debited for the line item dollar amount entered on the purchase order. The total purchase order dollar amount received is then posted as a credit entry to a default GL account named *PO's Received Not Invoiced*, which is a liability account located in the chart of accounts next to your *Accounts Payable* account. The liability hits your books the moment the purchase order is received and no month end adjustment is needed.

What happens when the vendor's invoice finally arrives? The vendor invoice is processed through the *Enter PO Invoices* program where it can be compared against the purchase order receipt. The program makes a debit entry to *PO's Received Not Invoiced* and credits *Accounts Payable*. This transaction serves to back the original entry out of the *PO's Received Not Invoiced* account, bringing it

down to zero for this transaction, and into the *Accounts Payable* account now that an actual invoice has been received. If the purchase order amount differs from the vendor invoice, the full amount is posted to *Accounts Payable* and adjustments are automatically made by the program to the appropriate inventory and WIP accounts.

Payables are derived from purchase orders and AP vouchers

In DBA any items or services that are purchased for inventory or for work orders must be processed with a purchase order in the *Purchase Orders* module. Vendor invoices are compared with purchase orders and are moved into the accounts payable system through the *Enter PO Invoices* program.

Vendor invoices that are not related to purchase orders, such as rent, utilities, insurance bills, etc., are entered into the accounts payable system through the *Enter AP Vouchers* program.

Once vendor invoices and vouchers are processed through either method above and are in the accounts payable system, they are then tracked and selected for payment through the *Accounts Payable* module.

DBA Accounting is an open system with no period or yearly closes.

Unlike many accounting systems, there is no formal period end or yearly closing required with DBA. You can freely post to any period in the current or one or two past years.

DBA does have a *GL Close Date*, however, that will not allow posting to any period prior to that date. The *GL Close Date* is normally set by your company controller and serves to “close” prior periods to other users. With the *GL Close Date* capability DBA is closed when *you* consider it closed, not due to any requirement within the program itself.

If for some reason you need to make entries to what you consider to be a closed period, you can temporarily change the *GL Close Date*, make your entries, then restore the date.

Which modules interact with the general ledger?

The following modules post transactions to the general ledger and are therefore integrated with the accounting system: *Work Orders*, *Data Collection*, *Purchase Orders*, *Inventory*, *Sales Orders*, *Sales Commissions*, *Accounts Receivable*.

If you are using the *CheckMark* payroll package, it integrates with the DBA general ledger, as well as the *Accounts Payable* and *Work Orders* modules.

Which modules do *not* interact with the general ledger?

The following modules have no interaction with the general ledger; however, they are integrated with accounting in the sense that they share certain data files such as vendors and customers: *Estimating*, *Material Requirements*, *Scheduling*, *Bills of Material*, *Routings*, *Contact Manager*, *Features & Options*.

Period end manufacturing adjustments

To complete your period end manufacturing accounting, three variances should be evaluated to review the accuracy of labor and overhead rates. Journal entries reflecting these variances may be posted to the general ledger, if desired.

Calculate your *Labor Variance* for the period by comparing actual direct labor with your *Absorbed Labor* account and post appropriate adjusting entries to your *WIP Variance* (expense – adjacent to *Cost-of-Goods-Sold* account) and *Labor Variance* (expense – adjacent to *Cost-of-Goods-Sold* account) GL accounts.

Calculate your *Fixed Overhead Variance* for the period by comparing your actual fixed overhead with your *Absorbed Fixed Overhead* account and post appropriate adjusting entries to your *WIP Variance* (expense – adjacent to *Cost-of-Goods-Sold* account) and *Fixed Overhead Variance* (expense – following *Labor Variance* account in *Cost-of-Goods-Sold* section) GL accounts.

Calculate your *Variable Overhead Variance* for the period by comparing your actual variable overhead with your *Absorbed Variable Overhead* account and post appropriate adjusting entries to your *WIP Variance* (expense – adjacent to *Cost-of-Goods-Sold* account) and *Variable Overhead Variance* (expense – following *Fixed Overhead Variance* account in *Cost-of-Goods-Sold* section) GL accounts.

Period end control reports insure the accuracy of your GL data

A good accounting practice at period end is to print a series of control reports from DBA's supporting files so that the amounts on them are reconciled with certain critical general ledger account balances to ensure the accuracy and reliability of your general ledger data. These control reports are as follows.

Print AP Aging should agree with the balance in your *Accounts Payable* account. *Print AR Aging* (Include Deposits = N) should agree with the balance in your *Accounts Receivable* account. *Print Check Register* should agree with the account balances for each of your bank accounts. *Print Inventory Value* should agree with the balance(s) in your *Inventory* account(s). *Print WIP Summary* should agree with the balance in your *WIP* account. *Print Received not Invoiced* should agree with the balance in your *PO's Received not Invoiced* account. All these reports except *Inventory Value* and *PO's Received Not Invoiced* are date based and can be run at any time as of a prior date so there is no reason to hold off processing the next period entries if you have not run them.

Other period end procedures (none of which are required)

You are not required to do anything at period end in DBA accounting in order to begin transactions in the next period. There is no period end "close" like there is with many accounting systems. There are, however, a set of period end procedures that are recommended as sound accounting practices. These are detailed in chapter 18, *Month End Accounting*.

Besides making journal entries for your manufacturing variances and running your reconciliation reports, both described previously, other things to do would

include the following.

- Reconcile the check register with your bank statement.
- Charge interest on overdue invoices and mail statements.
- Generate any recurring invoices, payments, or general journal transactions.
- Transfer sales taxes due to accounts payable.
- Transfer any commissions due to accounts payable and *CheckMark* payroll.
- Clear any data files that are no longer needed, such as closed sales orders and purchase orders and fully paid customer invoices and AP vouchers.
- Make general journal entries for any month end adjustments such as depreciation, as well as any recurring or reversing general journal entries that may be required.
- Print financial statements

Fiscal year end procedure

At fiscal year end you normally run the *Fiscal Year End Routine* on the first day of the new fiscal year. The program moves the current year GL chart of accounts balances one year back, opens up balances for the new fiscal year, updates the beginning balances in all asset, liability and owners equity accounts, clears the beginning balances in all income and expense accounts, and creates year end entries in your *Retained Earnings* account.

This procedure does not “close” the prior year. As mentioned previously, DBA is an open system that does not have formal “closes.” You can continue to make entries to the prior year indefinitely. Entries posted to prior year income and expense accounts will automatically generate closing entries to the *Retained Earnings* account.

DBA is a multiple company system

DBA can accommodate a virtually unlimited number of companies. Additional companies are created through the *Create/Delete Company* program. With this program you can copy the data from one company to another. Often your other company(s) will use the same chart of accounts or may share the same vendors or customers. Using the data copy feature eliminates having to enter the data twice. DBA also has a useful program, *Clear Data*, that allows you to selectively clear data from portions of the system, such as keeping certain master files but deleting transactions. This enables you to copy the data from one company to another, then clear the data that does not apply to the new company.

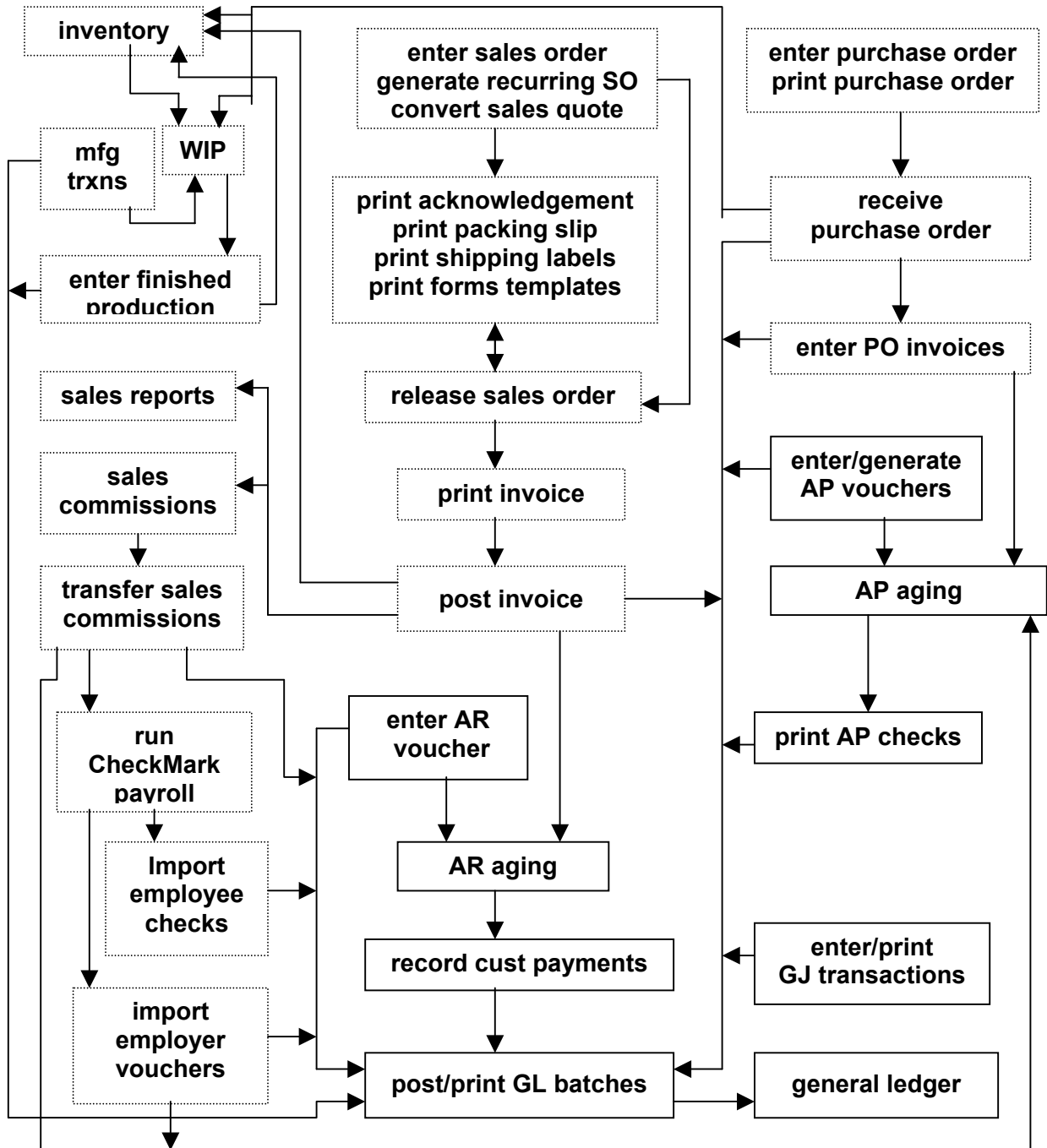
Another use of *Create/Delete Company's* data copy feature is to create temporary companies that are copies of your real company for training purposes, so that trainees can work with the real company's data files without fear of making mistakes. When training is finished, the temporary company can be deleted.

If your multiple companies share common GL account codes, you can merge their financial statements into single financial statements through the *Consolidate Financials* program.

Summary

Unlike generic accounting systems, DBA is optimized for the needs of manufacturing companies. With proper set up of item classes and the various default GL account codes, all posting goes to the correct GL accounts without your users having to make any accounting decisions or to have any accounting knowledge. DBA's flexible batch posting concept and open system design (with no monthly or yearly "closes") minimizes the required number of accounting steps and procedures without sacrificing any functionality.

Accounting system flow chart



3. HOW TO GET STARTED

If you've already implemented manufacturing

If you've already got the manufacturing system up and running, implementing the accounting system will be relatively easy. You are already quite familiar with DBA and it's just a matter of following the checklists in the next chapter.

If you are implementing both systems simultaneously

If you are implementing manufacturing and accounting at the same time, it will take more up front planning and coordination.

The most common question asked by first time users of a comprehensive system such as DBA is “how do I get started?” When you first look at a system with as many modules and features as DBA it can seem overwhelming, but when you break the system down into its component parts it is far simpler than it first appears.

The first thing to be aware of is that DBA is not creating any new areas of activity that will increase your workload, but instead is giving you a system to plug into that formalizes what every company already does. All companies have a planning system whether they know it or not, it's just that in some companies it is highly informal and relies more on expediting, hot lists, spreadsheets, etc.—but it is still a system.

If you are moving over to DBA from a system that already has full accounting and manufacturing, you will implement far more quickly because you are already comfortable with routings, bills of material, and work orders. If it is your first system, however, some of this will seem foreign to you and may even seem to be extra work without an immediate payoff. This is a natural reaction that will pass over time as the benefits of an integrated system start becoming apparent.

Study the user guides first

We've tried with our two user guides to help you get a conceptual grasp of the system. We suggest you review the overview chapters at the beginning of each user guide first. After reviewing the overview chapters you should study the chapters on each module to get a feel for how they function.

Once you have studied the overview chapters you can then move on to chapter 4, *Implementation*, which provide step-by-step implementation guidelines.

Consider implementing manufacturing first

Be aware that it is not necessary to implement the DBA accounting system in order to use the DBA manufacturing system. It is far easier to implement manufacturing first and tackle accounting later than it is to implement both systems at the same time.

In fact, you can implement in three stages: manufacturing first, then the sales

system, and finally the accounting system.

There are many situations, though, where it is necessary to install the entire system all at once. If so, take extra care in your up-front planning.

Follow the checklists

When you do actually begin implementation carefully follow the implementation checklists found in chapter 7 of the *Manufacturing User Guide*, and chapter 4 of this guide. They walk you through the implementation phases in the proper sequence and insure that everything is set up correctly, including all your default settings. Setting things up correctly in the beginning will save you a lot of headaches later.

Is it necessary to run in parallel?

Some companies choose to run their old system and the new system in parallel with one another for a period of time to verify that the new system is working correctly. While this is certainly a valid method of checking the integrity of the new system, it is extremely stressful on employees due to the fact that every data entry task literally has to be done twice.

We feel that running parallel is not necessary if you carefully check the numbers that are being produced during the first few weeks of using the new system. In the following implementation chapters we recommend a series of reports that we suggest you run daily for this purpose.

If you feel you must run in parallel, we suggest you do so for the shortest time possible.

Ask our help

When you have questions during the implementation period, don't hesitate to call our Customer Support department for help (800-434-0809). Most of our support staff have personally been through several implementations and can give you valuable advice that can save you a lot of time.

Above all, stay patient and remember that the implementation period is always a strain because for a while everyone is doing extra work in keeping the company running and working on the implementation at the same time. Once you get through it, though, things normalize and you one day will wonder how you ever managed things without all the tools you now have at your disposal.

4. IMPLEMENTATION

This chapter covers all the steps required to implement DBA Accounting.

If you are implementing accounting after manufacturing

More often than not the accounting system is implemented after manufacturing is up and running. If you implement manufacturing first, you will be highly familiar with DBA and will be able to implement accounting relatively easily.

If you are implementing both systems simultaneously

If you are implementing accounting simultaneously with the manufacturing system, it requires careful coordination. You must combine the implementation steps outlined in this chapter with those outlined in chapter 7 of the *DBA Manufacturing User Guide*.

We urge you to do as much advance planning as possible before entering data. Spending time up front planning the implementation will save you significant time over the long run by helping you avoid time-wasting and costly mistakes.

Planning up front will save you time

Implementing a system involves many elements. Spending time up front planning the implementation will save you significant time over the long run by helping you avoid time-wasting and costly mistakes.

The implementation process consists of eight phases, described below. Over the rest of this chapter each phase and its component parts will be described in detail. At the end of the chapter is an *Implementation Checklist* for your reference.

Phase 1 – System orientation

Before entering any data we suggest you browse this manual and familiarize yourself with the system. Of particular importance are the overview chapters 2-3.

Phase 2 – Develop numbering schemes

DBA uses various codes to identify things such as vendors, customers, payment terms, etc. If you do not already have such codes developed, give careful thought to how you want these codes numbered and organized.

Phase 3 – Enter GL chart of accounts (AM-C)

In this phase you will enter a complete chart of accounts. We provide a list of mandatory GL accounts that are used as default accounts within various programs.

Phase 4 – Enter master files

Master data files must be set up for items such as the terms table, vendors, customers, employees, and financial statements.

Phase 5 – Enter module defaults

Each module has default settings that allow you to specify various preferences within the application programs.

Phase 6 – Train personnel to use the programs

During phase 6 you should see that your personnel are trained to use the various system programs.

Phase 7 – Activate Accounting

You are now ready to activate accounting via *AI-A, Accounting Configuration*.

Phase 8 – Enter beginning balances & open orders

When you are ready to begin using the system you need to enter beginning balances for GL accounts, AP aging, and AR aging.

Phase 9 – Begin using system & check the numbers

When you first start using the system, there are various reports you want to run on a daily basis to make sure that the system is generating complete and accurate information.

Phase 1 – System orientation

Study this user guide

Before entering any data we suggest you study this user guide and familiarize yourself with the system. Of particular importance is chapter 2, *How the Accounting System Works*.

Look at sample company 99

A sample company 99, *The Manufacturing Answer*, is supplied with the system. The sample company allows you to print reports and run programs without having to wait for all your own data to be entered. It can also be used for reference to see how another company has been set up. To access the sample company, click on *File* at the top of any of the master menus and then click on the *Change Company* option on the *File* menu.

DBA is a multi-company system. If after you've built up your files you want to practice on your own data, you can make a copy of your company to another company number and then experiment running the various programs in that company. Later on you can erase that company when it is no longer needed or keep it as an ongoing training vehicle. For instructions on setting up additional companies, see UT-I, *Create/Delete Company*.

Phase 2 – Develop numbering schemes

Most items that need numbering schemes are in the manufacturing system and are covered in chapter 7 of the *DBA Manufacturing User Guide*. The following items are used by the accounting and sales systems. Once numbering schemes are established they are difficult to change, so give them careful thought before entering actual records.

General Ledger account codes

Careful thought should be given to your chart of accounts structure. You should group each of your account types in a continuous number group. For example, your asset accounts might all be numbered from 1000 to 1999, your liabilities from 2000 to 2999, etc.

GL-F, *Print Financial Statements*, provides for subtotals on a from/thru range of accounts. Therefore, sets of accounts that would be subtotaled on financial statements should be grouped together with gaps in the numbers to allow insertion of new accounts that may be created at a later date.

See *DBA Manufacturing User Guide* for list of other items

A number of items used by both manufacturing and accounting are listed and detailed in chapter 7 of the *Manufacturing User Guide*. These include terms codes, customer codes, customer class codes, vendor codes, and vendor class codes.

Phase 3 – Enter GL chart of accounts (AM-C)

In phase 3 you will enter a complete chart of accounts. You may want to use your existing chart of accounts; however, you should take a fresh look at your chart of accounts design in view of some of DBA's features.

Because DBA is a manufacturing system, there are some new GL accounts for manufacturing that most likely are not found in your existing chart of accounts.

Another thing to be aware of is that with DBA you can simplify your chart of accounts because the system maintains supporting detail in other files such that you don't have to rely on your *General Ledger* for keeping all that detail. Examples of supporting files would be inventory transactions, work order labor transactions, invoice history, and payroll history. A variety of reports are available from these supporting files that enable you to analyze company performance in these areas.

Because you have all these supporting files and reports for analysis, you do not have to rely on your *General Ledger* being your primary analysis tool like it is with some accounting systems. Therefore, your chart of accounts can be simplified such that it is designed primarily for the purpose of producing financial statements rather than to serve as a reporting tool for detailed analysis of things

such as production data, sales, or product costing. There are far better reports for this type of analysis within the various modules, so it is not necessary to over-complicate the *General Ledger* in an attempt to make it an all-purpose reporting tool.

GL accounts are set up in AM-C, *Enter General Ledger Accounts*. To get a printout of the GL account codes you have entered, run GL-G, *Print GL Code and Description*.

You must set up GL account codes for the following items that are used as defaults by various programs within the accounting system.

Current Earnings (owner's equity)

Current Earnings is the account that holds the net income/loss for the current fiscal year. At fiscal year end these amounts get transferred to the *Retained Earnings* account when AM-B, *Fiscal Year End Routine*, is run.

Retained Earnings (owner's equity)

This is where the earnings for previous years are saved. When you run AM-B, *Fiscal Year End Routine*, the year-to-date amount in the *Current Earnings* account will be added to this account.

Clearing Account (owner's equity)

This account is used if a GL account code is not found during a posting. You must enter a GL clearing account code. If you do not set up this account, any GL account not found during a posting will result in a transaction that will put your accounts out of balance. By using this clearing account, you can ensure that no transactions will be lost. We recommend an account number such as 99999, so that it is always at the end of your chart of accounts. It is important that this account be made a type "O" account (Owner's Equity).

Accounts Payable (liability)

The account code for your *Accounts Payable* GL account.

AP Discounts Taken (contra-expense or income)

If your vendors offer discount terms on their payables, the system will post those discounts to this account. This can be either an expense or income account.

Accounts Receivable (asset)

The account code for your *Accounts Receivable* GL account.

AR Discounts Taken (contra-income or expense)

If you offer discount terms on your receivables, the system will post those discounts to this account. This account can also be set up as an expense.

AR Interest Charged (income)

If you charge your customers interest on overdue invoices, the system will post the interest to this account.

AR Customer Deposits (liability)

The account code for any customer deposits (prepayments) that will eventually get applied to invoices. Deposits are kept in a separate account so as not to be mingled with *Accounts Receivable*. Customer deposits can be entered through AR-N, *Enter/Print Deposits*, or through AR-C, *Record Payments*.

SALES GL ACCOUNTS**Taxable Sales (income)**

Taxable sales are recorded to this account. You can set up one account and use it system-wide, or you can set up different accounts at the item class level via SM-C, *Enter Item Classes*.

Non-Taxable Sales (income)

This account records non-taxable sales. If you don't distinguish between taxable and non-taxable sales in your *General Ledger*, you can use the same account for both taxable and non-taxable sales. You can set up one account and use it system-wide, or you can set up different accounts at the item class level via SM-C, *Enter Item Classes*.

Invoice Freight Out (income or contra-expense)

The account you charge for freight that is invoiced to customers.

Sales Tax Withheld (liability)

The GL account(s) for posting sales taxes collected through invoicing. Each tax authority can have a separate account or they can all share the same account.

Retention (asset)

The sales order module has the capability of handling retention billing, whereby a percentage of an invoice is held back and billed later. A GL account is needed to temporarily hold retention amounts when the original invoice gets posted, but the newly created sales order for the retention does not get posted. When the retention sales order finally does get posted, the dollars get credited from the retention GL account and get debited to your default AR account.

Agents Commissions Payable (liability)

Whenever invoices or customer payments are posted that include sales commissions payable to agents, the program will credit the commission amount to the GL account entered here. A corresponding debit will be posted to the *Agents Commission Expense* entered in the next field below. When commissions are transferred through CS-D, Transfer Sales Commissions, this account gets debited and your default *Accounts Payable* account gets credited.

Agents Commission Expense (expense)

When invoices or customer payments are posted that include commissions payable to agents, this account gets debited for the commission amount.

MANUFACTURING GL ACCOUNTS

Inventory (asset)

Each item can be assigned to inventory when received from purchase orders or work orders. Some companies prefer to lump all inventory into one GL account; others break it out into separate inventories for raw materials, semi-finished goods (subassemblies), and finished goods. You can set up one account and use it system-wide for all items, or you can set up different accounts at the item class level via SM-C, *Enter Item Classes*.

Cost-of-Goods-Sold (expense)

This is an expense account that is normally located after your income accounts. This account gets debited when invoices are posted. You can set up one account and use it system-wide, or you can set up different accounts at the item class level via SM-C, *Enter Item Classes*.

Absorbed Freight In

If you will be using the *Freight Pct* field in IN-B, *Enter Inventory*, to absorb freight into your inventory cost, this is the account to which the credit side of the entry will be posted (the debit will be to the item's *Asset* account). If you plan on absorbing all your freight into the inventory, you can contrast the month end value of this account with your actual *Freight In* account to see how close to reality your *Freight Pct* settings are.

PO's Received not Invoiced (liability)

This account is set up adjacent to your *Accounts Payable* account. When purchases or services are received, this account gets credited. When the vendor invoice is received and entered, this account gets debited and your *Accounts Payable* account gets credited.

PO Freight In (expense)

This is the account that registers the amount of freight vendors add to their invoices for shipping orders to you.

PO Sales Tax Expense (expense)

If you are charged tax on purchase orders, the system will post these amounts to this account.

Extra Costs (expense)

Extra costs are work order costs that are not handled through purchase orders, nor are they tied to specific routing sequences. This account is an expense that gets credited when extra costs are entered; the manufactured item's *WIP* account gets debited. Later, when the vendor invoice gets entered through an AP voucher, the account gets debited and *Accounts Payable* gets credited. This posting sequence serves to absorb these extra costs into the overall cost of the item being manufactured.

Miscellaneous Costs (expense)

These are costs that apply to specific routing sequences (tooling, as an example) that are not handled through purchase orders. This is an expense account that gets credited when miscellaneous costs are entered; the manufactured item's *WIP* account gets debited. Later, when the vendor invoice gets entered through an AP voucher, the account gets debited and *Accounts Payable* gets credited. This posting sequence serves to absorb these costs into the overall cost of the item being manufactured.

Absorbed Labor (expense)

On your income statement you would first list your *direct labor* GL accounts actually paid or accrued for the period (which will be debit balances) followed by the GL account for *Absorbed Labor* (which will be a credit balance). Ideally, the debit amounts for the actual direct labor will exactly equal the credit amount for the absorbed labor, thus canceling each other out and bringing your direct labor expense down to zero. This zero balance means that your direct labor for the period was accurately absorbed 100% into your WIP inventory. You can set up one account and use it system-wide, or you can set up different accounts at the item class level via SM-C, *Enter Item Classes*.

Labor Variance (expense)

In real life, however, it is rare for absorbed labor (see above) to ever exactly equal your actual direct labor. The difference represents what is called your *labor variance*. This variance amount can optionally be adjusted via a journal entry at month end. Calculate your monthly *Labor Variance* by comparing actual direct labor with your *Absorbed Labor* account and post appropriate adjusting entries to your *WIP Variance* (expense) and *Labor Variance* accounts. Labor Variance is an expense account that is normally located adjacent to your *Cost-of-Goods-Sold* account.

Absorbed Fixed Overhead (expense)

On your income statement you would first list your fixed overhead GL accounts actually paid or accrued for the period (which will be debit balances) followed by the GL account for *Absorbed Fixed Overhead* (which will be a credit balance). Ideally, the debits and credits will cancel each other out, bring your fixed overhead expense down to zero. This zero balance means that your fixed overhead for the period was accurately absorbed 100% into your WIP inventory. You can set up one account and use it system-wide, or you can set up different accounts at the item class level via SM-C, *Enter Item Classes*.

Fixed Overhead Variance (expense)

In real life, however, you will never get your absorbed fixed overhead (see above) to ever exactly equal your actual fixed overhead. The difference represents what is called your *fixed overhead variance*. This variance amount can optionally be adjusted via a journal entry at month end. Calculate your monthly *Fixed Overhead Variance* by comparing your actual fixed overhead with your *Absorbed Fixed Overhead* account and post appropriate adjusting entries to your *WIP*

Variance (expense) and *Fixed Overhead Variance* accounts. *Fixed Overhead Variance* is an expense account that normally follows the *Labor Variance* account in your *Cost-of-Goods-Sold* section. You can set up one account and use it system-wide, or you can set up different accounts at the item class level via SM-C, *Enter Item Classes*.

Absorbed Variable Overhead (expense)

Variable overhead is handled exactly the same as fixed overhead. On your income statement you would first list your variable overhead GL accounts actually paid or accrued for the period (which will be debit balances) followed by the GL account for *Absorbed Variable Overhead* (which will be a credit balance). Ideally, the debits and credits will cancel each other out, bring your variable overhead expense down to zero. This zero balance means that your variable overhead for the period was accurately absorbed 100% into your WIP inventory. You can set up one account and use it system-wide, or you can set up different accounts at the item class level via SM-C, *Enter Item Classes*.

Variable Overhead Variance (expense)

In real life, however, you will never get your absorbed variable overhead to ever exactly equal your actual variable overhead. The difference represents what is called your *variable overhead variance*. This variance amount can optionally be adjusted via a journal entry at month end. Calculate your monthly *Variable Overhead Variance* by comparing your actual variable overhead with your *Absorbed Variable Overhead* account and post appropriate adjusting entries to your *WIP Variance* (expense) and *Variable Overhead Variance* accounts. *Variable Overhead Variance* is an expense account that normally follows the *Fixed Overhead Variance* account in your *Cost-of-Goods-Sold* section.

WIP (Work-in-Process) Inventory (asset)

All costs associated with manufacturing the item get charged (debited) to this *WIP* account. When manufactured items are finished and transferred to inventory, this account gets credited and the item's inventory account gets credited. There is no need for different *WIP* accounts; we recommend setting up only one *WIP* account per company. You can set up one account and use it system-wide, or you can set up different accounts at the item class level via SM-C, *Enter Item Classes*.

WIP Variance (expense)

The *WIP Variance* account is normally located adjacent to your *Cost of Goods Sold* account. At month end adjustments will be made to this account, offset by adjustments to your *Labor Variance*, *Fixed Overhead Variance*, and *Variable Overhead Variance* accounts. This account is also posted to when work orders are closed with residual costs and when PO Invoices are entered with a price change after a work order is closed.

Phase 4 – Enter master files

The entry program for each master file is in parenthesis next to the name. Refer to the program documentation for details.

GL Departments (AM-D)

If you are going to use department codes you can set up *General Ledger* departments now. You also can set up departments later if you are not yet sure whether you want to use departments or not. See AM-D, *Create General Ledger Departments*, for a discussion on how departments are used.

Financial Statements (AM-E or AM-F)

Two financial statement set up programs are available. AM-E, *Format Standard Financial Statements*, provides a simple format that is easy to set up. For more advanced financial statement formats, use AM-F, *Format Custom Financial Statements*. Financial statements can be formatted now or at a later time—they are not needed in order to proceed with the rest of the implementation.

NOTE: Be sure the account ranges that you set up for these statements include only accounts intended for each group. For example, do not include an asset account range in the group intended for liabilities.

Phase 5 – Enter module defaults

Each module has default settings that allow you to specify various preferences within the application programs. Most of these module defaults programs are found on the *Accounting Defaults* menu on the *Accounting* master menu.

General Ledger Defaults (AD-A)

AD-A, *General Ledger Defaults*, establishes default *General Ledger* account codes for various automatic postings that occur throughout the system. You also set your fiscal year starting date within this program.

Checking Account Defaults (AD-B)

Enter your bank accounts in AD-B, *Checking Account Defaults*. The names can be a bank name, an account number, or any other convention.

Accounts Payable Defaults (AD-C)

Enter your *Accounts Payable* settings through AD-C, *Accounts Payable Defaults*.

Item Class GL Accounts (SM-C)

Manufacturing GL account posting is controlled system-wide by the settings you enter in AD-A, *General Ledger Defaults*. You can also establish manufacturing GL account defaults at the item class level in SM-C, *Enter Item Classes*. It is not necessary to enter defaults for every item class; only those with defaults different than the system-wide settings.

Phase 6 – Train personnel to use the programs

During phase 6 you should see that your personnel are trained to use the various programs. By this time most of your master file data has already been entered, which will provide you with familiar data to work with during the training period.

Make a copy of your company (UT-I)

Training is most effective if done with your own data. One way to use your own data for training without risk of adversely affecting your permanent files is to create a test company via UT-I, *Create/Delete Company*. When creating a company you are given the option of copying the data from another company. Copy your company's data to the test company and conduct your training exercises in the test company.

During training make sure people fully understand how to operate the programs they will be using. If using sales orders, for example, go through at least one complete sales order cycle – enter the sales order, print acknowledgements, packing slips, and shipping labels, release the sales order, print an invoice, post the invoice – and all the while print the various related reports and make sure the data is correctly processed.

Do not advance to phase 7 until your people know how to use the programs. Phase 7 marks the starting point when the system actually gets used.

Phase 7 – Activate Accounting (AI-A)

You are now ready to start using the accounting system. Before you can enter your beginning balances, you must formally activate the accounting system through AI-A, *Accounting Configuration*. Once activated, programs will begin posting to the General Ledger, so don't activate accounting until you are ready to perform phase 8.

International Module can now be assigned GL accounts

You can skip this step if you will not be using the *International Module*. Once accounting is activated, you can go into the *International Module* and assign GL accounts to your currencies (IM-B), landed cost defaults (IM-D), and tax-in codes (IM-G).

Sales tax GL codes can now be assigned (optional)

System-wide default GL accounts for sales and purchase taxes are already established in AD-A, *General Ledger Defaults*. If you wish to establish default GL accounts at the tax authority level, you can do so now via SM-E, *Enter Tax Codes*.

Phase 8 - Enter beginning balances

Phase 8 requires careful planning. The normal practice is to establish a target cutover date when you will stop using your existing system and switch over to using DBA. Just prior to the cutover date (such as the weekend before) you must gather information from your old system and enter your current GL balances and payables as of the cutover date. This involves intensive data entry in a short period of time, so make sure the time is allocated and you have enough personnel on hand to get the job done.

You will need to have the following information from your existing accounting system prior to beginning phase 7.

- Fiscal year end and year-to-date balances (if applicable) for all your *General Ledger* accounts.
- Your checking account balance(s) as of your cutover date.

Use UT-K-A (if necessary) to remove unwanted transactions

If for any reason you have made some transactions during the training phase that you now want to remove so that you have a “clean” system (while retaining all your master file data), you can run UT-K-A, *Clear Data*. The program presents you with an entry screen from which you will be able to select partial or complete deletion of data files. Before you make each selection, click the *Help* button (or press F1) for additional information on each choice. For each data category on the screen, enter a C if you want to keep the master file data, but want to clear all transactions such as GL entries, aging detail, sales information, etc. Enter an N if you want to leave the data untouched.

Enter prior fiscal year ending balances (optional) (GL-B)

At some point you must enter ending balances for your prior fiscal year for all your asset, liabilities, and owner’s equity accounts. DO NOT make ending balance entries for income or expense accounts.

If you have this information available, you can make these entries at this time. If, however, you do not, you can skip this step and enter these ending balances at a later date whenever you wish.

If you are starting DBA at the beginning of a new fiscal year, these entries will serve as your beginning balances. If you are starting DBA in mid-fiscal year, you will also make a set of journal entries to reflect your year-to-date balances (see next section).

CAUTION: It is important that your chart of accounts file be completely cleared of any data before entering beginning balances. Run UT-K-A, *Clear Data*. Enter a C opposite the *General Ledger Chart of Accounts* field and leave all the other fields with a value of N. Be careful not to enter a D or you will delete your chart of accounts rather than just clear transactions data. The program will quickly clear the chart of accounts file of any data. To confirm data has been deleted, run GL-C for all accounts and all dates and verify there are no transactions.

To make these prior fiscal year ending balance entries, go to GL-B, *Enter/Post General Journal Trxns*. On the opening screen click on the *Add* button to start a new transaction. The program will automatically assign this group of entries a *Transaction Number*. Enter the date of the LAST DAY OF YOUR PRIOR FISCAL YEAR as the *Transaction Date*. For example, if your current fiscal year starts or started on 1/1/02, you would enter 12/31/01 as the *Transaction Date*.

Select *Transaction Type 5*, which is *Beginning Balance*. For the *GJ Transaction Code*, accept the default, which is *BEGBAL*. You can leave *Deposit/Check Number* blank.

You are then taken to another screen. From this screen you can enter an account balance for each of your asset, liability, and owner's equity accounts. DO NOT make any entries to your income or expense accounts. See the documentation on GL-B, *Enter/Post General Journal Trxns*, for more detail on using this program.

A running balance is maintained in the lower right corner of the screen. After you've made all your entries, the balance should be zero. If not, you've made an error somewhere. You can click on the *Print Transaction* button at any time to get a printed listing of your entries. When your entries are completed, click on the *Save* button (or press F10).

You can go back in and edit your transaction any number of times until it is completed to your satisfaction. When your transaction is complete and accurate, you can post it to the GL files through GL-B, *Enter/Post General Journal Trxns*. This completes the entry of beginning balances as of the end of your prior fiscal year. If you are cutting over to DBA as of the beginning of your fiscal year, you can skip the next section. If you are cutting over during mid-fiscal year, you must make additional entries for your year-to-date balances. See the next section for details.

Enter mid-fiscal year balances (if applicable) (GL-B)

If you are cutting over to DBA accounting in the middle of your fiscal year, you must make journal entries to reflect your year-to-date balances. You have a choice between one lump sum entry per account that represents the entire year-to-date activity, or you can make an entry for each month of the year. Generally the reason for making entries for each month would be to have the ability to run monthly financial reports for the entire year or to have monthly comparisons within the current year.

Regardless whether you are making a lump sum year-to-date entry or an entry for each month, the procedure is the same. Each month, or the year-to-date, will be

entered as a separate general journal transaction. Go to GL-B, *Enter/Post General Journal Trxns*. Click on the *Add* button to start a new transaction. The program will automatically assign a *Transaction Number*. Enter the last day of the month to which the balance pertains as the *Transaction Date*.

Select *Transaction Type 1*, which is *General Journal*. DO NOT select type 5 – *Beginning Balance*.

For *GJ Transaction Code* you can enter a reference such as BEGBAL as a reference for the GL detail file. You can leave the *Deposit/Check Number* field blank.

You are now taken to another screen. From this screen you can enter net change amounts for the period being entered for all your accounts - including assets, liabilities, owner's equity, income, and expense. In effect, you are entering a complete trial balance. When all accounts have been entered, the balance in the lower right of the screen should be at zero. You can save your transaction at any time by clicking on the *Save* button (or press F10).

WARNING: When entering mid-year balances, do not attempt to make entries to your *Retained Earnings* or *Current Earnings* accounts. These accounts are automatically calculated and updated when financial reports are run.

When you are entering a batch of *Transaction Type 1 - General Journal* entries, the program will not allow the batch to be posted until it is in balance. This serves as a good check in that it forces you to get all your accounts in balance. If you are not in balance, you can print your batch by clicking on the *Print Transaction* button to help find the errors. Once your batch is in balance and is complete and accurate, you can post your batch to the GL files via GL-B, *Enter/Post General Journal Trxns*.

If you making one lump sum year-to-date entry, enter one transaction. If you are making entries for each month, enter a separate transaction for each month.

You can view your posted entries through GL-A, *View Chart of Accounts*. The fiscal year beginning balances will be shown in the *Beg Bal* field at the top of the *Current* year column. The year-to-date or monthly entries will be shown in the monthly fields in the *Current* year column. The sum of the *Beg Bal* and year-to-date balances is shown in the *End Bal* field at the bottom of the *Current* year column and represents the current ending balance of the account as of your cutover date.

Enter open accounts payable aging (AP-B)

You can now enter invoice and credit amounts representing transactions up to the cutover date in *Accounts Payable*.

To enter your opening aging balances, select the *Beginning Balance* option in AP-B, *Enter AP Vouchers*. This option will create records in the aging file, but will not post to the *General Ledger*. You've already entered beginning balances for *Accounts Payable* and other accounts in the previous two steps above which

reflect the GL postings that occurred when vendor invoices and credit memos were originally generated in your other system, so no further GL posting is needed.

At this point you can run AP-I, *Print Aging*, and compare the total on the report with the beginning balance for *Accounts Payable* that you entered previously. If they don't match, you will have to use AP-B, *Enter AP Vouchers*, to back out and re-enter information so that these figures will be brought into balance.

Enter checking account balances (AD-C)

Update the *Balance* field in AD-C, *Checking Account Defaults*, for each of your checking accounts. The balance should be the same number you entered in GL-B, *Enter/Post General Journal Trxns*, for each checking account's bank balance. The *Balance* will get automatically updated each month when you run GL-J, *Reconcile Check Register*.

Phase 9 – Start using system & check the numbers

The accounting system is now ready for full time use, meaning that you will be paying bills, receiving money, invoicing customers, making adjusting entries, and printing financial statements. It should not be necessary to run parallel with your old system; however, you should run the following reports frequently at first to make sure the numbers look correct and to detect any obvious mistakes.

GL-O, Print/Post General Ledger Batches

All system *General Ledger* transactions (accounting and manufacturing) are first collected in GL-O, *Print/Post General Ledger Batches*, where they can be reviewed before being permanently posted to the *General Ledger*. Check your batches and make sure your entries are going to the correct GL accounts and that the numbers look correct.

GL-D, Print Journals

Once transactions have been permanently posted to the *General Ledger* via GL-O, *Print/Post General Ledger Batches*, they can be reviewed by journal type in GL-D, *Print Journals*. The following ten journal types are available: general journal, cash receipts, cash disbursements, sales, purchases, payroll, other journal, work orders, year end, all journals.

GL-E, Print Detailed Trial Balance

This report parallels GL-D, *Print Journals*. However, instead of printing by journal type and by transaction, this program will print in account code and date order. The reports generated by this program and GL-D provide you with a complete audit trail. By following the transactions from this report to the individual posting journal, you can see the entire results of any transaction. In

this report you can see all the transactions for each GL account; in the journals you can see the related entries for each transaction.

AP-I, Print AP Aging

This report shows all your open *Accounts Payable* aging. Its total dollar amount should agree with the balance in your *Accounts Payable* GL account.

AR-F, Print AR Aging

This report shows all your open *Accounts Receivable* aging. Its total dollar amount should agree with the balance in your *Accounts Receivable* GL account when it is run with *Include Deposits* set to N.

IN-F, Print Inventory Value, and PO-J-B, Print Inventory in QC

The total from IN-F, *Print Inventory Value*, added with the total from PO-J-B, *Print Inventory in QC*, should agree with the current balance in your general ledger *Inventory* account.

IN-N-A, Print Month End Inventory Costing

This report gives you a detail and summary totals of all inventory transactions for any given date range, organized and subtotaled by the following transaction types: inventory adjustments, stock issues to WIP, purchase receipts to WIP, purchase receipts to stock, shipments, and work order receipts to stock.

PO-I-F, Print Received not Invoiced, and PO-J-B, Inventory in QC

This total from PO-I-F, *Print PO's Received not Invoiced* added to the total from PO-J-B, *Print Inventory in QC*, should agree with the current balance in your general ledger *PO's Received not Invoiced* account.

JC-M, Print WIP Summary

The total value on the report should equal the total dollar amount in your *WIP Inventory* GL account.

IN-N-C, Print Closed Work Orders Costing

This report gives you a good comparison between standard costs versus actual reported costs on all your closed work orders, broken down into setup, labor, material, fixed and variable overhead.

Implementation checklist

Phase 1 – System orientation

- ☐ Study this user guide, especially chapter 2
- ☐ Look at sample company 99

Phase 2 – Develop numbering schemes

- ☐ General Ledger Account Codes

Phase 3 – Enter GL chart of accounts (AM-C)

- ☐ Current Earnings (Owners Equity)
- ☐ Retained Earnings (Owners Equity)
- ☐ Clearing Account (Owners Equity)
- ☐ Accounts Payable (Liability)
- ☐ AP Discounts Taken (Contra-Expense)
- ☐ Accounts Receivable (Asset)
- ☐ AR Discounts Taken (Contra-Income)
- ☐ AR Interest Charged (Income)
- ☐ AR Customer Deposits (Liability)
- ☐ SO Invoice Freight Out (Income or Contra-Expense)
- ☐ SO Sales Tax Withheld (Liability)
- ☐ SO Retention (Asset)
- ☐ Agents Commission Payable (Liability)
- ☐ Agents Commission Expense (Expense)
- ☐ Inventory (Asset)
- ☐ Taxable Sales (Income)
- ☐ Non-Taxable Sales (Income)
- ☐ Cost-of-Goods Sold (Expense)
- ☐ PO's Received not Invoiced (Liability)
- ☐ PO Freight Expense (Expense)
- ☐ PO Tax Expense (Expense)
- ☐ Extra Costs (Expense)
- ☐ Miscellaneous Costs (Expense)

- ☐ Absorbed Labor (Expense)
- ☐ Labor Variance (Expense)
- ☐ Absorbed Fixed Overhead (Expense)
- ☐ Fixed Overhead Variance (Expense)
- ☐ Absorbed Variable Overhead (Expense)
- ☐ Variable Overhead Variance (Expense)
- ☐ WIP Inventory (Asset)
- ☐ WIP Variance (Expense)
- ☐ International Module GL Accounts (see chapter 9)

Phase 4 – Enter master files

- ☐ GL Departments (Optional, AM-D)
- ☐ Financial Statements (AM-E or AM-F)

Phase 5 – Enter module defaults

- ☐ General Ledger Defaults (AD-A)
- ☐ Checking Accounts Defaults (AD-B)
- ☐ Accounts Payable Defaults (AD-C)
- ☐ Item Class GL Defaults, if applicable (SM-C)

Phase 6 – Train personnel to use the programs

- ☐ Make a copy of your company (UT-I)

Phase 7 – Activate Accounting (AI-A)

- ☐ Assign *International Module* GL accounts, if applicable (IM-B, IM-D, IM-G)
- ☐ Assign sales and purchase tax GL accounts, if applicable (SM-E)

Phase 8 – Enter beginning balances

- ☐ Enter mid-fiscal year balances (if applicable; can be done later) (GL-B)
- ☐ Enter open accounts payable aging (AP-B)
- ☐ Enter checking account balances (AD-C)

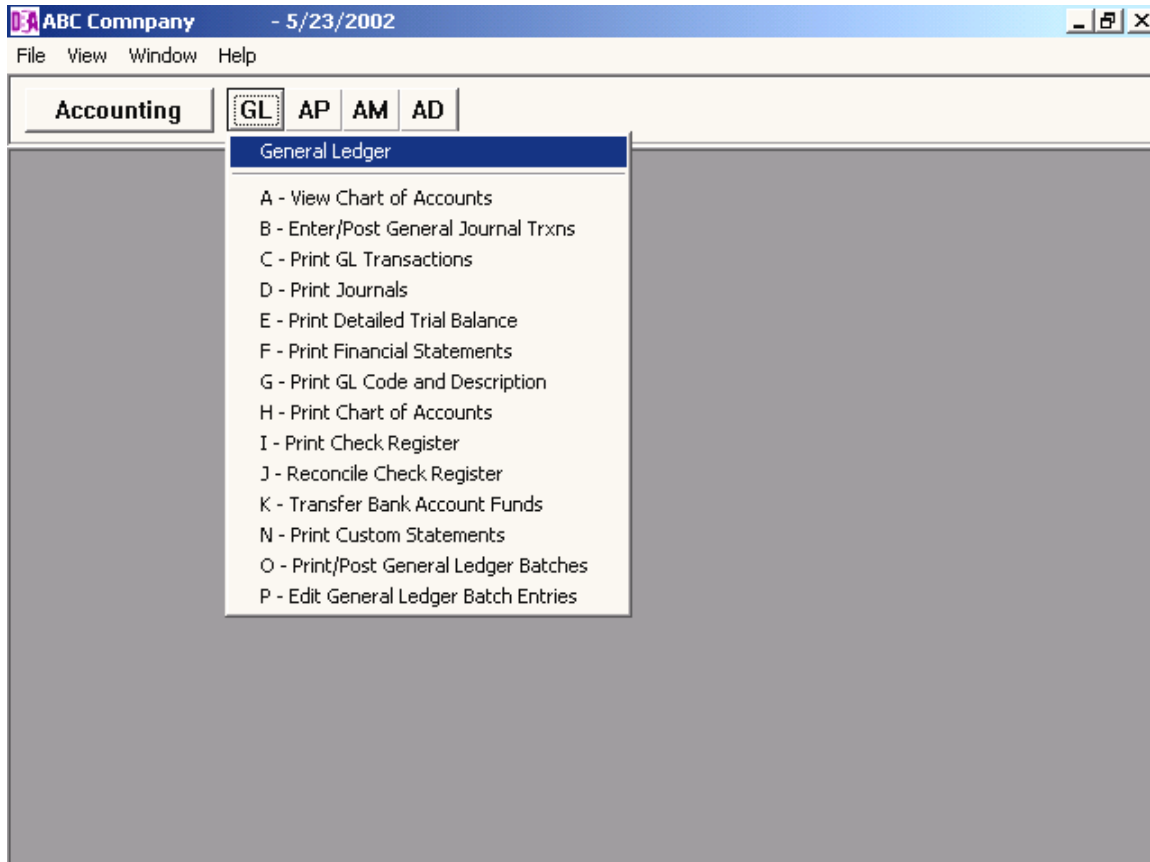
Phase 9 – start using system & check the numbers

- ❑ GL-O, Print/Post General Ledger Batches
- ❑ GL-D, Print Journals
- ❑ GL-E, Print Detailed Trial Balance
- ❑ AP-H, Print AP Aging
- ❑ AR-F, Print AR Aging
- ❑ IN-F, Print Inventory Value; PO-J-B, Print Inventory in QC
- ❑ IN-N-A, Print Month End Inventory Costing
- ❑ PO-I-F, Print Received Not Invoiced; PO-J-B, Inventory in QC
- ❑ JC-M, Print WIP Summary
- ❑ IN-N-C, Print Closed Work Order Costing

5. GENERAL LEDGER

- **General Ledger overview**
- **General Ledger file structure**
- **How batch posting works**
- **General Ledger flow chart**
- **How to use departmental accounting**
- **How to show sales and COGS on the income statement**
- **What to do at period end**
- **Fiscal year end procedure**
- **How DBA handles current and retained earnings**
- **Manufacturing transactions - post manually or automatically?**
- **Consolidating financial statements for multiple companies**
- **Setting up bank accounts**
- **Bank accounts flow chart**
- **Reconciling accounts with bank statements**

General Ledger overview



The general ledger is the foundation of the DBA system. All activities performed throughout the accounting and manufacturing modules post to the general ledger, which collects all financial data and produces financial statements that enable you to evaluate the financial state of your company.

Not only do all activities post to the general ledger, but supporting transaction files are maintained in the various modules that reconcile with your general ledger balances. Examples of supporting files would be inventory transactions, work order labor transactions, invoice history, payroll history, etc. A variety of reports are available from these supporting files that enable you to analyze company performance in these areas.

Because you have all these supporting files and reports for analysis, you do not have to rely on your general ledger being your primary analysis tool like it is with some accounting systems. Therefore, your chart of accounts can be simplified such that it is designed primarily for the purpose of producing financial statements rather than to serve as a reporting tool for detailed analysis of things such as production data, sales, or product costing. There are far better reports for this type of analysis within the various modules, so it is not necessary to over-complicate the general ledger by trying to make it an all-purpose reporting tool.

General Ledger file structure

The posted general ledger consists of two files: the GL transactions file (BKGLTRAN) and the GL chart of accounts file (BKGLCOA). Unposted transactions are stored in a transaction file (BKGLTEMP) until posted via GL-O, *Print/Post General Ledger Batches*.

The chart of accounts file contains running balances for each month in the current year, one year past, and two years past. Each time a record gets posted to the GL transactions file, the corresponding running balance for that period is updated in the GL chart of accounts file.

General ledger detail reports, such as journals and the detailed trial balance, are derived from data in the GL transactions file. Financial statements are derived from the monthly balances in the GL chart of accounts file.

GL transaction records are all coded with a two-character journal *Type* code. This allows the transactions to be organized into journals for reporting purposes. The journal types are: GJ (general journal), CR (cash receipts), CD (cash disbursements), RS (sales), RP (purchases), PR (payroll), WO (work orders), OT (other), YE (Year End Close).

How batch posting works

Manufacturing Answer 2000 - 5/23/2002

File View Window Help

Accounting GL AP AM AD

GL-O Print/Post GL Batches

<S>elect or <D>eselect? S For All Batch Types? N

Posting Date Range
00/00/00
00/00/00

Date Entered Range
00/00/00
00/00/00

Available	Selected
Count	Count
CR 0	CR 0
CD 0	CD 0
RS 0	RS 0
RP 0	RP 0
PR 0	PR 0
OT 0	OT 0
WO 0	WO 0
GJ 3	GJ 0
YE 0	YE 0
ALL 3	ALL 0
FT 0	FT 0

Debits	Credits	Debits	Credits	Status
0.00	0.00	0.00	0.00	
0.00	0.00	0.00	0.00	
0.00	0.00	0.00	0.00	
0.00	0.00	0.00	0.00	
0.00	0.00	0.00	0.00	
0.00	0.00	0.00	0.00	
0.00	0.00	0.00	0.00	
155444.00	155444.00	0.00	0.00	
0.00	0.00	0.00	0.00	
155444.00	155444.00	0.00	0.00	
0.00	0.00	0.00	0.00	

Cannot Select Future Transactions

Help Print Out of Bal Report Post Exit

GL-O, Print/Post General Ledger Batches

General ledger transactions from activities performed throughout DBA do not immediately post to the permanent general ledger. Instead, they first post to a temporary file (BKGLTEMP) and from there you can select groups of transactions for batch transfer to the permanent general ledger. This batch transfer takes place in GL-O, *Print/Post General Ledger Batches*.

This batch transfer capability gives you complete control over what goes into your permanent general ledger. When you select a batch for transfer, the program verifies that all GL accounts are valid and that the batch is in balance. You can print out your batches before transfer and edit any entries that may need changes through GL-P, *Edit General Ledger Batch Entries*.

Unlike traditional batch-oriented accounting systems where you must enter batch numbers and print out control totals, etc., DBA's batch processing is extremely flexible. A batch is whatever you want it to be. It can be all system entries for a day or date range, or it can be narrowed down to specific batch types such as cash receipts, cash disbursements, sales, purchases, etc.

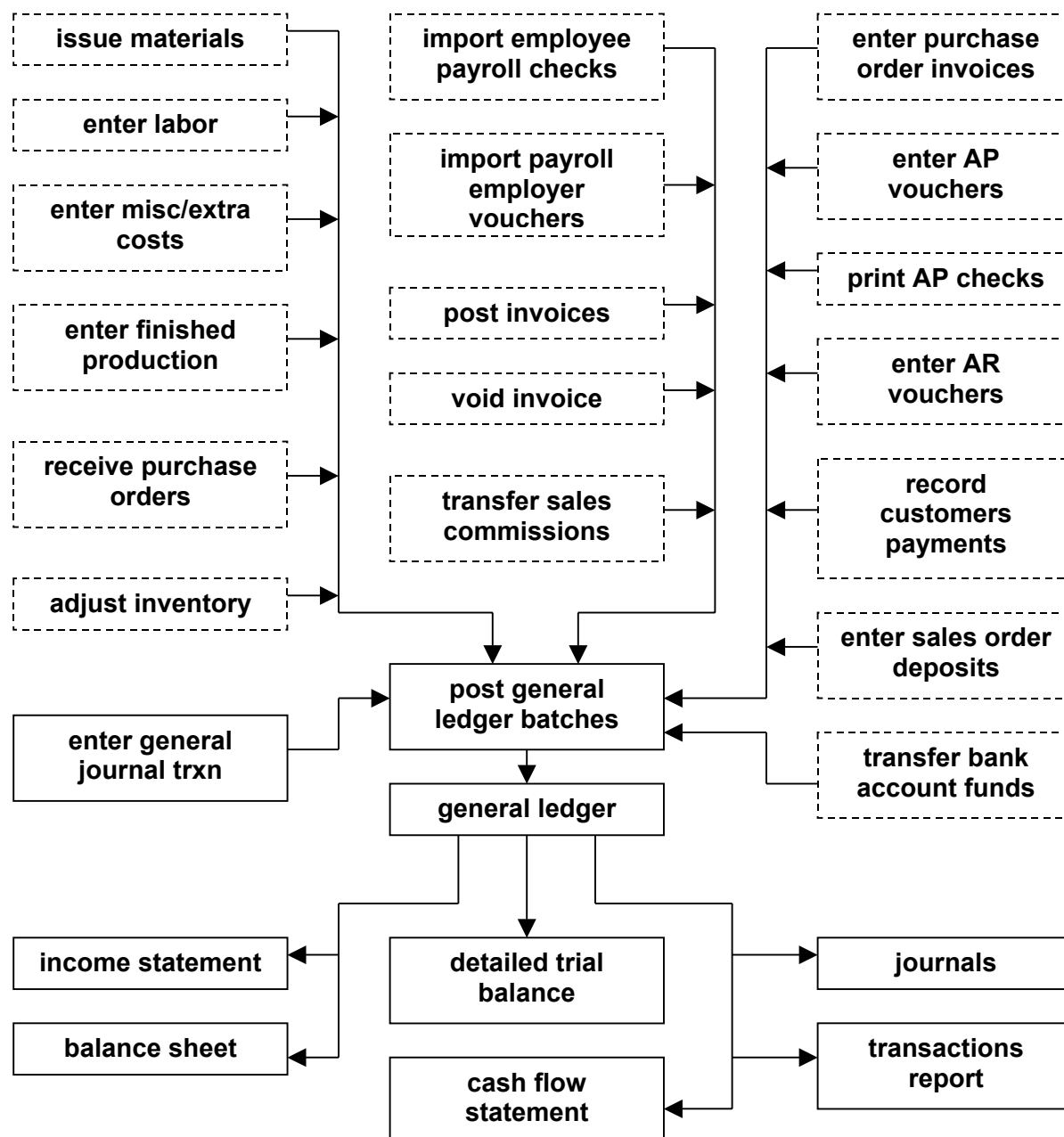
If you want to achieve what is more or less a "real time" general ledger, simply run the batch transfer program once or twice a day. Select all transactions.

Running the program frequently in this manner involves few steps and will run quickly.

Another advantage to running the batch transfer program daily or semi-daily is that should any corrections be required to any of the transactions, there are fewer transactions to sift through and the transactions themselves are fresh and therefore easier to track down should any errors be found.

It is not necessary to get other users out of the system in order to print or post the batch. Posting transfers all detail to the posted transaction file so it is also unnecessary to print batches prior to posting. The detail can be viewed or printed at any time after posting via *GL-D Print Journals* or *GL-C Print GL Transactions*.

General Ledger flow chart



How to use departmental accounting

Manufacturing Answer 2000 - 5/23/2002

File View Window Help

Accounting GL AP **AM** AD

AM-D Create General Ledger Department

All General Ledger accounts of the TEMPLATE department will be duplicated as new General Ledger accounts with the NEW department code. Dollar amounts from the TEMPLATE department will not be transferred, except for, optionally, the budget amounts.

Use which existing department as the TEMPLATE Code of the NEW department to create Clear budget values? N

Only create these types of accounts:

Asset	Y
Liability	Y
Income	Y
Expense	Y
Owner's Equity	Y

Exit

AM-D, Enter General Ledger Departments

DBA's general ledger account codes consist of a 10-character alphanumeric account code followed by an optional four-character department code.

The department code allows you to create departmental sub-accounts within a base GL account. When you run financial statements, you have the option of limiting the report to one department or a range of departments, or departmental detail can be ignored and the detail will roll into a single figure for the base GL account.

To set up departments, use AM-D, *Enter General Ledger Departments*.

Departments are normally used for income and expense accounts

Normally the use of departmental accounting in DBA is confined to income and expense accounts only. It is difficult to maintain balance sheet accounts such as inventory and accounts receivable by department because the supporting files that supply the reconciliation reporting with the general ledger are not organized departmentally.

If you must departmentalize balance sheet accounts, it usually has to be done by manually allocating amounts to departments via journal entries.

Tracking sales by departments

Departments can be used to track sales and cost-of-goods sold for different classes of items. These are controlled by the GL account codes assigned to each product class as maintained in LM-A, *Enter Product Classes*].

If you wish to force sales to a particular department, it can be done at time of sales order entry. If you enter a department in the sales order header, at time of invoice posting the system will force the department suffix into the GL account codes specified for your item classes. Be aware that all income and expense items on the sales order will get their transactions assigned to the specified department including cost-of-goods-sold, commissions and freight.

In AD-F, *Sales Orders Defaults*, you can specify whether department entry is allowed, not allowed, or if it is required.

Some companies prefer to track sales by customer class rather than item class. If so, you can specify a *Default GL Sales* account for each customer in AR-A, *Enter Customers*. When a default sales account is specified for the customer, the invoice posting program will ignore the item class GL account code for sales and will use the customer sales account instead. Be aware, however, that the *Cost-of-Goods-Sold* account used will still be the one specified in the item class.

Departmentalizing direct labor

In general it is difficult to departmentalize your direct labor unless employees are confined to single departments and don't work across multiple departments. If it is necessary to departmentalize labor, you will have to run labor reports by work center, calculate each work center's relative proportion of direct labor, then allocate your direct labor to departments via journal entries.

Departmentalizing purchases

If you wish to force purchases to a particular department, it can be done at time of purchase order entry. If you enter a department in the purchase order header, at time of receiving the system will force the department suffix into the GL account codes specified for your item classes. Be aware that all items on the purchase order will be charged to the specified department.

In LD-B, *Purchase Orders Defaults*, you can specify whether department entry is allowed, not allowed, or if it is required.

Departmentalizing AP vouchers

AP vouchers are used to enter any vendor invoices that were not generated from formal purchase orders. You can set up a default *GL Expense Acct* for each vendor in AP-A, *Enter Vendors*, which will automatically come into AP-B, *Enter AP Vouchers*, where it can then be overridden, if desired. You can leave the default without a department and then specify the appropriate department(s) at time of voucher entry.

How to show sales and COGS on the income statement

Showing sales and COGS by product line

Most companies show their sales and cost-of-goods-sold on the income statements organized by product line.

This is easily accomplished in DBA by assigning the appropriate sales and cost-of-goods sold accounts to each of your product classes via LM-A, *Enter Product Classes*.

Showing sales by customer type

Some companies prefer to track sales by customer type (such as by region) rather than by product lines. If so, you can specify a *Default GL Sales* account for each customer in AR-A, *Enter Customers*. When a default sales account is specified for the customer, the invoice posting program will ignore the item class GL account code for sales and will use the customer sales account instead. Be aware, however, that the *Cost-of-Goods-Sold* account used will still be the one specified in the item class.

Using departments for sales and COGS

Departments can be used to track sales and cost-of-goods sold for different classes of items. These are controlled by the GL account codes assigned to each product class in LM-A, *Enter Product Classes*.

If you wish to force sales to a particular department, it can be done at time of sales order entry. If you enter a department in the sales order header, at time of invoice posting the system will force the department suffix into the GL account codes specified for your item classes. Be aware that all items on the sales order will get their sales and COGS assigned to the specified department.

In AD-F, *Sales Orders Defaults*, you can specify whether department entry is allowed, not allowed, or if it is required.

What to do at period end

You are not required to do anything at period end in order to begin transactions in the next period. There is no period "close" like there is with many accounting systems. There is, however, a set of period end procedures that should be performed as sound accounting practices.

Chapter 18, *Month End Accounting*, provides a detailed checklist of everything you should do at the end of each month. The following is a summary of these procedures.

Setting the GL close date

Unlike many accounting systems, there is no formal monthly or yearly closing required with DBA. You can freely post to any period in the current or one or two past years.

DBA does have a *GL Close Date*, however, that will not allow posting to any period prior to that date. The *GL Close Date* is normally set by your company controller and serves to "close" prior periods to other users. With the *GL Close Date* capability DBA is closed when *you* consider it closed, not due to any requirement within the program itself.

If for some reason you need to make entries to what you consider to be a closed period, you can temporarily remove or change the *GL Close Date*, make your entries, then restore the date.

To reset the *GL Close Date*, use AM-A, *Reset General Ledger Close Date*.

Period end manufacturing adjustments

To complete your period end manufacturing accounting, three variances should be evaluated to review the accuracy of labor and overhead rates. Journal entries reflecting these variances may be posted to the general ledger, if desired.

Calculate your *Labor Variance* for the period by comparing actual direct labor with your *Absorbed Labor* account and post appropriate adjusting entries to your *WIP Variance* (expense – adjacent to *Cost-of-Goods-Sold* account) and *Labor Variance* (expense – adjacent to *Cost-of-Goods-Sold* account) GL accounts.

Calculate your *Fixed Overhead Variance* for the period by comparing your actual fixed overhead with your *Absorbed Fixed Overhead* account and post appropriate adjusting entries to your *WIP Variance* (expense – adjacent to *Cost-of-Goods-Sold* account) and *Fixed Overhead Variance* (expense – following *Labor Variance* account in *Cost-of-Goods-Sold* section) GL accounts.

Calculate your *Variable Overhead Variance* for the period by comparing your actual variable overhead with your *Absorbed Variable Overhead* account and post appropriate adjusting entries to your *WIP Variance* (expense – adjacent to *Cost-of-Goods-Sold* account) and *Variable Overhead Variance* (expense – following *Fixed Overhead Variance* account in *Cost-of-Goods-Sold* section) GL accounts.

Period end control reports insure the accuracy of your GL data

A good accounting practice at period end is to print a series of control reports from DBA's supporting files so that the amounts on them are reconciled with certain critical general ledger account balances to ensure the accuracy and reliability of your general ledger data. These control reports are as follows.

- AP-I, *Print AP Aging*, should agree with the balance in your *Accounts Payable* account.
- AR-F, *Print AR Aging*, should agree with the balance in your *Accounts Receivable* account.
- GL-I, *Print Check Register* should agree with the account balances for each of your bank accounts.
- IN-F, *Print Inventory Value* should agree with the balance(s) in your *Inventory* account(s).
- JC-M or IN-J-H, *Print WIP Summary*, should agree with the balance in your *WIP* account.
- PO-I-F, *Print Received not Invoiced*, should agree with the balance in your *PO's Received not Invoiced* account.

Other period end procedures

Other things to do at period end include:

- Use GL-J, *Reconcile Check Register*, to reconcile the check register with your bank statement.
- Use AR-D, *Charge Interest on Invoices*, to charge interest on overdue invoices and mail statements.
- Generate any recurring invoices (SO-K), payments (AP-P), or general journal transactions (GL-B).
- Use AR-L, *Transfer Sales Taxes*, to transfer sales taxes due to accounts payable.
- Use CS-D, *Transfer Commissions*, to transfer any commissions due to accounts payable and *CheckMark* payroll.
- Clear any data files that are no longer needed, such as closed sales orders and purchase orders.
- Make general journal entries for any month end adjustments such as depreciation, as well as any recurring or reversing general journal entries that may be required (GL-B).
- Print financial statements (GL-F).

Fiscal year end procedure

At fiscal year end you will run AM-B, *Fiscal Year End Routine*, on the first day of the new fiscal year.

The *Fiscal Year End Routine* moves the current year GL chart of accounts balances one year back, opens up balances for the new fiscal year, updates the beginning balances in all asset, liability and owners equity accounts, clears the beginning balances in all income and expense accounts, and creates year end entries in your *Retained Earnings* account.

This procedure does not “close” the prior year. As mentioned previously, DBA is an open system that does not have formal “closes.” You can continue to make entries to the prior year indefinitely.

If you change your fiscal year

DBA is designed to expect your one-year and two years past fiscal years to have the same starting and ending dates as the current fiscal year. If you decide to change your fiscal year, this will affect your previous years. Please consult with our technical support department before you change your fiscal year and we will advise you how to proceed.

How DBA handles current and retained earnings

Earnings (the difference between total income and total expenses for a period) in DBA are posted to two GL accounts: *Retained Earnings* and *Current Earnings*.

Earnings for past fiscal years are maintained in the *Retained Earnings* account. Earnings for the current fiscal year are maintained in the *Current Earnings Account*.

Current earnings are calculated totals only

Current earnings are calculated totals for each of the periods of the current fiscal year. By calculated totals we mean that there are no entries made to the GL transactions file. Instead, each time you run a balance sheet, the program calculates the difference between current income and expenses and posts these amounts for each period of the current year to the chart of accounts file.

Therefore, current earnings will appear on financial statements, which print from the chart of accounts file, but not on journals and the detailed trial balance, which print from the GL transactions file.

You cannot make journal entries to the *Current Earnings* account, nor for any accounting reason would there be a need to do so.

Retained earnings are created by the *Fiscal Year End Routine*

Retained earnings are handled differently than current earnings. Retained earnings transactions are created when you run AM-B, *Fiscal Year End Routine*, just prior to making transactions in your new fiscal year .

The *Fiscal Year End Routine* makes two entries for each income and expense account, dated the last day of the fiscal year. One entry is a debit or credit to the income or expense account such that it brings the account balance down to zero. The offsetting debit or credit is made to the *Retained Earnings* account. This routine serves to zero out all income and expense accounts so that they start out the new fiscal year with zero balances.

You can make journal entries to the *Retained Earnings* account

Unlike current earnings, you can make journal entries to a past year's retained earnings. Typically this is done in association with making a cash distribution to owners where, for example, one would debit retained earnings and credit an owners cash distribution account.

Retained earnings will reflect new transactions dated to last year

Postings will also be made by the system to the *Retained Earnings* account for any further entries made to income or expense accounts that have transaction dates in the past current year. Just because the *Fiscal Year End Routine* has been run does not mean that you can no longer make entries to last year. In fact, there will be many vendor invoices and adjustments that have to be made to last year

well into the new fiscal year. Each time such an entry is made, the system automatically makes corresponding entries to the *Retained Earnings* account.

Never post to the *Retained Earnings* account for last year adjustments

It is common for accountants to advise companies to make adjustments to the past year. Some accountants will instruct you to make these adjustments to your *Retained Earnings* account. Do not do so.

Instead, in DBA always adjust the income and expense and any offsetting entries to balance sheet accounts directly to those accounts without making any entries to your *Retained Earnings* account. The system will automatically adjust your *Retained Earnings* account for you.

The reason accountants advise this is that with many accounting systems, once a year is closed there is no way to make adjusting entries other than through retained earnings. Not knowing DBA, they assume this is the only way it can be done.

You can freely run mid-year balance sheets for past years

You can freely run balance sheets as of any period in past fiscal years. GL-F, *Print Financial Statements*, will treat any mid-year earnings-to-date as current earnings for purposes of the report, even though technically they are retained earnings when looked at from today's date. This means that a prior year's current earnings will still be reported on the balance sheet separately from retained earnings instead of all earnings being lumped into retained earnings.

Mfg transactions - post manually or automatically?

DBA's manufacturing system, which includes all activities performed in the work orders, purchase orders, and inventory modules, is fully integrated with the general ledger, meaning that every single activity performed creates transaction records that will ultimately get posted to the general ledger. This means that each time a component is received to inventory or is issued to a work order, or labor is reported, or an item is completed, or inventory gets adjusted, transaction records are created in the general ledger.

As you can imagine (when you think of all the activities that occur in a manufacturing system every single day), this automatic posting creates a tremendous number of general ledger transaction records. Having this much detail in the general ledger is not necessary for reporting purposes because the same detail (and more) is maintained in the supporting files and reports in the manufacturing modules.

An alternative to automatic posting is to switch it off and make journal entries at the end of each period to your manufacturing GL accounts via GL-B, *Enter/Post General Journal Trxns*. To switch off automatic posting, use AD-A, *General Ledger Defaults*.

All the entries needed for manual inventory posting can be found on the AI-C, *Period End Accounting Summary*, report. See chapter 30 in the *DBA Manufacturing User Guide* for details.

An alternative to making journal entries is to keep the automatic posting switched on, but periodically consolidate the general ledger transaction detail into summary balances as described in the next section.

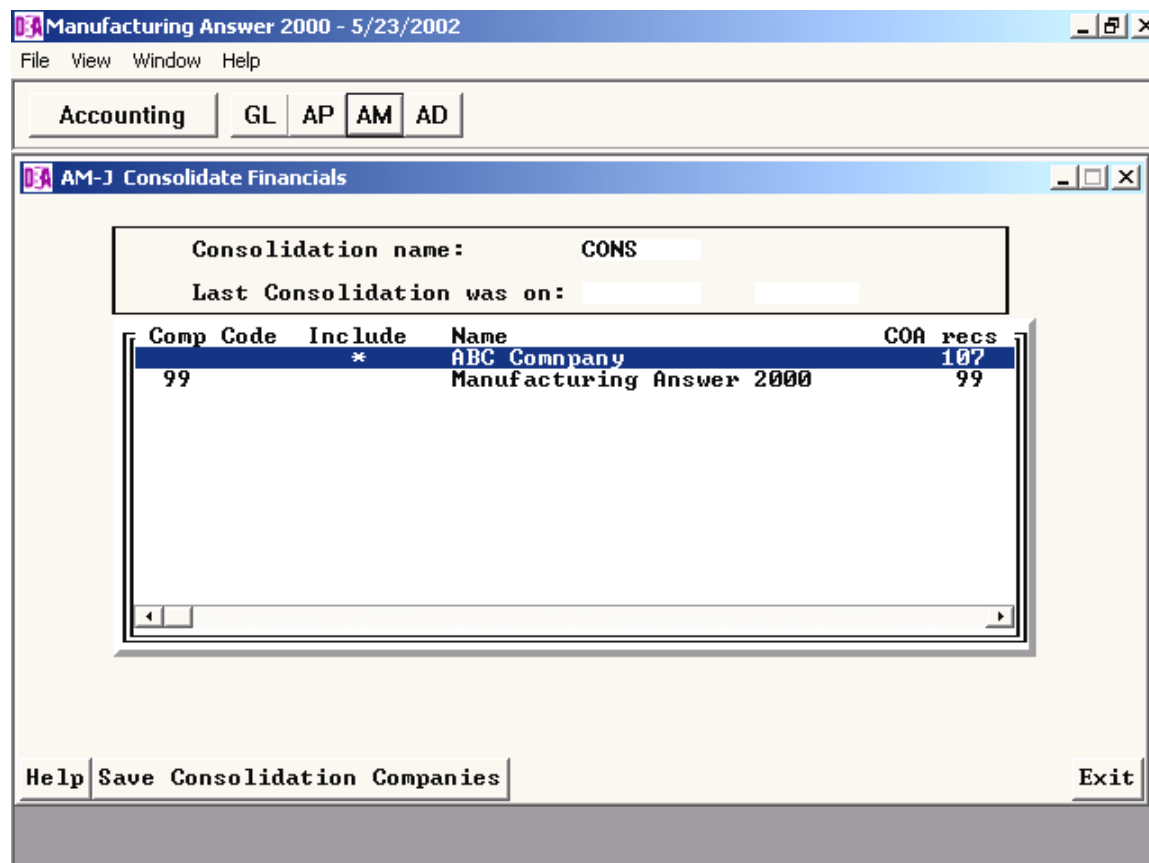
GL detail can be consolidated for manufacturing data

An alternative to making manufacturing journal entries is to use automatic posting, but periodically consolidate your general ledger transactions into summary balances.

AM-J, *Consolidate General Ledger Detail*, compresses general ledger transactions into single monthly debit and credit totals for each journal type.

This program can be run by a range of dates and GL accounts and filtered for a single journal type, so you can be highly selective as to which detail you wish to compress. A good approach would be to keep all the detail for 60 or 90 days so that it's available for short-term reference, but after that consolidate it, knowing that you have complete transactional backup data in the supporting files in the various modules.

Consolidating financial statements for multiple companies



AM-J, Consolidate Financials

DBA can be used with multiple companies. Each company will maintain its own financial data independently from the others. If you want statements that combine the financial performance of multiple companies into one, DBA offers the AM-J, *Consolidate Financials*, program that does so.

To use this program, the chart of accounts for the companies involved must be similar to one another. Companies can have their own unique accounts and departments, but common accounts should either share the same account codes or be numbered such that they correspond with each other in logical groupings. Do not, for example, use an account number in one company as an asset account and in another company as a liability account.

After you run *Consolidate Financials*, you can then print financial statements via GL-F, *Print Financial Statements*, or GL-N, *Print Custom Statements*. When you do so, you will be prompted as to whether you want to run consolidated financials or not.

NOTE: You can freely run *Consolidate Financials* without affecting the financial information in any of your companies.

Setting up checking accounts

Manufacturing Answer 2000 - 5/23/2002

File View Window Help

Accounting GL AP AM AD

AD-C Checking Accounts Defaults

Default Bank Account Numbers <1-9>

AR	1
AP	1
PR	1

AP Checks

Print Form Number 1

Graphical Laser S/C/S

PR Checks

Print Form Number 1

Graphical Laser

	Account Name	Cur G/L Account-Dpt	Balance	Next Check#
1	Primary Bank Account	10100	0.00	1
2		-	0.00	0
3		-	0.00	0
4		-	0.00	0
5		-	0.00	0
6		-	0.00	0
7		-	0.00	0
8		-	0.00	0
9		-	0.00	0

Help Save Exit

AD-B, Checking Accounts Defaults

DBA allows you to set up as many as nine checking accounts. To set up a checking account, use AD-C, *Checking Accounts Defaults*. An account should be set up on this screen if it will be used to collect payments in Accounts Receivable, make payments in either Accounts Payable or Payroll or if you wish to have the system maintain a check register for reconciliation purposes.

Each checking account is set up with a cash GL account code, a field that holds the next check number, and a balance that represents the last bank statement balance. The program requires that each account gets its own GL account code rather than share common account codes.

A checking account can be designated for AR or for AP use. This does not mean that it can only be used for AR transactions or only for AP transactions; in fact you can use any checking account for any purpose. The designation simply determines the lookup sort order in which your checking accounts are presented in various programs.

For checking accounts used for printing AP checks, you have a choice of printing checks on graphical laser forms, graphical continuous forms, or text continuous forms.

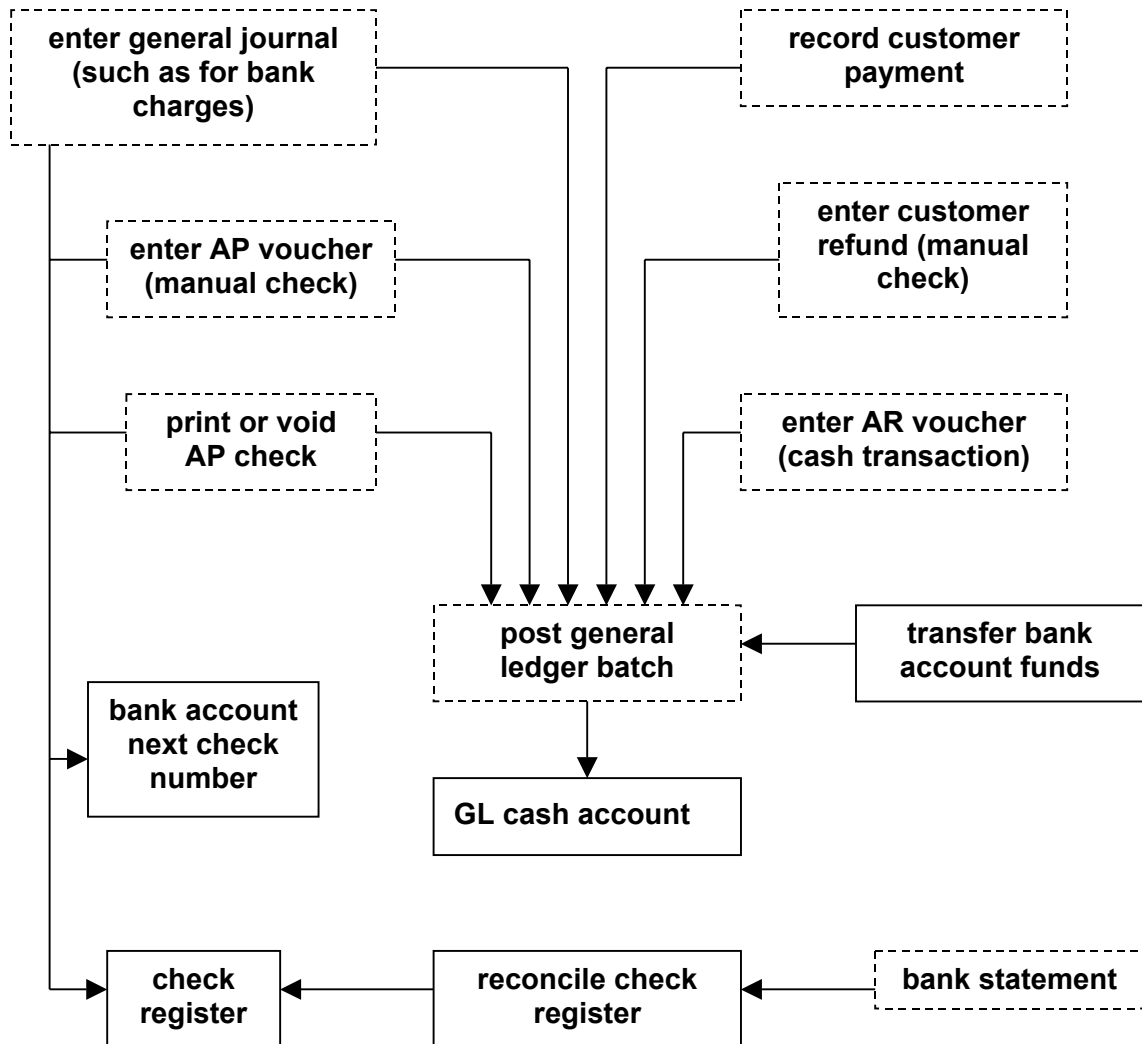
Where is the account balance maintained?

The current balance on a checking account is maintained in its cash GL account and can be viewed or printed through all the general ledger reports and inquiries.

Do not interpret the *Balance* field that you see on the checking account entry screen as representing the checking account balance. This is the balance of checks and deposits that have actually cleared the bank and will always be a different amount than your actual checking account balance.

Be aware that when you look at a checking account's GL account balance (or any account balance) it may not reflect the actual current balance if there are entries that have not yet been posted through GL-O, *Post/Print General Ledger Batches*. For that reason we suggest you post your general ledger batches on a daily basis to keep your general ledger as current as possible.

Checking accounts flow chart



Reconciling accounts with bank statements

The screenshot shows a software window titled "Manufacturing Answer 2000 - 5/23/2002" with a menu bar (File, View, Window, Help) and a toolbar. Below the toolbar is a tabbed interface with "Accounting" selected, and sub-tabs "GL", "AP", "AM", and "AD". The "GL" sub-tab is active, displaying the "GL-J Reconcile Check Register" window. This window contains a form with the following fields and options:

- Bank Account:** A text field with a green cursor icon and the value "0".
- TASK TO PERFORM:** A list of three tasks with checkboxes:
 - ☒ Reconcile to bank statement
 - ☐ Mark cleared items as uncleared
 - ☐ Delete cleared items
- FILTER ITEMS LOADED BY:** A section with two columns: "Date Range" and "Item Number Range".
 - Under "Date Range": "00/00/00" and "00/00/00".
 - Under "Item Number Range": "0" and "0".

At the bottom of the window are buttons for "Help", "Lookup", and "Exit".

GL-J, Reconcile Check Register

Checking accounts are reconciled with bank statements through GL-J, *Reconcile Check Register*.

If you want a check register listing

If you want a listing of checks and deposits for any checking account within any date range, use GL-I, *Print Check Register*.

Enter bank charges and interest first

The *Reconcile Check Register* program does not provide for entry of any bank service charges or interest income. So, before you begin reconciling, look for any of these charges or deposits and enter them through GL-B, *Enter/Post General Journal Trxns*. Be sure and enter these transactions as cash disbursements (Type 3) or cash receipts, (Type 2), not general journal (Type 1) so that they post to both the General Ledger and Check Register.

If you get notice of any NSF checks

If you get any NSF (not sufficient funds) checks from your customers, prior to

reconciling go to AR-C, *Record Payments*, and enter them as negative payments.

Reconciling cleared checks

The *Reconcile Check Register* program involves first entering an ending bank balance (from your bank statement), then tagging checks and deposits as having been cleared. See the Help file for details on using the program.

Tagging deposits

Checks are easy to tag because each check in the check register corresponds with a check listed on the bank statement. Deposits are different, however. In the check register all customer payments that comprise a deposit are listed individually, whereas on the bank statements each deposit is a single amount.

Reconcile Check Register offers a *Tag Group* button that makes it easy to tag all transactions that pertain to a particular deposit. Click the *Tag Group* button and then enter a date range or deposit number (all customer payments entered through the *Record Payments* program get assigned to a deposit number) and you will then be presented with a total amount for the items selected. If that amount agrees with the amount of the deposit on the bank statement, click *Yes* and those items will all be tagged as cleared.

Completing the reconciliation process

When you have finished tagging all checks, deposits, and bank charges, the difference between your opening balance (the ending balance from your previous month's statement) and your ending balance should be zero. If not, you need to check your entries until you find and correct the discrepancies that are causing the imbalance.

Once the difference to balance reaches zero, you can save your entries and they will be marked in the check register as being cleared.

Marking cleared items as uncleared

Even after you have marked items in the check register as being cleared, you can use *Reconcile Check Register* to mark them as uncleared. *Mark cleared items as uncleared* is one of the options you can select on the opening screen.

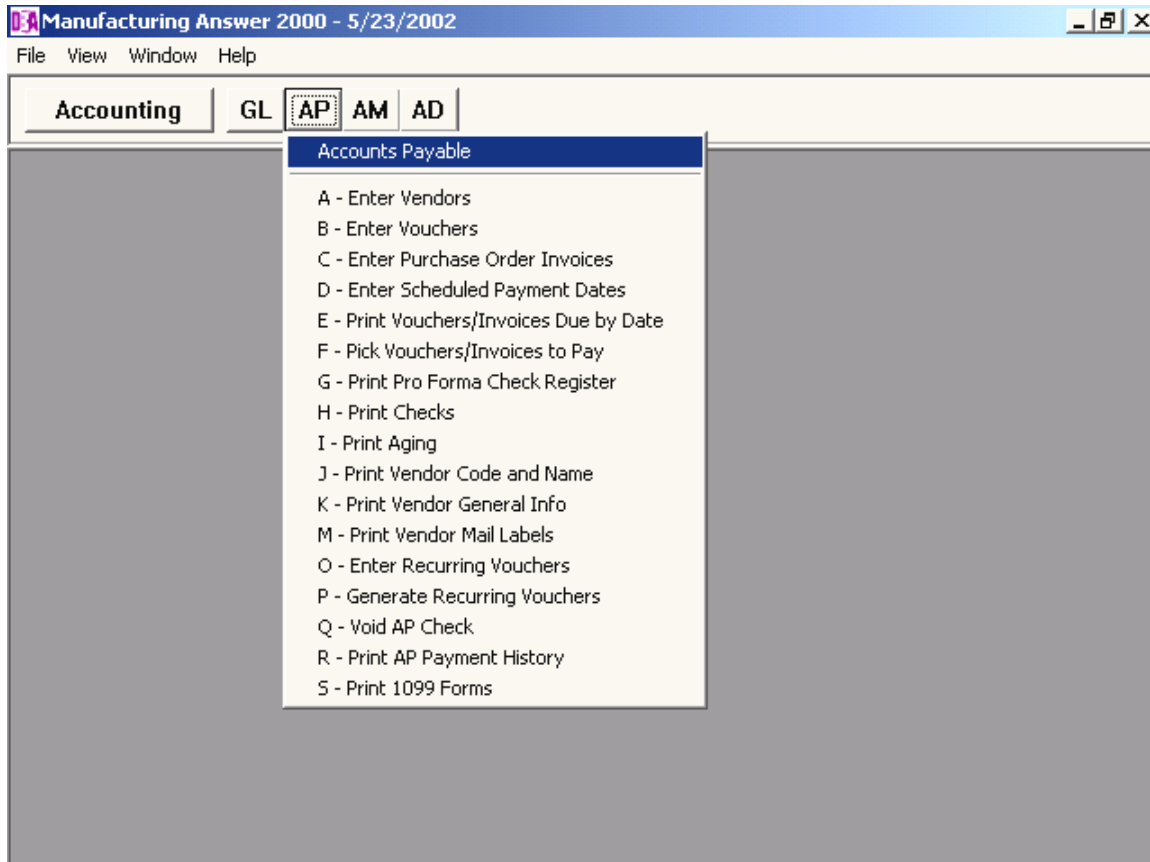
Deleting cleared items from the check register

Periodically you may wish to delete cleared items from the check register file. There is no archival or historical value in keeping cleared entries, so it is harmless to delete them. This can be done in the *Reconcile Check Register* program by clicking on the *Delete cleared items* option on the opening screen.

6. ACCOUNTS PAYABLE

- **Accounts Payable overview**
- **Accounts Payable flow chart**
- **Reconciling vendor invoices with purchase orders**
- **Scheduling vendor payments**
- **Using history notes and follow-ups**

Accounts Payable overview



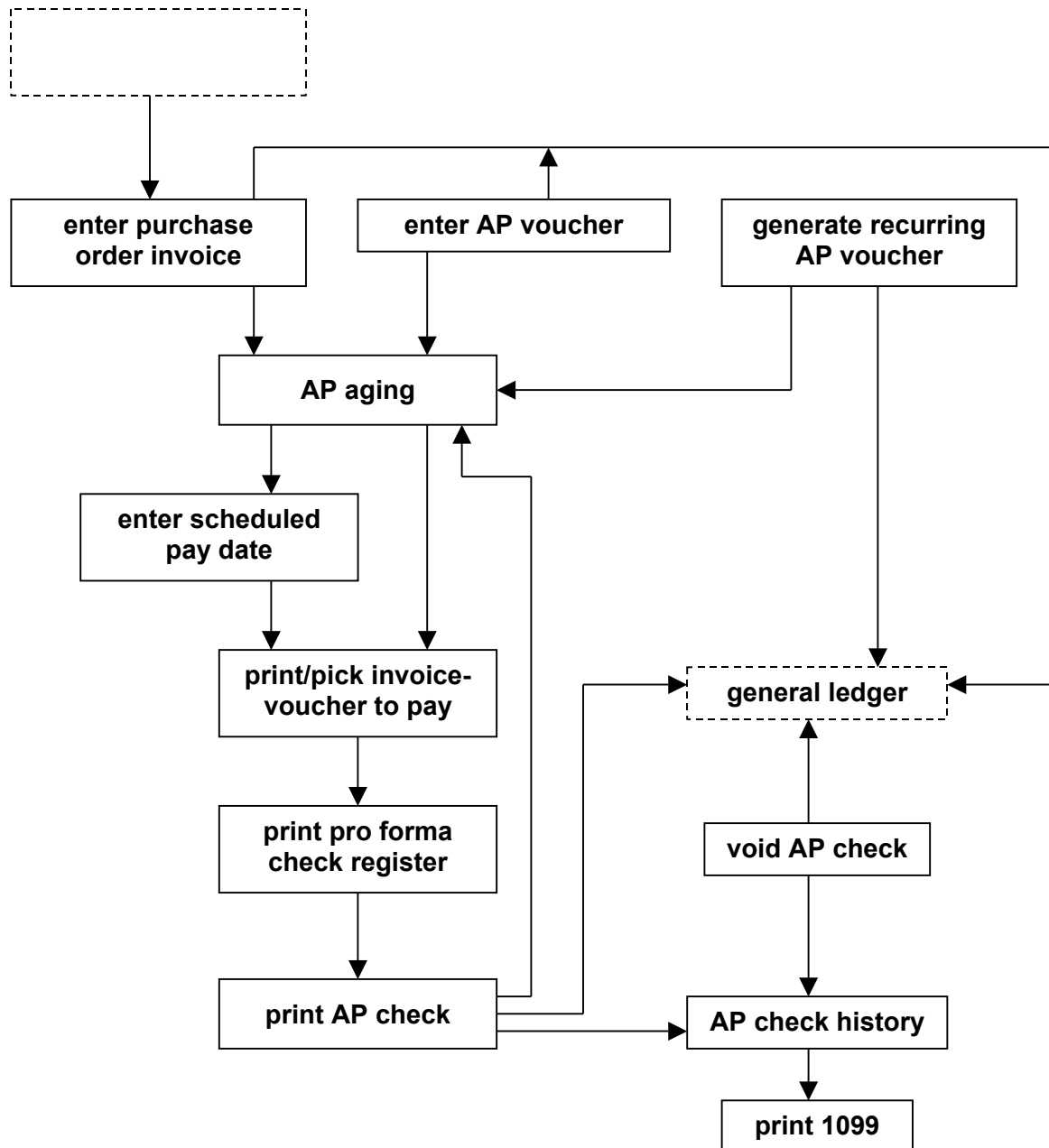
Activities involving vendors and vendor payments are handled by the *Accounts Payable* module. See the next page for a flow chart that illustrates how payables get processed.

As you can see from the flow chart, all payables originate either as purchase orders or as vouchers. Anything to do with inventory and work orders should be purchased via formal purchase orders. Vouchers are used to enter non-purchase order bills such as utility bills, rent payments, etc.

Vendor invoices are reconciled with purchase orders via AP-C, *Enter Purchase Order Invoices*, so that the invoice and inventory-and-job-costing agree with each other.

Once vouchers and invoices are in the AP aging file, they can be scheduled and selected for payment, after which AP checks can be printed.

Accounts Payable flow chart



Reconciling vendor invoices with purchase orders

Manufacturing Answer 2000 - 5/17/2002

File View Window Help

Accounting GL AP AR AM AD

AP-C Enter PO Invoices

Vendor	This Payment
Code	COD/Invoice [C/I]? I
Name	InvoiceDate 05/17/02
Telephone	GL Post Date 05/17/02
	InvoiceNumber
	InvoiceAmount 0.00
Currency	Filter From PO # 0
Tax Group	Thru PO # 0

Help Lookup Exit

AP-C, Enter Vendor Invoices

All vendor invoices that derive from purchase orders are processed via AP-C, *Enter Purchase Order Invoices*. Vendor invoices that do not derive from purchase orders are entered in AP-B, *Enter AP Vouchers*.

Enter PO Invoices does more than just get the vendor invoice into the payables system. It reconciles the invoice with the purchase to make sure that inventory and job costing and the vendor's billing are accurate and in agreement with one another.

Price review function

It is common to place purchase orders without always knowing the exact price. It is not always practical to verify prices in advance with every purchase order, especially for manufacturing supplies or other small items. Often you won't know the final price until you have the vendor invoice in hand.

AP-C, *Enter Purchase Order Invoices*, offers a price review function that allows you to compare your vendor's invoice with your purchase order line item prices. When you change a price after an item has already been received, the program will make adjusting entries to previously posted inventory and job costs to correct for the price change.

Charging freight to work orders

With some purchases freight can be a significant portion of the cost that should be reflected in the work order job cost.

PO-A, *Enter Purchase Order Invoices*, lets you charge freight to a work order. To use this feature, you must set up an item number for job cost freight in LD-B, *Purchase Order Defaults*.

If all the items on the purchase order are designated for the same work order, the program will add this item number to the work order bill of material and will post the freight to this item number.

Be aware that if items on the purchase order are designated for multiple work orders, the program will not charge freight to any of the work orders. Instead, the freight will be charged to your default *PO Freight Expense* account.

Scheduling vendor payments

Manufacturing Answer 2000 - 5/17/2002

File View Window Help

Accounting GL AP AR AM AD

AP-D Enter Scheduled Payment Dates

Inv No	Amount	Currency	Due Date	Sched Dt
34365	1498.24		01/03/01	00/00/00
A4879	3427.45		01/26/01	00/00/00

Help Exit

AP-D, Enter Scheduled Payment Dates (screen two)

DBA provides a number of tools that help you select and schedule vendor invoices for payment.

Using the *Print Vouchers/Invoices to Pay* report to mark items for payment

The most useful tool for selecting invoices to pay is the AP-E, *Print Vouchers/Invoices Due by Date* report. This report will list all invoices that are due or overdue within a specified date range. After viewing or printing the report, you are given the option of marking all the items for payment instead of having to select them one-by-one.

Not only will the report select items for payment, but it can also optionally take any early payment discounts and to apply any outstanding credits.

If you agree with most of the items selected for payment, but wish to deviate on a few items, go ahead and mark all of them for payment, then go to AP-F, *Pick Vouchers/Invoices to Pay* (see further below) to make the few changes that are needed.

Another use for this report is for cash planning by running it for different date

ranges out into the future to see how much cash will be required to meet your commitments.

Manufacturing Answer 2000 - 5/17/2002

File View Window Help

Accounting GL **AP** AR AM AD

AP-F Select Items to Pay: ACME PAINT COMPANY

Open AP Items

Invoice No	Date	Inv Amount	Credits Used	Discount	Pay Amount	✓
A4365	12/04/00	1498.24				
A4879	12/27/00	3427.45				

Total Amount Selected for Payment \$ 0.00

Invoice No.	A4365	Inv Amount	1498.24
Date	12/04/00	Credits Used	0.00
Terms	NET 30	Discount	0.00
Description	Opening Balance	Applied	0.00

Exit

AP-F, Pick Vouchers/Invoices to Pay (screen two)

Scheduling payment dates

The system will normally consider a vendor invoice to be due according to the payment terms code that was entered on the voucher or PO invoice. You may, however, wish to override the terms due date and manually schedule a payment date of your own.

This can be done through AP-D, *Enter Scheduled Payment Dates*. The program lets you vendor-by-vendor schedule all or selected open invoices to a payment due date of your choice.

The next time you run AP-E, *Print Vouchers/Invoices Due by Date* (see above), the program will use the scheduled payment date as the payment due date instead of the terms due date for each item that has one.

Selecting items for payment vendor-by-vendor

As an alternative to marking invoices for payment through the *Print Vouchers/Invoices Due by Date* report, you can do so individually vendor-by-vendor using AP-F, *Pick Vouchers/Invoices to Pay*.

Each time you bring up a vendor's vouchers/invoices, the program will clear any selections and will let you re-select items for payment. Therefore, you can first use AP-E, *Print Vouchers/Invoices Due by Date*, to mass-select the majority of items, then use AP-F, *Pick Vouchers/Invoices to Pay*, to enter any exceptions.

Completing the payment process

Once you have scheduled payment dates and selected items for payment, the next step is to run AP-G, *Print Pro Forma Check Register*.

The pro forma check register will show you all the items selected for payment, any discounts taken or credits applied, the total amount of the projected AP check run, and the projected ending balance of your AP bank account after check are run.

If you agree with the pro forma check register, you can proceed with printing the checks. If you disagree with it, go back and make further selections and changes, then run the pro forma check register again until it is to your liking.

To print AP checks, use AP-H, *Print AP Checks*.

Using history notes and follow-ups

Manufacturing Answer 2000 - 5/23/2002

File View Window Help

Accounting GL AP AM AD

AP-A Enter Vendors [History]

Acct Code	ACM-01	Company	ACME PAINT COMPANY
Date	Rep	Ev	Remarks
05/23/02	DBA	1	Called to remind him to get me my pain quote.
06/01/02	DBA	1	finally I got the price.
06/01/02	DBA	1	Gave him a heads up to go ahead with the order.

Help Exit

History notes entry screen

Accounts Payable module is integrated with the *Contact Manager* module, which provides the capability of entering history notes and follow-ups notes with vendors. Both of these can be accessed from the vendor entry screen in AP-A, *Enter Vendors*.

History notes let you record notes of conversations, events, etc. and provide a historical record of events with your vendors.

Follow-ups let you program a follow-up event at some date in the future that reminds you to perform a certain activity. Each day or interval of your choice you can print a follow-up report and see what follow-ups need to be performed.

Follow-ups can be useful for a variety of things, such as keeping track of vendor quotes, managing outside vendors, etc.

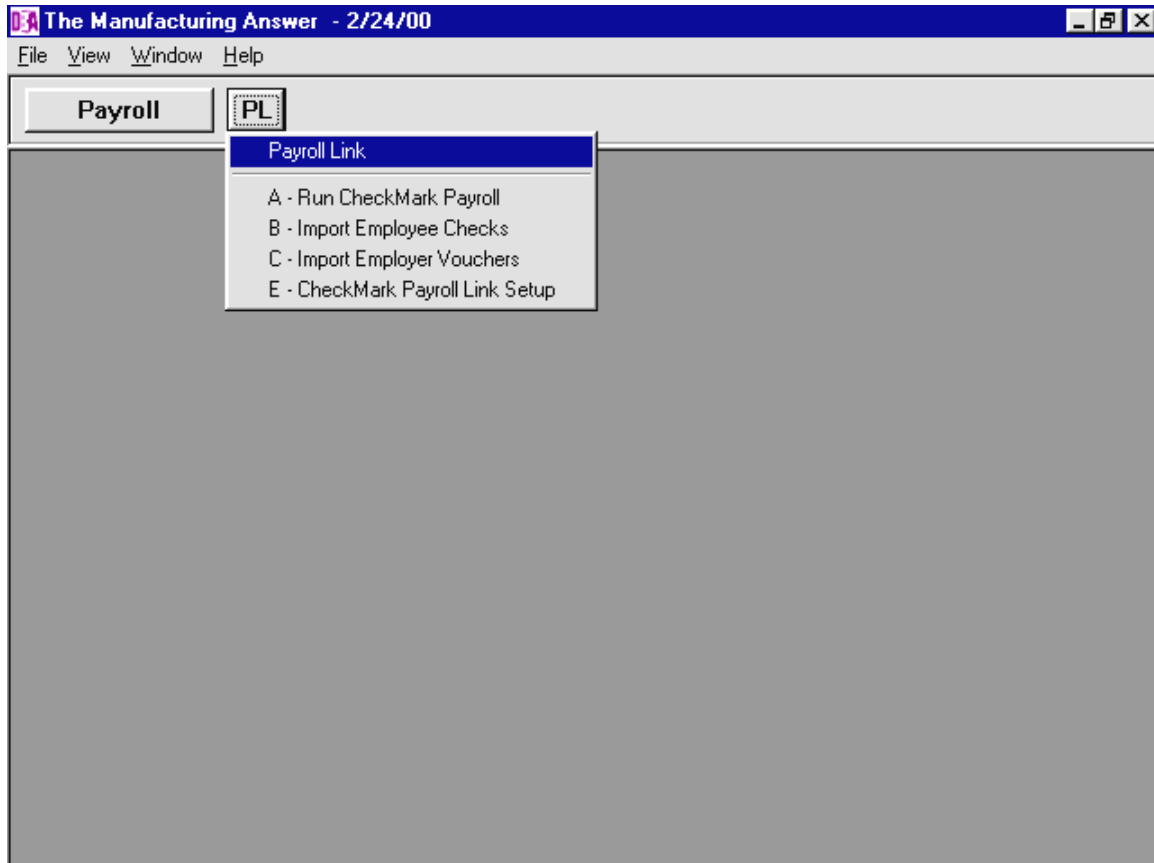
Follow-up codes optionally print within each vendor on the AP-I, *Print AP Aging*, report if you want to use follow-ups to remind yourself when to pay or review vendor invoices.

7. ACCOUNTS RECEIVABLE

See *DBA Manufacturing User Guide*

Accounts Receivable is furnished with DBA Manufacturing. See chapter 21 in the *DBA Manufacturing User Guide* for details.

8. PAYROLL LINK



The *Payroll Link* module is a series of programs that integrates DBA with the *CheckMark Payroll* software package from *CheckMark Software, Inc.* A demo version of *CheckMark Payroll* can be downloaded from *CheckMark's* web site (www.checkmark.com).

All payroll processing, including the printing of employee paychecks and all forms and reports, are performed within *CheckMark*. These payroll transactions are imported via the *Payroll Link* module into DBA's *General Ledger* and check register.

Employer payments for tax withholding and employer tax expenses are calculated within *CheckMark*, but are transferred to DBA for tracking and payment through the *Accounts Payable* system.

Not all information flows solely from *CheckMark* into DBA. AW-L-E, *Print/Post Labor to Payroll*, can produce an export file so that work order labor hours entered in DBA can be posted directly into *CheckMark* and thus don't have to be entered twice. CS-D, *Transfer Commissions*, can optionally product a report that makes it easy to enter employee commissions that are to be paid through payroll.

Setting up GL accounts

General Ledger accounts for all payroll-related accounts need to be set up both in DBA and in *CheckMark*. The account codes must be identical.

To enter GL account codes in *CheckMark*, click *Ledger Accounts* from the *CheckMark* main menu.

Setting up employees

It is not necessary to set up employees in DBA unless you are collecting labor through the *Work Orders* and/or *Data Collection* module or choose to enter employee numbers to document Purchase Order receipts and Inspection buyoffs. If this is the case, you will set up employees both in *CheckMark* and in DBA. Employees are set up in DBA via MM-A, *Enter Employees*.

To enter employees in *CheckMark*, click the *Employees* button on the main menu.

If you will be exporting job cost hours into CheckMark

If you will be using AW-L-E, *Print/Post Labor to Payroll*, to export job cost labor hours into *CheckMark*, you'll need to make sure that the first and last name of each employee in *CheckMark* is exactly the same (including upper/lower case) as the names entered in DBA's MM-A, *Enter Employees*.

Also, make sure the hourly categories are set up in the correct order. The export file created from AW-L-E lists the hours for each employee in the following order: 1. Regular 2. Overtime 3. Doubletime 4. Sick 5. Vacation 6. Holiday. In *CheckMark* click on *Hour Categories* and make sure that the categories are defined in the same order, otherwise the import to *CheckMark* will not work correctly. This is also the same order in which the hour categories should appear on *CheckMark's* *Enter Hours* screen.

Setting up vendors

You must set up vendors in *CheckMark* for all vendors to whom you pay tax withholdings or related employer expenses. These vendors must also be set up on the DBA side in AP-A, *Enter Vendors*, using the exact same account code.

To set up a vendor in *CheckMark*, click *Employer Payees* on the main menu. The DBA account code for the vendor should be entered in the *Reference/ID#* field under *Payee Information*.

NOTE: If the letters of the vendor code are "fat" (e.g. with lots of W's, M's, etc.) you won't be able to fit 10 characters into *CheckMark's* *Reference/ID#* field. If this is the case, you will have to go back into DBA and re-assign the vendor a shorter code.

Exporting job cost hours to CheckMark

AW-L-E, *Print/Post Labor to Payroll*, now has an option to create an export file containing the posted job cost hours that were collected in the *Work Orders* and/or *Data Collection* modules. You can then use this file to import these hours into *CheckMark* instead of manually re-entering them.

To import the hours, in *CheckMark* choose *Enter Hours*, then *Import Hours*, then specify the file name that AW-L-E created.

If you are going to use this feature, be sure and switch it on in PL-E, *CheckMark Payroll Link Setup*. If you do not switch it on, the job cost hours will continue to be posted into the old (discontinued) DBA *Payroll* module.

NOTE: The *CheckMark* import cannot handle numbers larger than 999.99 or less than zero for any single hours category for one employee. If this occurs, you will get a warning message and the hours exported for that employee/category will be zero. You will then need to use the numbers from the printed report to manually adjust this employee in *CheckMark*.

Paying commissions thru CheckMark

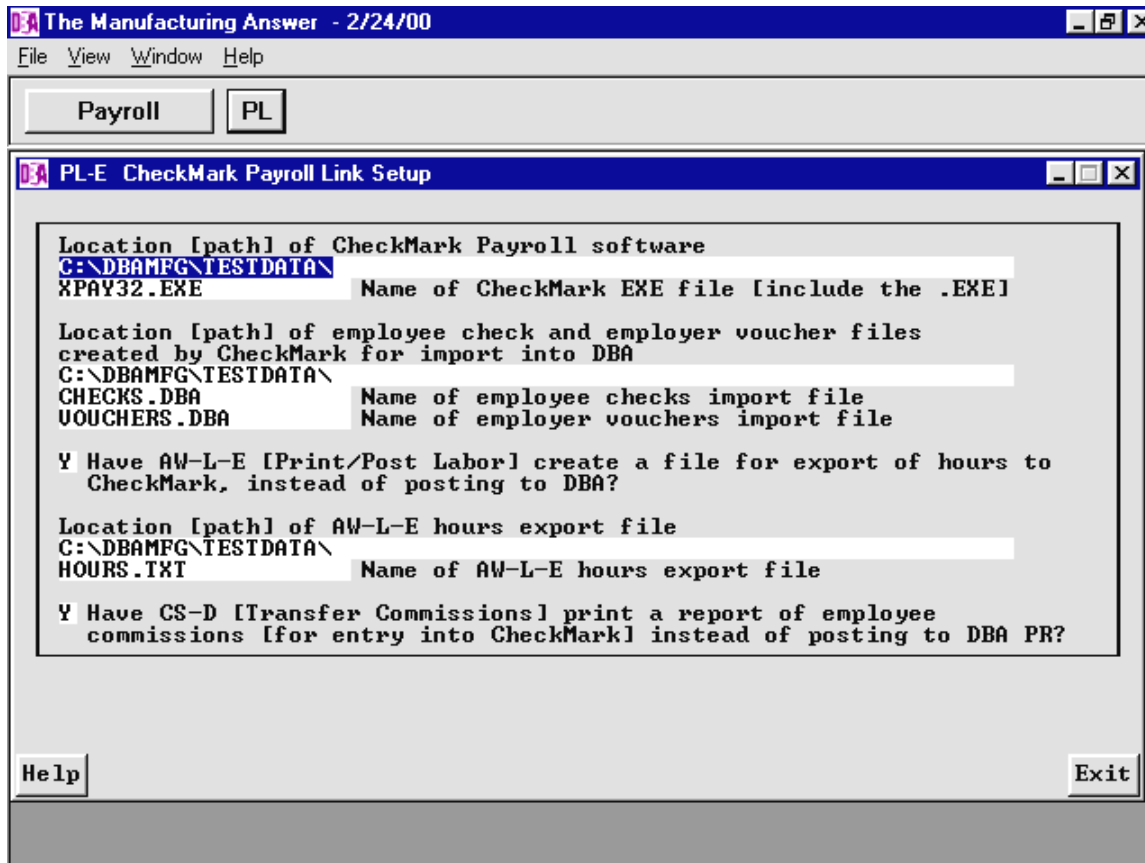
If you wish to pay commissions through *CheckMark* instead of through the old (discontinued) DBA *Payroll* module, set the switch to do so in PL-E, *CheckMark Payroll Link Setup*.

This will cause CS-D, *Transfer Commissions*, to print a report of the employee commissions being transferred instead of posting them to the old DBA *Payroll* module.

The commission amounts on this report must then be entered manually in *CheckMark*.

NOTE: Commissions for non-employee agents continue to be handled through the *Accounts Payable* module and will not be listed on the report and should not be entered into *CheckMark*.

Setting up the Payroll Link (PL-E)



Use this program to enter various default settings used by the *Payroll Link* module.

These settings are unique to each company in the system, so if you are running separate payrolls in each company, you must enter settings in PL-E for each of your companies.

General program operation

First, enter the path where the *CheckMark* program (PAY.EXE) is installed. It is normally located in your DBAMFG folder. For example, if your DBAMFG folder is located on your F drive, you would enter F:\DBAMFG\.

Some companies for security reasons prefer to install CheckMark in a separate folder on the server that can be hidden from other users. If so, move the PAY.EXE program from the DBAMFG to this other folder and enter the appropriate path to it.

NOTE: Make sure any paths that are entered in this program do not contain any spaces or any folder names longer than eight characters.

On the next line enter the name of the *CheckMark* program. It defaults to PAY.EXE.

Enter the path for the location of the employee check and employer voucher import files that *CheckMark* will be creating. It is best to specify the same path as where *CheckMark* is installed, so that you won't have to type in a path each time you create these files in *CheckMark*.

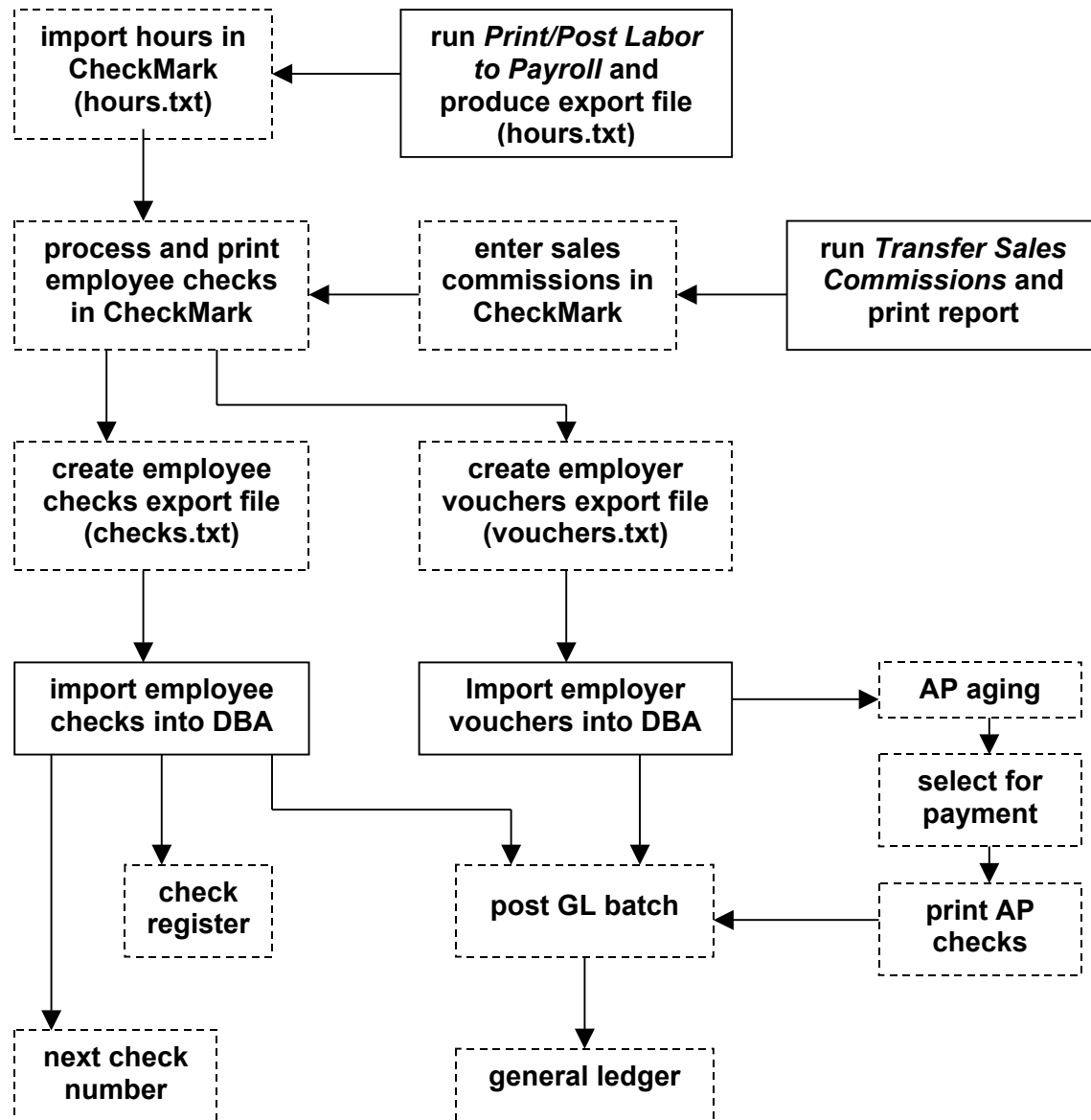
On the next two lines enter the names of the employee check and employer voucher import files. They will default to CHECKS.TXT and VOUCHERS.TXT.

If you want AW-L-E, *Print/Post Labor to Payroll*, to post hours into *CheckMark*, enter a Y in the next field.

Next, enter the path to AW-L-E's export file, which would normally be the path to your DBAMFG folder, and then the name of the export file, which defaults to HOURS.TXT.

If employee commissions are to be paid through *CheckMark*, enter a Y in the last field. This will cause CS-D, *Transfer Commissions*, to print a report of the employee commissions being transferred so that the amounts on the report can be manually entered into *CheckMark*.

Payroll link flow chart



Program descriptions

PL-A Run CheckMark Payroll

Use this program to launch the *CheckMark Payroll* program (PAY.EXE).

Before you can run this program, you must enter default settings in PL-E, *CheckMark Payroll Link Setup*.

When you select this menu option, the *CheckMark* program is launched from the DBA menu. Refer to *CheckMark's* documentation for operating instructions.

PL-B Import Employee Checks

Use this program to import transactions associated with the processing of employee payroll checks within *CheckMark Payroll* into DBA's *General Ledger*.

- The program does the following things..
- Initializes (clears) the import file so that each import starts with a clean slate.
- Checks the transaction date for fiscal year and *GL Close Date* validity. Just like all DBA posting programs, it will allow posting in one or two past fiscal years, if allowed by the *GL Close Date*.
- Validates each *General Ledger* account code.
- Makes sure that the *Payroll* checking acct is properly set up in AD-C, *Checking Accounts Defaults*, and has a valid *General Ledger* account code.
- Makes sure that for every check being imported, there is one, and only one, entry going to the cash account specified for the *Payroll* bank account in AD-C, *Checking Accounts Defaults*.
- Protects against binary zeroes in the GL account and department fields.
- Makes sure total debits equals total credits.

GENERAL PROGRAM OPERATION

Create import file in CheckMark

Before actually running this program you must first create the import file (CHECKS.TXT).

After payroll checks are created and printed in *CheckMark*, click *Employee Paychecks* on the *CheckMark* main menu. You can import the check data by month or by check date. Choose the appropriate report range on the right side of the screen and you will see a number of checks displayed on the left.

In the middle of the screen choose the fourth output option (the one where there is a drop-down selection of formats), and choose *DBA Software* as the format. Then click *Save as Text File*. Click *Save* to accept the default file name

CHECKS. The program will append .TXT as the extension automatically, thus creating the import file CHECKS.TXT.

Running PL-B

This program is run after you've created the import file CHECKS.TXT, as described above.

Enter the path and name of the employee check import file (CHECKS.TXT). For example, if the import file is in your DBAMFG folder on drive F, you would enter F:\DBAMFG\CHECKS.TXT.

If there are errors, an error report is available on the screen. There is also a pre-transfer report. If there are no errors you'll be able to transfer the entries to DBA. This creates GL entries that are eventually posted into the *General Ledger* via GL-O, *Print/Post General Ledger Batches*, and creates a check register entry for each check.

Once the transfer is complete, the CHECKS.TXT import file gets deleted. In AD-C, *Checking Accounts Defaults*, the next check number for the *Payroll* bank account gets updated (if the last check number imported is greater than the current setting).

PL-C Import Employer Vouchers

Use this program to import employer liabilities into DBA for tracking and payment through the *Accounts Payable* system.

Besides processing and printing employee checks, *Checkmark* also calculates employer payments for tax withholding and related employer expenses. *CheckMark* refers to these as "Employer Payees" and "Employer Checks" and, indeed, can print checks for these payments. However, do not print employer checks in *CheckMark*. Rather, the amounts that *CheckMark* calculates for the employer payments will be transferred back into DBA as AP vouchers for payment via a DBA AP check.

The program does the following things..

- Initializes (clears) the import file so that each import starts with a clean slate.
- Checks the transaction date for fiscal year and *GL Close Date* validity. Just like all DBA posting programs, it will allow posting in one or two past fiscal years, if allowed by the *GL Close Date*.
- Validates each *General Ledger* account code.
- Makes sure that the *Accounts Payable* GL account matches the one designated in AD-B, *General Ledger Defaults*, and has a valid *General Ledger* account code.
- Makes sure that each vendor's *Reference/ID#* code has a valid, matching vendor code in AP-A, *Enter Vendors*.

- Protects against binary zeroes in the GL account and department fields.
- Makes sure total debits equals total credits.

GENERAL PROGRAM OPERATION

Create import file in CheckMark

Before actually running this program you must first create the import file (VOUCHERS.TXT).

After creating payments in *CheckMark* as part of running a payroll, click *Employer Checks* on the *CheckMark* main menu. Highlight the appropriate month on the right and you will see a number of checks listed on the left.

In the middle of the screen choose the third output option (drop-down selection of formats) and choose *DBA Software* as the format. The default file name comes up as VOUCHERS. Click *Save* and .TXT will be appended automatically and the VOUCHERS.TXT import file will be created.

Running PL-C

This program is run after you've created the import file VOUCHERS.TXT, as described above.

Enter the path and name of the employer vouchers import file (VOUCHERS.TXT). For example, if the import file is in your DBAMFG folder on drive F, you would enter F:\DBAMFG\VOUCHERS.TXT.

Enter a date range. The reason this is important is that CheckMark only allows vendor payments to be selected by month. If you run payroll weekly and import vendor payments each week, you will get duplicate entries for prior weeks within the same month. Use this date range filter to confine your entries to just the dates you want to import.

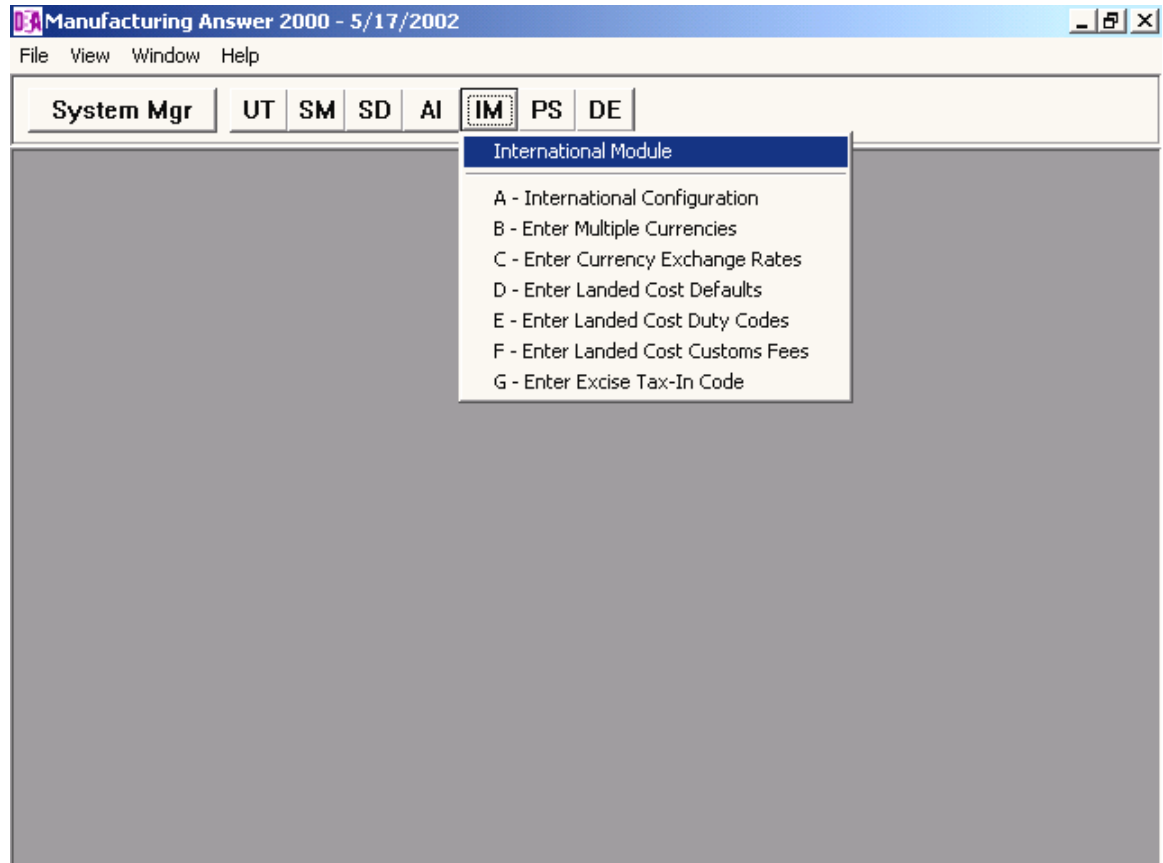
If there are errors, an error report is available on the screen. There is also a pre-transfer report. If there are no errors you'll be able to transfer the entries to DBA. This creates GL entries that are eventually posted into the *General Ledger* via GL-O, *Print/Post General Ledger Batches*, and creates aging records in the AP aging file. These GL entries get posted to the *Payroll* (PR) journal, and the vendor records get updated for outstanding invoices/credits and YTD purchases. Once aging records are created, they can be selected for payment at any time the same as any other payable.

PL-E CheckMark Payroll Link Setup

Use this program to enter various default settings used by the *Payroll Link* module.

These settings are unique to each company in the system, so if you are running separate payrolls in each company, you must enter settings in PL-E for each of your companies.

9. INTERNATIONAL MODULE



The *International Module* includes two major capabilities, multi-currency processing and landed cost. In addition, the standard system has been equipped with a sales tax system that is flexibly designed to handle international requirements. These three international capabilities are described below.

Multi-currency processing

Multiple currency processing allows you to enter transactions in up to ten different currencies (which we refer to as *source currencies*) while keeping your financial reporting in your own currency (which we refer to as the *base currency*).

Each currency is set up via IM-B, *Enter Multiple Currencies*, and currency exchange rates are maintained in a table via IM-C, *Enter Currency Exchange Rates*. Each time you update exchange rates, a record is saved of the previous exchange rates so that transactions, no matter how far backdated they are entered, can be matched to the closest historical exchange rate.

Your inventory, expenses, revenues, purchases, and sales are posted in your *base currency*. Monetary accounts (*Accounts Payable*, *Accounts Receivable*, *Customer Deposits*, *PO's Rec'd not Invoiced*, foreign currency *Bank Accounts*) are maintained in the *source currency*. Each currency has its own GL accounts for these monetary balances so that they can be kept separate on your *General*

Ledger.

If you are in a country (such as Canada) that requires all currency fluctuations to be recognized once per month, you say Pay=N in IM-A and once per month run *Convert to Base Currency* routine in IM-B, *Enter Multiple Currencies*, that translates the monetary accounts into your *base currency* at current exchange rates. If not, then the gain or loss due to currency fluctuations is recognized when customer payments are received or Accounts Payable checks are processed and you need to run *Convert to Base* prior to running financial statements.

Landed cost processing

In many countries the landed cost of importing goods and materials (freight, duty, customs fees, broker fees) often represents a significant portion of cost that must be reflected in the inventory cost of items.

DBA provides the means of setting up general ledger accounts for these costs via IM-D, *Enter Landed Cost Defaults*, a table of duty codes and percentages via IM-E, *Enter Landed Cost Duty Codes*, and a table of customs brokers and fees via IM-F, *Enter Landed Cost Customs Fees*.

Duty codes can be assigned to inventory items via IN-B, *Enter Inventory*, and customs brokers can be assigned during PO-C, *Receive Purchase Orders*. When items are received through PO-C, the landed costs (freight, duty, customs fees, broker fees) are calculated and added to each item's inventory cost.

Sales & purchase tax processing

Sales tax processing in the United States is straightforward and usually involves a single sales tax rate applied to selective line items with a single tax total at the bottom of the invoice. In other countries, however, multiple taxes (such as federal taxes, provincial taxes, local taxes, value added taxes, excise taxes) often apply and sometimes must be itemized on the invoice. In some cases, taxes are applied in a hierarchical fashion in which some taxes are "taxes on taxes."

DBA allows you to set up tax codes for each type of tax via AM-F, *Enter Tax Codes*, and then allows you to group these taxes together via AM-G, *Enter Tax Groups*. Any number of these tax groupings can be set up and assigned to particular customers and vendors. You can specify whether freight is to be taxed and whether a tax applies to other taxes. If you want the taxes itemized and printed out on the invoice, there is a setting in IM-A, *International Configuration*, which allows you to activate this feature.

In regards to sales taxes on purchases, in the United States the collection and reporting of such taxes is the responsibility of the vendor. In some other countries, however, this is not the case and the tax must be accounted for and reported in the same fashion as sales tax. The same type of tax codes and tax groups used for sales taxes can also be set up in AM-F and AM-G for taxes on purchases.

Finally, in some countries excise taxes are applied on both sales and purchases in

which the tax is imbedded in the price of the product. DBA lets you set these type of taxes up via IM-G, *Enter Tax-In Codes*. When invoices get posted, the sales amounts that get reflected in sales reports and the *General Ledger* are reduced by the amount of the excise tax so as not to be overstated.

All of the taxes described above can be listed via AR-K, *Print Sales Tax Report*, and can be transferred for payment via AR-L, *Transfer Sales Taxes*.

Multiple currency startup

When you set the *Multi-Currency* field to *Y* in IM-A, *International Configuration*, the entire DBA system is set for multiple currency processing. Many programs will not let you use them until you get your system properly set up for multiple currency processing.

System setup includes the following:

- Create appropriate *General Ledger* accounts
- Enter currency codes
- Enter currency exchange rates
- Enter currency checking accounts
- Assign currencies to vendors (the program defaults all to *base currency*)
- Assign currencies to customers (the program defaults all to *base currency*)
- Assign the *Currency* field in all open and closed sales orders, purchase orders, vouchers, and AP checks to *base currency*

All of this can be done via a single startup program named MCSTART. You must run this program before you can begin multi-currency processing.

MCSTART *Multi-Currency Startup* program

Before you run this program, you should study IM-B, *Enter Multiple Currencies*, and set up the various GL accounts that will be needed for the multi-currency system.

To run the multi-currency startup program, go to UT-A, *Run a DBA Program*, and type MCSTART and press <Enter>.

The first thing the program will do is take you to IM-B, *Enter Multiple Currencies*, where you can set up the various currencies you will be using. You can set up a minimum of one currency and return to IM-B later if you want to add the rest. At a minimum you must set up your *base currency*.

After escaping from that program, MCSTART automatically takes you to IM-C, *Enter Currency Exchange Rates*, where you can enter current exchange rates for each of your currencies.

After escaping from that program, MCSTART automatically takes you to AD-C, *Checking Accounts Defaults*, where you can set up bank accounts for each of your currencies. Each bank account must be assigned to a currency, so when you create a new bank account, make sure you have its currency set up beforehand.

After escaping from that program MCSTART takes you to a listing of vendors. The program assigns all vendors a default of *base currency*. You can then select just those vendors that transact in foreign currency and change them from *base currency* to *source currency*.

After completing vendor currency assignments, MCSTART takes you to a listing of customers. The program assigns all customers a default of *base currency*. You can then select just those customers that transact in foreign currency and change them from *base currency* to *source currency*.

After completing customer currency assignments, MCSTART asks you, as a first time multi-currency user, if you wish to assign the *Currency* field in all your open, and closed, and historical sales orders, purchase orders, vouchers, and AP checks to base currency. You should do so, because at the time all these items were entered you were on a single currency system, which was your *base currency*. If you wish to change any open sales orders, purchase orders, and vouchers to *source currency*, you will have to manually change their *Currency* fields and adjust the amounts on the line items.

After this last routine is finished processing, you will be told that the multiple currency conversion is complete.

IM-A International Configuration

Manufacturing Answer 2000 - 5/23/2002

File View Window Help

System Mgr UT SM SD AI IM PS DE

IM-A International Configuration

International Forms
Excise Tax
Multi-Currency
Landed Costs
Auto-Tax Calc

Pay ☐

Help Save Exit

Use this program to activate or de-activate various functions of the *International Module* of DBA.

Field explanations

Multi-Tax Forms

If multiple tax codes apply to a sales order or purchase order and you want each tax code to be separately itemized and printed out in the bottom portion of the invoice, enter a Y in this field.

If you want only a single total for all taxes to print, enter an N in this field.

Excise Tax

If you will be using excise tax processing in which the tax is embedded in the item's selling or purchase price, enter a Y in this field.

Multi-Currency

If you will be using multi-currency processing, enter a Y in this field. Be aware that when you do so, you are switching the multi-currency system on and that you will not be able to run certain programs until you first complete your multi-

currency setup. See Multiple Currency Startup at the beginning of the chapter for details.

Pay

This option determines how currency gains or losses are handled on payments -- meaning payments you make to vendors and payments you receive from customers. If your country allows you to recognize the currency gain or loss at the time of the transaction, enter a *Y* in this field.

In some countries (such as Canada) you are required to recognize currency adjustments for payments at month end, rather than at the time payments are made or received. If so, enter an *N* in the *Pay* field.

Landed Costs

Enter a *Y* in this field if you will be using landed cost processing.

Auto-Tax Calc

Set this to *Y* if you wish to have the capability of processing sales tax within AP-B, Enter Vouchers. Processing sales tax means that it will be posted to the *General Ledger* and also to the sales tax file where it can be ultimately be transferred for payment to the appropriate tax authorities.

IM-B Enter Multiple Currencies

Manufacturing Answer 2000 - 5/23/2002

File View Window Help

System Mgr UT SM SD AI IM PS DE

IM-B Enter Multiple Currencies

Code	Description	Base?	Symbol	Text	Pos	Decimals
						0
Accounts Payable						
Control Acct	-					
AP Conversions	-					
Accounts Receivable						
Control Acct	-					
AR Conversions	-					
AR Deposits	-					
AR Dep. Conv.	-					
Interest	0.000 %			Days	0	
PO's Received Not Invoiced						
Control Acct	-					
RNI Conversions	-					
Bank Account						
Bank Acct Conversions	-					
Foreign Exchange						
Gain/Loss-Trxns	-					
Gain/Loss-Conversions	-					
Last Conversion values						
Bank	0.00			AR DEP		0.00
A/P	0.00			PO RNI		0.00
A/R	0.00			F/E		0.00

Help Exit

Use this program to set up your foreign currencies and their associated *General Ledger* accounts. You must establish one currency as your *base currency*; all other currencies are *source currencies*.

Whenever you click the *Convert to Base Currency* button on the opening screen of this program, all the monetary accounts in the system that are maintained in *source currency* (*Accounts Payable*, *Accounts Receivable*, *Customer Deposits*, *PO's Rec'd not Invoiced*) are converted to your *base currency* using the rates currently entered in IM-C, *Enter Currency Exchange Rates*. You would therefore always run this routine just prior to printing financial statements or reviewing financial data.

Customers and vendors can be assigned *source currency* codes within AR-A, *Enter Customers*, and AP-A, *Enter Vendors*. These are simply default currencies; at the sales order and purchase order level you can override these defaults and can thus transact in different currencies with the same customer or vendor.

Field explanations

Code

A three-character code that represents this currency.

Description

A 25-character description for this currency.

Base

Enter Y if this is your *base currency*, which is usually the domestic currency that you use for financial reporting. You will not be given access to any of the other fields on the screen, which are not relevant for the *base currency*. Only one currency can be the *base currency*. If you are setting up a source currency, enter an N in this field.

Symbol

This is the symbol (such as the "\$" for dollars or the "£" for pounds) that will print next to the currency amounts on checks and forms.

Text

This is the text, such as "dollars" or "pounds", which will print on AP checks.

Pos

If you want the currency symbol before the amount, enter an *F* in this field. If you want the symbol printed after the amount (the French standard), enter a *B* in this field.

Decimals

The number of decimals that are to be printed for the amount on the check. For example, one hundred dollars can be made to print the following ways: 0 decimals = \$100; 1 decimal = \$100.0; 2 decimals = \$100.00; 3 decimals = \$100.000.

ACCOUNTS PAYABLE

Control Account

Any programs that automatically post to *Accounts Payable* will post to this GL account when this currency is being used. This GL account would normally be located adjacent to your base currency's *Accounts Payable* account.

Postings to this GL account are always in the source currency. For example, if you process a vendor invoice through AP-C, *Enter Purchase Order Invoices*, a credit in source currency is made to the *AP Control Account*. The offsetting debit is made to this currency's *PO's Received not Invoiced Control Account*, which is also maintained in source currency.

Another example of posting to this account is when you make a payment to your vendor through AP-H, *Print Checks*. If the *Pay* option in IM-A, *International Configuration*, is set to N, a debit (in *source currency*) is made to the *AP Control Account*. The offsetting credit (in *source currency*) is made to this currency's *Bank Account*.

In the same example, but this time with the *Pay* option in IM-A set to Y, there are two GL transactions. The first one is the same as in the paragraph above. The second is a currency conversion transaction whereby the amount of the payment is converted to your *base currency* using the closest historical exchange rate maintained in IM-C, *Enter Currency Exchange Rates*. This *base currency* amount is then debited to this currency's *F/E Gain/Loss-Trxns* account and the offsetting amount is credited to this currency's *F/E Gain/Loss-Conversions* account. Thus, the gain or loss is recorded at the time of transaction rather than when the *Convert to Base Currency* routine is run.

AP Conversions

The *AP Conversions* GL account would normally be located adjacent to this currency's *AP Control* account.

Whenever the *Convert to Base Currency* routine is run, the following GL transactions take place.

First, the last conversion transaction is reversed. If the *AP Conversions* account has a credit balance, it is debited by the amount (in *base currency*) stored in the *Last Conversion Values* that you see in the lower right hand portion of the screen. If it has a debit balance, it gets credited. The offsetting entry is made to this currency's *F/E Gain/Loss-Conversions* account.

Second, a currency conversion transaction is made using the exchange rate maintained in IM-C, *Enter Currency Exchange Rates*. The formula is: (current exchange rate) - 1 = (differential rate). (differential rate) x (*AP Control Acct* balance) = *AP Conversion* amount.

This amount is credited to this currency's *AP Conversions* account and the offsetting debit is made to this currency's *F/E Gain/Loss Conversions* account.

As a result of these transactions, the sum of your *AP Control Account* and your *AP Conversions* account represents the total of your *Accounts Payable* in *base currency*. This sum total is the figure you use when you reconcile your AP aging report (which you must run in *base currency*) with the *General Ledger*.

Any gain or loss resulting from this conversion is reflected on your income statement in this currency's *F/E Gain/Loss-Conversions* account.

ACCOUNTS RECEIVABLE

Control Account

Any programs that automatically post to *Accounts Receivable* will post to this GL account when this currency is being used. This GL account would normally be

located adjacent to your base currency's *Accounts Receivable* account.

Postings to this GL account are always in the source currency. For example, when you post an invoice in this currency, the *AR Control Account* for this currency gets debited in the source currency. The offsetting entries for your *Sales* and *Sales Tax Payable* accounts get converted to your base currency at the closest historical exchange rate maintained in IM-C, *Enter Currency Exchange Rates*. The difference between the debit and credits gets posted to this currency's *F/E Gain/Loss-Trxns* account.

Another example of posting to this account is when you receive a payment from a customer through AR-C, *Record Payments*. If the *Pay* option in IM-A, *International Configuration*, is set to N, a credit (in *source currency*) is made to the *AR Control Account*. The offsetting debit (in *source currency*) is made to this currency's *Bank Account*.

In the same example, but this time with the *Pay* option in IM-A set to Y, there are two GL transactions. The first one is the same as in the paragraph above. The second is a currency conversion transaction whereby the amount of the payment is converted to your *base currency* using the exchange rate maintained in IM-C, *Enter Currency Exchange Rates*. This *base currency* amount is then credited to this currency's *F/E Gain/Loss-Trxns* account and the offsetting amount is debited to this currency's *F/E Gain/Loss-Conversions* account. Thus, the gain or loss is made at the time of transaction rather than when the *Convert to Base Currency* routine is run.

AR Conversions

The *AR Conversions* GL account would normally be located adjacent to this currency's *AR Control* account.

Whenever the *Convert to Base Currency* routine is run, the following GL transactions take place.

First, the last conversion transaction is reversed. If the *AR Conversions* account has a debit balance, it is credited by the amount (in *base currency*) stored in the *Last Conversion Values* that you see in the lower right hand portion of the screen. If it has a credit balance, it gets debited. The offsetting entry is made to this currency's *F/E Gain/Loss-Conversions* account.

Second, a currency conversion transaction is made using the exchange rate maintained in IM-C, *Enter Currency Exchange Rates*. The formula is: (current exchange rate) - 1 = (differential rate). (differential rate) x (*AR Control Acct* balance) = *AR Conversion* amount.

This amount is debited to this currency's *AR Conversions* account and the offsetting credit is made to this currency's *F/E Gain/Loss Conversions* account.

As a result of these transactions, the sum of your *AR Control Account* and your *AR Conversions* account is the sum total of your *Accounts Receivable* in *base currency*. This sum total is the figure you use when you reconcile your AR aging report (which you must run in *base currency*) with the *General Ledger*.

Any gain or loss resulting from this conversion is reflected on your income statement in this currency's *F/E Gain/Loss-Conversions* account.

AR Deposits

This field holds the GL account for AR deposits (entered in AR-N, *Enter/Print Customer Deposits*).

Interest

If interest is charged on overdue accounts associated with this currency, this will be the monthly interest rate used. For example, if you are charging 18% per year, then this amount would be 1.5. (1.5 percent x 12 months = 18 percent)

Days

The number of days an invoice must be past due before interest is charged for a customer transacting in this currency.

PO'S RECEIVED NOT INVOICED

Control Account

Any programs that automatically post to *PO's Rec'd not Invoiced* will post to this GL account when this currency is being used. This GL account is normally located adjacent to your base currency's *PO's Rec'd not Invoiced* account.

Postings to this GL account are always in the source currency. For example, when you receive a purchase order through PO-C, *Receive Purchase Orders*, the *PO's Rec'd not Invoiced* account for this currency gets credited in the *source currency*. The offsetting entry for *Inventory* or *WIP* gets converted to your *base currency* at the closest historical exchange rate maintained in IM-C, *Enter Currency Exchange Rates*. The difference between the credit and debit gets posted to this currency's *F/E Gain/Loss-Trxns* account.

Another example of posting to this account is when you process a vendor invoice through AP-C, *Enter Purchase Order Invoices*. In this case a debit in *source currency* is made to this currency's *PO's Received not Invoiced Control Account* and an offsetting credit in *source currency* is made to this currency's *AP Control Account*.

PORNI Conversions

The *PORNI Conversions* GL account would normally be located adjacent to this currency's *PORNI Control* account.

Whenever the *Convert to Base Currency* routine is run, the following GL transactions take place.

First, the last conversion transaction is reversed. If the *PORNI Conversions* account has a credit balance, it is debited by the amount (in *base currency*) stored in the *Last Conversion Values* that you see in the lower right hand portion of the

screen. If it has a debit balance, it gets credited. The offsetting entry is made to this currency's *F/E Gain/Loss-Conversions* account.

Second, a currency conversion transaction is made using the exchange rate maintained in IM-C, *Enter Currency Exchange Rates*. The formula is: (current exchange rate) - 1 = (differential rate). (differential rate) x (*PORNI Control Acct* balance) = *PORNI Conversion* amount.

This amount is credited to this currency's *PORNI Conversions* account and the offsetting debit is made to this currency's *F/E Gain/Loss Conversions* account.

As a result of these transactions, the sum of your *PORNI Control Account* and your *PORNI Conversions* account is the sum total of your *PO's Rec'd not Invoiced* in base currency. This sum total is the figure you use when you reconcile your *PO's Rec'd not Invoiced* report (which you must run in base currency) with the *General Ledger*.

Any gain or loss resulting from this conversion is reflected on your income statement in this currency's *F/E Gain/Loss-Conversions* account.

BANK ACCOUNT

Bank accounts for each currency are set up in AD-C, *Checking Accounts Defaults*.

Bank Account Conversions

The *Bank Account Conversions* GL account would normally be located adjacent to this currency's bank account GL account.

Whenever the *Convert to Base Currency* routine is run, the following GL transactions take place.

First, the last conversion transaction is reversed. If the *Bank Account Conversions* account has a credit balance, it is debited by the amount (in base currency) stored in the *Last Conversion Values* that you see in the lower right hand portion of the screen. If it has a debit balance, it gets credited. The offsetting entry is made to this currency's *F/E Gain/Loss-Conversions* account.

Second, a currency conversion transaction is made using the exchange rate maintained in IM-C, *Enter Currency Exchange Rates*. The formula is: (current exchange rate) - 1 = (differential rate). (differential rate) x (*Bank Acct Control Acct* balance) = *Bank Acct Conversion* amount.

This amount is debited to this currency's *Bank Account Conversions* account and the offsetting credit is made to this currency's *F/E Gain/Loss Conversions* account.

As a result of these transactions, the sum of your *Bank Account Control Account* and your *Bank Account Conversions* account is the sum total of your *Bank Account* in base currency.

Any gain or loss resulting from this conversion is reflected on your income statement in this currency's *F/E Gain/Loss-Conversions* account.

FOREIGN EXCHANGE

F/E Gain/Loss-Trxns

This GL account is normally an expense account and is located adjacent to your *F/E Gain/Loss-Conversions* account for this currency. The sum of these two accounts represents the accumulated gain or loss for this currency on your income statement.

F/E Gain/Loss-Trxns gets affected in all cases whenever purchase order receipts or invoice postings are made in this currency. Payment transactions to vendors and from customers also affect this account when the *Pay* option in IM-A, *International Configuration*, is set to Y. The following explains each of these situations.

First, when you receive a purchase order to *Inventory* or *WIP*, this currency's *PORNI Control Account* gets credited in *source currency* and your *Inventory* or *WIP* account gets converted to *base currency* at the current exchange rate and is debited. The difference between the *source currency* amount and the *base currency* amount gets posted to this currency's *F/E Gain/Loss-Trxns* account.

Second, when you invoice a sales order, this currency's *AR Control Account* gets debited and your *Sales Tax Payable* account gets credited, both in *source currency*. Your *Sales* account(s) gets converted to *base currency* and is credited. The difference between the *source currency* amounts and the *base currency* amounts gets posted to this currency's *F/E Gain/Loss-Trxns* account.

Third, when you make a payment to your vendor and the *Pay* option in IM-A, *International Configuration*, is set to Y, a debit (in *source currency*) is made to this currency's *AP Control Account*. The offsetting credit (in *source currency*) is made to this currency's *Bank Account*. Following that is currency conversion transaction whereby the amount of the payment is converted to your *base currency*. This *base currency* amount is then debited to this currency's *F/E Gain/Loss-Trxns* account and the offsetting amount is credited to this currency's *F/E Gain/Loss-Conversions* account.

Fourth, when you receive a payment from your customer and the *Pay* option in IM-A, *International Configuration*, is set to Y, a credit (in *source currency*) is made to this currency's *AR Control Account*. The offsetting debit (in *source currency*) is made to this currency's *Bank Account*. Following that is a currency conversion transactions whereby the amount of the payment is converted to *base currency*. This *base currency* amount is then credited to this currency's *F/E Gain/Loss-Trxns* account and the offsetting amount is debited to this currency's *F/E Gain/Loss-Conversions* account. Thus, the gain or loss is made at the time of transaction rather than when the *Convert to Base Currency* routine is run.

F/E Gain/Loss-Conversions

This GL account is normally an expense account and is located adjacent to your *F/E Gain/Loss-Trxns* account for this currency. The sum of these two accounts represents the accumulated gain or loss for this currency on your income

statement.

Whenever you run the *Convert to Base Currency* routine, which is run whenever you are printing financial statements or reviewing financial data, your monetary accounts for this currency (*Accounts Payable, Accounts Receivable, Customer Deposits, PO's Received not Invoiced, Bank Account*) get converted to base currency. The resulting gain or loss gets posted to this account.

For details on what occurs during the *Convert to Base Currency* routine, see the *Conversions* sections above for each of the monetary accounts.

Last Conversion Values

These are the last values (in *base currency*) that were posted to each of your monetary *Conversions* accounts the last time the *Convert to Base Currency* routine was run.

Each time the *Convert to Base Currency* routine is run, these amounts will be used to make a reversing entry to each of the monetary *Conversions* accounts, with the offsetting entry going to the *F/E Gain/Loss-Conversions* account. For details on this process, see the *Conversions* sections above for each of the monetary accounts.

General program operation

To enter a new currency, from the opening list click the *Add* button. Enter values in all the fields and save the record when finished by clicking on *Save* or pressing F10. See *Field Explanations* above for details.

To edit an existing record, from the opening list highlight the currency you want and click the *Edit* button or double click on that item. Change any fields and re-save the record.

Whenever you wish to print financial statements or review financial data or, if Pay is set to N in IM-A, then at least once per month, go to this program and, from the opening list screen, click on the *Convert to Base Currency* button. This will convert all your source currency monetary accounts (*Accounts Payable, Accounts Receivable, Customer Deposits, PO's Rec'd not Invoiced, Bank Accounts*) into base currency, with any resulting gain or loss flowing to your *F/E Gain/Loss-Conversions* GL account.

Multi-currency processing chart

Sales Order Invoice Processing (SO-G)

<u>Debit Entries</u>	<u>Credit Entries</u>	<u>Debit or Credit</u>
AR Control (source)	Sales (base)	F/E-Trxns (mixed)
	Sales Tax Payable (base)	
Cost of Goods Sold (base)	Inventory (base)	
Commission Exp (base)	Commissions Payable (base)	

Customer Payment Processing (AR-C) – Pay Option N

<u>Debit Entries</u>	<u>Credit Entries</u>
Bank Acct (source)	AR Control (source)

Customer Payment Processing (AR-C) – Pay Option Y

<u>Debit Entries</u>	<u>Credit Entries</u>
Bank Acct (source)	AR Control (source)
F/E-Conversions (base)	F/E-Trxns (base)

Customer Vouchers (AR-B)

<u>Debit Entries</u>	<u>Credit Entries</u>	<u>Debit or Credit</u>
AR Control (source)	Sales (base)	F/E-Trxns (mixed)
	-enter source, converts to base	
	Sales Tax Payable (base)	
	-enter source, converts to base	

Sales Tax Transfer (AR-L)

<u>Debit Entries</u>	<u>Credit Entries</u>	<u>Debit or Credit</u>
Sales Tax Payable (base)	AP Control (source or base)	F/E-Trxns (if mixed)

PO Receiving Processing (PO-C)

<u>Debit Entries</u>	<u>Credit Entries</u>	<u>Debit or Credit</u>
Inventory (base)	PORNI Control (source)	F/E-Trxns (Mixed)

PO Invoice Processing (AP-C)

<u>Debit Entries</u>	<u>Credit Entries</u>
PORNI Control (source)	AP Control (source) F/E-Trxns (Mixed)
Freight Expense (base)	Sales Tax Payable (base)
	-enter source, converts to base

Vendor Payment Processing (AP-H) – Pay Option N

<u>Debit Entries</u>	<u>Credit Entries</u>
AP Control (source)	Bank Acct (source)

Vendor Payment Processing (AP-H) – Pay Option Y

<u>Debit Entries</u>	<u>Credit Entries</u>
AP Control (source)	Bank Acct (source)
F/E-Trxns (base)	F/E-Conversions (base)

Vendor Vouchers (AP-B, AP-O)

<u>Debit Entries</u>	<u>Credit Entries</u>	<u>Debit or Credit</u>
Expense (base)	AP Control (source)	F/E-Trxns (Mixed)
-enter source, converts to base		

Bank Transfer to Base Account (GL-K)

<u>Debit Entries</u>	<u>Credit Entries</u>	<u>Debit or Credit</u>
----------------------	-----------------------	------------------------

Acct 1 (base or source) Acct 2 (base or source) F/E-Trxns (mixed)

Conversion to Base Currency (IM-B)

First transaction -- Reversal of last conversion value:

Debit Entries

AP Conversions (base)
-if it had a credit balance
F/E-Conversions (base)

PORNI Conversions (base)
-if it had a credit balance
F/E-Conversions (base)

Credit Entries

F/E-Conversions (base)

AR Conversions (base)
-if it had a debit balance
F/E-Conversions (base)

Bank Acct Conversions (base)
-If it had a debit balance

Second transaction -- conversion to base currency: Formula: (current exchange rate) - 1 = (differential rate). (differential rate) x (*Control Acct* balance) = *Conversion* account amount.

Debit Entries

F/E-Conversions (base)
AR Conversions (base)
F/E-Conversions (base)
Bk Acct Conversions (base)

Credit Entries

AP Conversions (base)
F/E-Conversions (base)
PORNI Conversions (base)
F/E-Conversions (base)

IM-C Enter Currency Exchange Rates

Manufacturing Answer 2000 - 5/23/2002

File View Window Help

System Mgr UT SM SD AI IM PS DE

IM-C Enter Currency Exchange Rates

Date 5/23/02

Base	Source	Rate	Rate
		1.000000	
		0.000000	
		0.000000	
		0.000000	
		0.000000	
		0.000000	
		0.000000	
		0.000000	
		0.000000	
		0.000000	
		0.000000	
		0.000000	

Help Lookup Exit

Use this program to enter the current rates for up to 10 different source currencies. These rates are used throughout the system to convert source currencies into base currency and to calculate foreign exchange gains or losses. A lookup is provided on the *Date* field that lets you view rates entered on previous dates.

Each time you update exchange rates, a record is saved of the previous exchange rates so that transactions, no matter how far backdated they are entered, can be matched to the closest historical exchange rate.

Field explanations

Date

The date the rates that are displayed were entered. You can perform a lookup on this field to see rates entered on previous dates.

Base

This field displays your base currency code for reference purposes only.

Source

Enter the source currency code set up in IM-B, *Enter Multiple Currencies*.

Rate

This is the daily rate or average daily rate that will be used to calculate all foreign currency transactions and conversions. The *source currency* is multiplied by this rate in order to convert it to its value in your *base currency*.

IM-D Enter Landed Cost Defaults

Manufacturing Answer 2000 - 5/23/2002

File View Window Help

System Mgr UT SM SD AI IM PS DE

IM-D Enter Landed Cost Defaults

Duty Account		-
Freight Account		-
Customs Fees Account		-

Help Save Exit

Use this program to set up the general ledger accounts used for *Landed Cost* processing. The items set up in IM-E, *Enter Landed Cost Duty Codes*, and IM-F, *Enter Landed Cost Customs Fees*, will perform calculations in purchase order receiving that get posted to these general ledger accounts.

Field explanations

Duty Account

The general ledger account to which duty fees will be posted when receiving a purchase order.

Freight Account

The general ledger account to which freight will be posted when receiving a purchase order.

Custom Fees Account

The acct to which custom broker fees will be posted when receiving a PO.

IM-E Enter Landed Cost Duty Codes

Manufacturing Answer 2000 - 5/23/2002

File View Window Help

System Mgr UT SM SD AI **IM** PS DE

IM-E Enter Landed Cost Duty Codes

Duty Code

Percentage

The first 3 characters of the Duty Code represent the Vendor's Code. The second 3 characters represent the Item's Code. When combined the system will calculate the given percentage. EX. a Vendor with Duty Code "USA", selling you an Item with Duty Code "9 " would calculate the percentage for code "USA9 ".

Help Save Exit

The calculation of duty on an imported item is a combination of the duty on the item purchased (per Duty Classification Tables) and the vendor from which it is purchased (Country of Import). The amount calculated for duty will be added to the cost of the inventory item being received.

The first three characters of the *Duty Code* are associated with a specific vendor and is entered in AP-A, *Enter Vendors*, in the *Duty Code* field. The second three characters of the *Duty Code* are associated with a specific item and are entered in IN-B, *Enter Inventory*, in the *Duty Code* field. These two 3-character codes are then combined to create a 6-character *Duty Code* that gets assigned a corresponding percentage rate.

Field explanations

Duty Code

This is a 6-character code that results from combining the vendor *Duty Code* from AP-A, *Enter Vendors*, with the item *Duty Code* from IN-B, *Enter Inventory*.

Percentage

Enter the duty percentage that is charged for this Item Classification when imported from the vendor's country.

IM-F Enter Landed Cost Customs Fees

Manufacturing Answer 2000 - 5/23/2002

File View Window Help

System Mgr UT SM SD AI IM PS DE

IM-F Enter Landed Cost Customs Fees

Broker Type	<F/P>
Flat Fee	0.00
Percentage	0.000000

Help Lookup Save Exit

Use this program to establish the amount charged for customs brokerage fees that you want included in the cost of your inventory items. The brokerage fee is attached to the vendor code and can either be a flat fee or a percentage charge on the value of the shipment. The brokerage fee is calculated proportionally for each item during purchase order receiving.

Field explanations

Broker

This is a vendor code entered in AP-A, *Enter Vendors*, which represents the broker for the shipment.

Type

The *Type* indicates the method used to calculate the broker fees. If the fees are calculated as a flat amount, regardless of the size of shipment, enter an F. If the fee is to be a percentage of the value of the shipment, enter a P.

Flat Fee

If the *Type* is *F* for flat fee, enter the amount of the flat fee in this field in the currency assigned to the broker in AP-A, *Enter Vendors*.

Percentage

If the *Type* is *P* for percentage, enter the percentage amount in this field.

IM-G Enter Tax-In Codes

Manufacturing Answer 2000 - 5/23/2002

File View Window Help

System Mgr UT SM SD AI IM PS DE

IM-G Enter Excise Tax-In Code

Tax Code Description Tax ID Number

Vendor

PO TAXES				SO TAXES			
Cd	From	To	Percent	Cd	From	To	Percent
	0.00	0.00	0.000		0.00	0.00	0.000
	0.00	0.00	0.000		0.00	0.00	0.000
	0.00	0.00	0.000		0.00	0.00	0.000
	0.00	0.00	0.000		0.00	0.00	0.000
	0.00	0.00	0.000		0.00	0.00	0.000
	0.00	0.00	0.000		0.00	0.00	0.000
	0.00	0.00	0.000		0.00	0.00	0.000
	0.00	0.00	0.000		0.00	0.00	0.000
	0.00	0.00	0.000		0.00	0.00	0.000
	0.00	0.00	0.000		0.00	0.00	0.000

GL Account - GL Account

Help Exit

Commonly referred to as “Tax-In”, this program enables you to back out the taxes that are embedded in the selling or purchase price, using the rate scheme specified in this program. The calculation reduces the selling or purchase price by the tax in the price and posts the tax amounts to the general ledger accounts specified on this screen.

The *Tax-In* codes entered in this program are assigned to customers in AR-A, *Enter Customers*, and to vendors in AP-A, *Enter Vendors*. Inventory items need to be specified whether they are subject to *Tax-In* via IN-B, *Enter Inventory*.

The combination of an item with *Tax-In* set to Y and a vendor or customer with a *Tax-In Codes* will cause the calculation to back out the taxes and post to the general ledger account specified.

Field explanations

Tax-In Code

This is the code that identifies the *Tax-In* code.

Description

The Tax-In code's description.

Tax Identification Number

This is optional and usually would be for a governmental identification number. If left blank, you will not be able to print this number on any sales or purchase order documents.

Vendor Code

This is a valid vendor code the system will use to transfer the accumulated tax amount when processed via AR-L, *Transfer Sales Taxes*.

Cd

Used for *Tax-In* only, this represents the numeric code identifying a set of tax ranges and percentages. Each code represents an exclusive set of rules and can overlap previous ranges. Only one code can be chosen as the method of taxation when establishing the *Tax-In* code in AR-A, *Enter Customers*, or AP-A, *Enter Vendors*.

From-To

The monetary range for the item price in which the sales or purchase line item amount must fall into to trigger the corresponding percentage to the corresponding code.

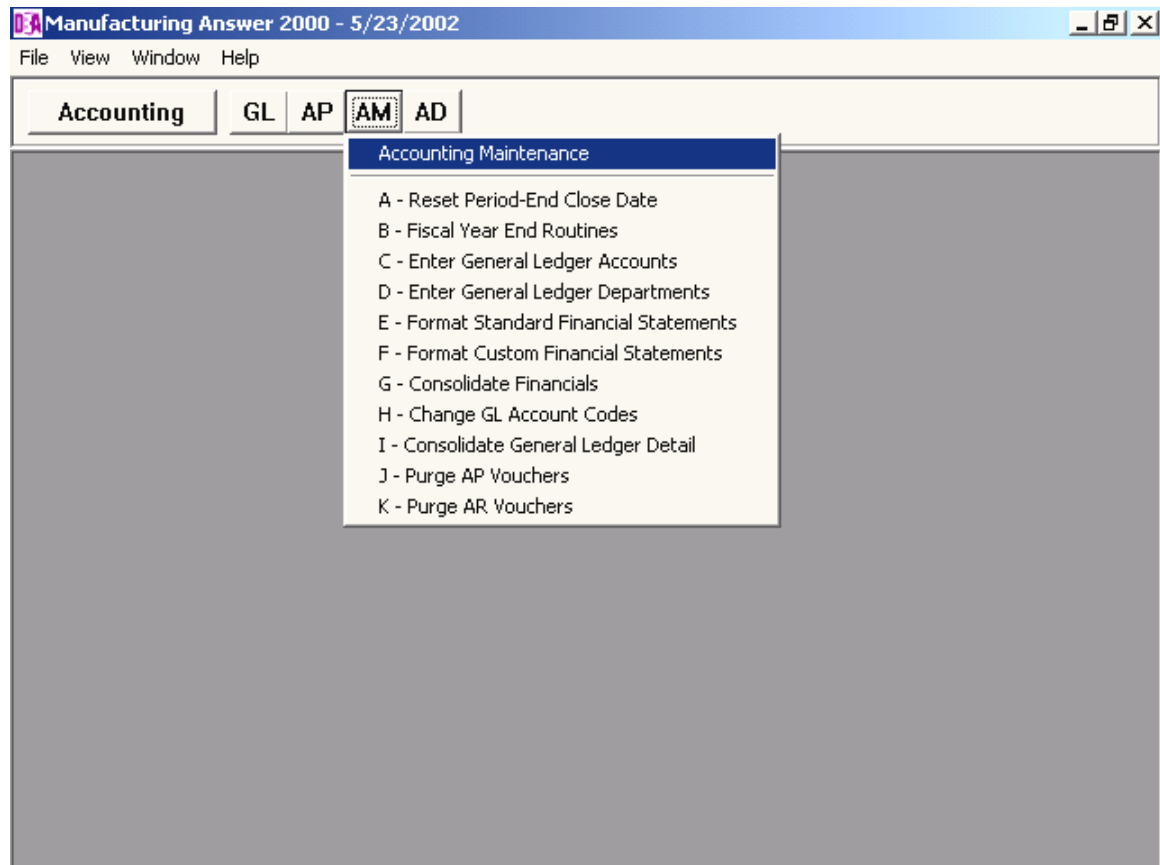
Percent %

The tax percentage used in calculating the amount of tax corresponding to the specific code. The tax is based on the sales/purchase order line amount, if that item's *Tax-In field* is set to Y in IN-B, *Enter Inventory*.

GL-Account

The *General Ledger* account to which the taxes will be posted.

10. ACCOUNTING MAINTENANCE



The *Accounting Maintenance* menu includes certain maintenance functions that you will perform from time-to-time, as well as options you will use when initially setting up your system.

AM-A Reset General Ledger Close Date

Use this program to reset your *General Ledger Close Date*. *General Ledger* posting will not be allowed from any programs in the system prior to this date. The Close Date therefore should be set for the first day of the current open period. This prevents accidental posting to a closed period due to entry error. If you wish to purposely post to a closed period (with DBA you can post to one or two years past), simply change this date, post your transaction, then reset this date.

AM-B Fiscal Year End Routine

This program is run at fiscal year end and prepares the *General Ledger* to receive postings in the new fiscal year via GL-O, *Print/Post General Ledger Batches*..

The program moves the current year GL chart of accounts balances (as viewed in GL-A, *View Chart of Accounts*) one year back, opens up balances for the new fiscal year, updates the beginning balances in all asset, liability and owners equity accounts, clears the beginning balances in all income and expense accounts, and creates year end entries in your *Retained Earnings* account.

Running this program does not mean you have to "close" your fiscal year. You can make an unlimited number of adjusting entries to last year at any time during the new fiscal year. We therefore suggest that you run this program on the first day of your new fiscal year.

If you change your fiscal year

DBA is currently designed to expect your one-year and two years past fiscal years to have the same starting and ending dates as the current fiscal year. If you decide to change your fiscal year, this will affect your previous years. Please consult with our Technical Support department before you change your fiscal year and we can advise you how to proceed.

NOTE: At one time this program was called "Reset Year End Balances" and had to be run at both calendar year end and fiscal year end. Now the program is only run at fiscal year end. The program also used to incorporate calendar year end processing for the old DBA *Payroll* module (discontinued), which is now in a stand-alone program (PR-O, *Year End Routine*).

AM-C Enter General Ledger Accounts

Manufacturing Answer 2000 - 5/23/2002

File View Window Help

Accounting GL AP **AM** AD

AM-C Create General Ledger Accounts

Account Code 		Budget Amounts	
Dept <Optional>		Beg Bal	\$0.00
Description		Jan	\$0.00
Account Type		Feb	\$0.00
Non-Cash [Y,N]	<E Type Only>	Mar	\$0.00
		Apr	\$0.00
		May	\$0.00
		Jun	\$0.00
		Jly	\$0.00
		Aug	\$0.00
		Sep	\$0.00
		Oct	\$0.00
		Nov	\$0.00
		Dec	\$0.00
		End Bal	\$0.00

Help Lookup Exit

When you are first setting up your chart of accounts, this is where you will create each account. You can use the chart of accounts that DBA provides as the basis for your company's account assignments or you may wish to use your existing chart of accounts. See chapter 5, *Implementing Accounting & Sales*, for guidance on customizing a chart of accounts for your company.

You can also use this screen to enter budget amounts on existing accounts. Budget amounts can be compared with actual amounts when running financial statements.

Field explanations

Acct Code

The GL account code. This field specifies which *General Ledger* account you wish to modify or create. You can click on the *Lookup* icon (or press F2) to select from existing accounts. You can also include a department code. See the discussion of department codes in AM-D, *Enter General Ledger Departments*.

Description

Enter a title for this GL account. This is a 25 character alphanumeric field.

Type

Account types include:

- A- Asset
- L- Liability
- O- Owner's equity
- I- Income
- E- Expense

Non-Cash

This category applies only if you have assigned *E* (expense) as the account type. This field is used for a cash flow statement under GL-F, *Print Financial Statements*, when non-cash expense amounts are added back to net income. Enter a *Y* for any non-cash account.

Non-cash expense amounts are those that do not have cash or a check paid for them, such as a depreciation expense. In contrast, payroll expenses, for example, do use a check for expenses, and would be marked *N* here.

Budget

These are the monthly budget amounts that you can use to compare with actual results in GL-A, *View Chart of Accounts*, and on financial statements.

General program operation

The main purpose of this program is to create new accounts or to modify descriptions or elements of an existing account. For a new account, type in your account code, description, account type, and non-cash setting (if an expense account). You can optionally enter budget amounts.

When you are finished entering the fields you want, save the record by clicking on the *Save* button (or press F10).

Deleting a GL account

You cannot delete an account code that has dollar amounts in the chart of accounts or that has records in the GL transaction file. You can use AM-O, *Change GL Account Codes*, to reassign this account's data to another GL account code, then you can return to this program to delete the original account code.

To delete an account, bring the account up on the screen. From any field click on the *Delete* button (or press F4). You will not be able to delete an account that has any amounts displaying in any of the four columns.

AM-D Enter General Ledger Departments

Manufacturing Answer 2000 - 5/17/2002

File View Window Help

Accounting GL AP AR **AM** AD

AM-D Create General Ledger Department

All General Ledger accounts of the TEMPLATE department will be duplicated as new General Ledger accounts with the NEW department code. Dollar amounts from the TEMPLATE department will not be transferred, except for, optionally, the budget amounts.

Use which existing department as the TEMPLATE Code of the NEW department to create Clear budget values? N

Only create these types of accounts:

Asset	Y
Liability	Y
Income	Y
Expense	Y
Owner's Equity	Y

Exit

Departments can be set up within DBA to allow you to track the financial performance of a subgroup within your company. The department code is a four-character suffix attached to the end of the GL account, separated by a hyphen.

If you choose to use departments as profit center divisions, you would only need to add department-based accounts for income and expense type accounts. Asset, liability, and owner's equity accounts are normally not tracked by departments. This program allows you to create a departmentalized account structure for the account types that you specify.

GL account codes with departments can be entered individually through AM-C, *Enter General Ledger Accounts*, but this program allows departments to be generated automatically by GL type (assets, liabilities, owners equity, income, expense), thus saving a great deal of data entry.

NOTE: Departmental accounting is generally used for income and expense accounts only. Automatic postings to balance sheet accounts only go to one default account/department, so if you try to use departments on the balance sheet side of the ledger, you will have to manually adjust balances to different departments. It is best to confine the use of departments to income statement accounts.

When you create a new department, your chart of accounts will include an additional account entry for all GL account types you select. Selection of which account to departmentalize can be limited by account type; you can also use an existing department as a template.

Field descriptions

Use which existing department as TEMPLATE

If you have already set up a department that has a close resemblance to the new department you want to create, you can simply type in the existing department here. If you enter nothing in this field, your new department will be based on the chart of accounts.

Code of the NEW department to create

Type in a new department code.

Clear budget values?

If you answer *Y*, the budget values in the template department will not be transferred to the new department. If you wish to change most of the budget values for this new department, enter *Y*.

Which account types should be transferred?

If the department you are creating does not need to track liabilities, owner's equity or assets, you can enter *N* for each of these to avoid transferring account types that do not apply.

General program operation

If you are setting up a department for the first time, the template department is the chart of accounts for your company as a whole. After you have created the new department, you should use GL-B, *Enter/Post General Journal Trxns*, to enter the beginning balances or to transfer funds from the original non-department based account to your newly created department-based account.

If you wish to use departments in a more limited way, you can simply add a department extension to an existing account and save the record. You will still have your general account number without a department as well as the new account with the department specification.

AM-E Format Standard Financial Statements

Manufacturing Answer 2000 - 5/23/2002

File View Window Help

Accounting GL AP **AM** AD

AM-H Format Standard Financial Statements

Income Statement <Profit and Loss>			
Report Title: INCOME STATEMENT			
	G/L	From	Thru
			Title
Income Main Title			SALES REVENUE
Income 1	40000	40200	SYSTEM SALES
Income 2	40400	42500	OTHER SALES
COGS Main Title			COST OF GOODS SOLD
COGS 1	50000	50000	COST OF GOODS - SYSTEMS
COGS 2	50200	50400	COST OF GOODS - OTHER
Expenses Main Title			OPERATING EXPENSES
Expenses 1	51000	53800	VARIABLE OVERHEAD
Expenses 2	54000	55900	FIXED OVERHEAD
Expenses 3	56000	58200	GENERAL & ADMINISTRATIVE
Expenses 4	58400	59000	OTHER EXPENSES
Other Inc	43000	43000	OTHER INCOME
Other Exp	60000	60200	INCOME TAXES

Help Save Exit

Income Statement Format

You must use this program before you print your financial statements, particularly when you are setting up DBA for the first time (see chapter 5, *Implementing Accounting & Sales*). However, if you are formatting your own custom financial statements in AM-I, *Format Custom Financial Statements*, you may wish to use those statements and skip these entirely. You may also start with this type of statement and change the custom version in the future.

The major differences between these statement formats is that this version is pre-formatted, while with the custom statement version you can specify more account sub-divisions in your statements. These statements itemize all GL accounts, while with the custom statement you can consolidate several accounts into one total. If you want to have a summary statement followed by supporting detail statements, use AM-I, *Format Custom Financial Statements*.

In this program, you specify the headings and account ranges to print for the following three standard report formats:

- Income Statement (Profit & Loss)
- Balance Sheet

- Statements of Changes in Financial Position (Cash Flow)

The screenshot shows a software window titled "AM-H Format Standard Financial Statements". At the top, there is a menu bar with "File", "View", "Window", and "Help". Below the menu bar is a tabbed interface with tabs for "Accounting", "GL", "AP", "AM" (which is selected), and "AD". The main area of the window displays a "Balance Sheet" format. The title "Report Title: BALANCE SHEET" is entered in a text field. The table below shows the structure of the balance sheet with columns for "G/L From", "Thru", and "Title".

Balance Sheet			
Report Title: BALANCE SHEET			
	G/L From	Thru	Title
Assets Main	Title		ASSETS
Assets 1	10100	11999	CASH ON HAND
Assets 2	12000	14999	CURRENT ASSETS
Assets 3	15000	19999	FIXED ASSETS
Assets 4			
Liabilities Main	Title		LIABILITIES
Liab 1	20000	20999	CURRENT LIABILITIES
Liab 2	21000	21999	LONG TERM DEBT
Liab 3	22000	29999	PAYROLL LIAB. PAYABLE
Liab 4			
Owners Equity Main	Title		EQUITY
OE 1	31000	34999	CAPITAL
OE 2	35000	39999	RETAINED EARNINGS

At the bottom of the window, there are buttons for "Help", "Lookup", "Save", and "Exit".

Balance Sheet Format

Field explanations

Which Type of Financial Statements?

Enter the type of report here: I - Income Statement (profit and loss), B - Balance Sheet (assets, liabilities, and owner's equity at a point in time), C - Cash Flow (sources of funding acquired and disposition of funds over time).

Income Statement

The field explanations for the income statement format are shown below. The operation of this program will be presented as a consolidated explanation of all three statement formats after the three format screens are described.

Report Title

The general title for the income statement. This title will be printed at the top of the statement. This is a 25 character alphanumeric field.

G/L From/Thru

The starting and ending GL account codes for each GL division or sub-group (Income, COGS, Expenses, and Other). These fields specify which accounts are to be printed for each division in the statement.

INCOME STATEMENT DIVISIONS

Each title is a 25 character alphanumeric field. Choose a title that accurately identifies the accounts included in the sub-group ranges.

Income Main Title

The *income* accounts division title.

Income 1, 2

The *income* accounts sub-groups you want included in your statement (account code ranges and titles).

COGS Main Title

The *cost of goods sold* accounts division title.

COGS 1, 2

The *cost of goods sold* sub-groups (account code ranges and titles).

Expenses Main Title

The *expense* accounts division title.

Expenses, 1, 2, 3, 4

The *expense* accounts sub-groups (account code ranges and titles).

Other Inc

The *other income* division (account code range and title).

Other Exp

The *other expense* division (account code range and title).

Balance Sheet

The field explanations for the balance sheet format are shown below. The operation of this program is presented as a consolidated explanation of all three statement formats after the three format screens are described.

Report Title

The general title for the balance statement. This title will be printed at the top of the statement. This is a 25 character alphanumeric field.

G/L From/Thru

The starting and ending GL account codes for each division or sub-group (assets, liabilities, and owner's equity). The fields specify which accounts are to be printed for each division in the statement.

BALANCE SHEET DIVISIONS

Each title is a 25 character alphanumeric field. Choose a title that accurately identifies the accounts included in the sub-group ranges.

Assets Main Title

The *assets* accounts division title.

Assets 1, 2, 3, 4

The *assets* accounts sub-groups (account code ranges and titles).

Liabilities Main Title

The *liabilities* accounts division title.

Liabilities 1, 2, 3, 4

The *liabilities* accounts sub-groups (account code ranges and titles).

Owners Equity Main Title

The *owners equity* accounts division title.

OE 1, 2

The *owners equity* accounts sub-groups (account code ranges and titles).

Statement of Changes in Financial Position (Cash Flow)

Report Title

The general title for the cash flow statement. This title will be printed at the top of the statement. This is a 25 character alphanumeric field.

G/L From/Thru

The starting and ending GL account codes for each division or sub-group (net income, non-cash expenses, assets, and liabilities). These fields specify which accounts are to be printed for each division in the statement.

CASH FLOW STATEMENT DIVISIONS

Each title is a 25 character alphanumeric field. Choose a title that accurately identifies the accounts included in the sub-group ranges.

Net Income

The *net income* accounts division title.

Non-Cash Exp

Non-cash expense accounts division title.

Manufacturing Answer 2000 - 5/23/2002

File View Window Help

Accounting GL AP **AM** AD

AM-H Format Standard Financial Statements

Statement of Changes in Financial Position <Cash Flow> Report Title: CASH FLOW			
	G/L From	Thru	Title
Net Income	40000	89999	NET INCOME
Non-Cash Exp	50000	79999	NON-CASH EXPENSES
Assets Main Title			USES
Assets 1	10100	11999	CASH ON HAND
Assets 2	12000	14999	CURRENT ASSETS
Assets 3	15000	19999	FIXED ASSETS
Assets 4			
Liabilities Main Title			SOURCES
Liab 1	20000	20999	CURRENT LIABILITIES
Liab 2	21000	21999	LONG TERM DEBT
Liab 3	22000	23999	PAYROLL LIAB. PAYABLE
Liab 4			

Help Lookup Save Exit

Statement of Changes in Financial Position

Assets Main Title

The *assets* accounts division title.

Assets 1, 2, 3, 4

The *assets* accounts sub-groups (account code ranges and titles)

Liabilities Main Title

The *liabilities* accounts division title.

Liabilities 1, 2, 3, 4

The *liabilities* accounts sub-groups (account code ranges and titles).

General program operation

When you run this program, you first need to choose the type of financial statement you want to set up for printing (boldface indicates menu selection letters):

- **I**ncome Statement (profit and loss)
- **B**alance Sheet (assets, liabilities, and owner's equity at a point in time)
- **C**ash Flow (sources of funding acquired and disposition of funds over a specified period)

DBA uses a standardized financial statement format; you only need to enter the account code ranges for the accounts you want to include, and titles for the statement headings.

Enter a main title for each major division. Often the divisions are partitioned further into sub-groups, for subtotals within the major total.

For example, if you have two completely different types of sales, such as power tools and laundry equipment, you may want to get not only a total sales figure, but also a subtotal for each group.

To specify your sub-groups as in the example mentioned above, enter the beginning power tool account code in *Income 1 G/L From*, and the ending power tool account code in *Income 1 G/L Thru*. You might want to make the *Title* for *Income 1* "Power Tool Sales". Then do the same for the laundry equipment using the *Income 2* sub-group. When you print the financial statements the program will print all the power tool sales accounts, with a sub-total, the laundry sales accounts, with a subtotal, and then the total for all the income accounts specified.

If you need to find GL account codes, click on the *Lookup* button (or press F2) while the cursor is on any of the GL account code fields to select from a lookup window. The program does not check to make sure that the account codes you enter are accurate, so you should double check account codes when you type them in. Each major account group should have at least one set of entries completed. When you have entered all necessary information, click on the *Save* button (or press F10) to save the format.

AM-F Format Custom Financial Statements

Use this program to create specialized financial statements for your business. You can customize the statement titles, add headers, label your total lines, place information in up to nine different column locations, print GL accounts, account numbers and descriptions, and use blank line and page break commands. You can enter as many sub-divisions as you want for dividing your statement totals. Be sure to consult your accountant when creating these financial statements to be sure that the statement totals properly reflect your chart of accounts.

This section is divided into a summary of the screen fields and their functions, and a short tutorial to help you create your first simple statements.

Field explanations

Report Name

The 10-character name you give to your custom financial statement so that you can retrieve it after saving. This does not print as a title on the statement itself.

Line

The line number of the statement format. This is filled in automatically by the program. A pointer always points to the current line.

Op

The operator or command code. You can choose your operators from an on-screen window. The operator chosen determines which of the screen columns (T, B, P, L, etc) you are allowed to fill in. These are summarized in *General Program Operation* below.

G/L From

The starting value to use when printing or totaling GL accounts.

G/L Thru

The ending value to use when printing or totaling GL accounts.

T

This report utility allows up to 20 uniquely identified totals. Assign a number (1-20) for one of the functions below:

If you are printing blank lines, this is where to enter the number of lines.

The program totals the amounts in the GL account range requested with a command to 'Get G/L Accounts' (Ga), then places this amount in the total field, which you assign a number (1-20) here. For any of the total

commands (add, print, or clear), this field identifies which of the assigned totals (1-20) is to be operated upon.

B

In this column, you put the number (1-20) of the total field you want to use as a base to calculate percentages against when you choose the *Calculate %'s* option in GL-N, *Print Custom Statements*. For example, if you want to show each asset account amount as a percentage of the asset total, you would put the number you have assigned to the asset total into the **B** column.

The **B** column also serves the purpose of holding the sum of the amounts when using an **At** (Add to Total) command.

P

If the command in the **Op** field is **Ga**, this field determines whether the accounts are to be printed on the statement or not. This gives you the option of reading GL accounts into your statement without printing all of them. Enter a *Y* or *N*.

L

If you choose to print only one category of account amounts (e.g. current amounts only) when you run GL-N, *Print Custom Statements*, then use this column to enter the locations where the fields will print on the statement. DBA controls the column layout if more than one category is selected for a report (e.g. current amounts and 1 year past amounts).

You can use this location flexibility to print account amounts in one location and then print the total offset slightly. The locations for a single column format are based on increments of 5 character positions from left to right margin. Enter a number between 1 and 9.

\$

Specifies if a dollar sign is printed before the amounts specified in the current line. Enter *Y* or *N*.

D/C

When entering a **pT** (Print Total Field) command, you must enter the debit or credit status of the total into this field. Consult your accountant to confirm this status, as it depends on the types of accounts totaled.

Description

Use this field to enter the text of a title or header. Account totals, when printed, can also be given a text heading.

Other operations are available in the menu listed across the bottom of your screen. These options vary as to their availability. As always, you need to watch the bottom line on your screen to know which options are currently available.

General program operation

To begin a new format, or to display an existing one, type the format name into the *Report Name* field. You can lookup existing formats by pressing F2 (or by clicking on the *Lookup* button).

If this is a new format, the **Mt** (Main title) command is automatically placed on line 1. Use this command as the first line of your report format.

The line pointer (>) is placed on the first line for editing. Pop-up menus and the function key definitions at the bottom of the screen keep you informed of your options at all times. The **Op** command window appears every time you begin a format line. Note that these commands are not on-screen editing commands; they are used to tell the report program how the identified totals and accounts will be handled in your report. The window options are as follows:

tO - top Of form

Go to the top of the next page.

Mt- Main title

The statement's main title. This is only allowed once within the format and is always the first line.

pH- print Header

Print a format header line.

Ga- Get G/L accounts

Get a specific account or group of accounts and print them and/or total them.

At- Add to total

Add one total field to another. Generally used to keep track of running totals or subtotals.

pS- print Single line

Print a single dashed line (-----).

pD- print Double line

Print a double dashed line(=====).

pB- print Blank line

Print blank lines; you specify a number of lines in the **T** column.

pT- print Total field

This command will print a total that has been accumulated from the G/L account records or from the *Add Total* command.

Ct- Clear total field

Sets an assigned total to zero if you need to reuse it.

With each command you use a different combination of the screen columns to specify the parameters for the command. During format entry, the cursor only goes to the columns needed for the current command. For example, only the 'Get

G/L Accounts' command used the *G/L From/Thru* column; the main title column does not use a \$ option.

Each time you complete a format line, the program prompts you to save it. Once you are finished with one statement format, you must press <Esc> (or click on the *Exit* button) to exit the program before entering another format. This updates the format file and assures you of later access to the format.

Sample formats

To give you an idea of how this format specification works, simple examples will be presented, with the steps involved and the underlying reasons detailed. The three sample formats shown in this chapter take you from a very simple to a reasonably complex format.

The screenshot shows a software window titled "The Manufacturing Answer - 9/23/98". Inside, there's a menu bar with "File", "View", "Window", and "Help". Below that is a toolbar with buttons for "Sys Mgr", "UT", "MM", "MD", "AM" (which is highlighted), "AD", and "PS". The main window is titled "AM-J Format Custom Statements". It contains a table with the following data:

Op	From GL	Thru GL	Tot	Bs	P	L	\$	D/C	Description
MT									
PH			0	0		1			TRIAL BALANCE ACCOUNTS:
PB			1	0		0			
GA	10000	22300	1	1	Y	1	N		
PD			0	0		1			
PT			1	1		1	N	C	Trial Balance Total

At the bottom of the window, there are buttons for "Add", "Edit", "Delete", "Save", and "Exit".

Trial Balance Format

The following is the format for a simple financial statement, a *Trial Balance*. Try to enter this statement yourself to get a feeling for the program. The two sample formats following this one ('BAL' and 'INCOME') are also included so you can print or modify them if you choose.

Trial Balance Format

This format consists of 6 different lines. After entering each line, you must save the line.

LINE 1: This is the title of the format. This will always print along with the company name and date at the top of each statement page.

Choose the **Mt** option from the *Operations* menu.

Type the words **Trial Balance Report** in the *Description* column. Note how this program places the cursor only where you can make a legal entry for the chosen command.

LINE 2: This is a header line. It will be printed starting in the leftmost position, specified by the 1 in the *Location* column.

Choose **pH** from the *Operations* menu.

Type a **1** into the **L** field.

Type the words **TRIAL BALANCE ACCOUNTS:** into the *Description* column.

The Manufacturing Answer - 9/23/98

File View Window Help

Sys Mgr UT MM MD AM AD PS

AM-J Format Custom Statements

Template Name: BAL

Op	From GL	Thru GL	Tot	Bs	P	L	\$	D/C	Description
MT			0	0	S	0			Sample Format: Bal Sheet
PH			0	0	1				Assets:
GA	10100	16100	1	1	Y	1	N		
PH			0	0	2				
PT			1	1	2	Y	D		Total Assets:
PD			0	0	2				
CT			1	0	0				
PB			2	0	0				
PH			0	0	1				Liabilities:
GA	20000	23500	1	1	Y	1	N		
PS			0	0	2				
PT			1	1	2	Y	C		Total Liabilities:

Add Edit Delete Save Exit

Balance Sheet Format – Lines 1 through 12

LINE 3: Prints 1 blank line. The number of blank lines printed is specified in the **T** column.

Choose **pB** from the *Operations* menu.

Type a **1** (for 1 blank line) into the **T** column.

LINE 4: Prints the GL accounts starting with account number 10000 and ending with number 22300, inclusive. The amounts printed (P=Y) will be summed into the total field 1 (T=1). Any percentages to be calculated will use this assigned total as a base (B=1). Because the statement printing program (GL-N, Print Custom Statements) offers the option of calculating percentages, you must set up a percentage base here. Each item will print starting in the leftmost column (L=1), and no dollar sign (\$=N) will be printed. There is no **Description** because the descriptions entered in the chart of accounts will be used.

Choose **Ga** from the *Operations* menu.

Type **10000** into the *G/L From* column.

Type **22300** into the *G/L Thru* column.

Type **1** into the **T** column.

Type **1** into the **B** column.

Type **Y** into the **P** column. This prints the account amounts.

Type **1** into the **L** column. This prints into the first column space on the statement.

Type **N** into the **\$** column.

LINE 5: Prints a double line before the total (=====). This will be printed at column location 1 (L=1).

Choose **pD** from the *Operations* menu.

Type a **1** into the **L** column.

LINE 6: Prints the assigned total 1 (T=1) using itself as a calculation base (B=1); the percentage will always be 100 (the Income Statement later in this chapter shows a more complex use of the calculation base column). The assigned total 1 is specified to print in column location 1 (L=1), with no dollar sign (\$=1), and the heading to be printed is **Trial Balance Total**.

Choose **pT** from the *Operations* menu.

Type a **1** into the **T** column.

Type a **1** into the **B** column.

Type a **1** into the **L** column

Type an **N** into the **\$** column.

Type a **C** into the **D/C** column.

Type the words **Trial Balance Total:** into the *Descriptions* column.

The Manufacturing Answer - 9/23/98

File View Window Help

Sys Mgr UT MM MD AM AD PS

AM-J Format Custom Statements

Template Name: BAL

Template Lines

Op	From GL	Thru GL	Tot	Bs	P	L	\$	D/C	Description
AT			1	2	0				
CT			1	0	0				
PB			2	0	0				
PH			0	0	1				Owner's Equity
GA	31000	37000	1	1	Y	1	N		
PS			0	0	2				
PT			1	1	2	Y	C		Total Owner's Equity:
AT			1	2	0				
PB			2	0	0				
PS			0	0	2				
PT			2	2	2	Y	C		Total Liab. & O.E.:
PD			0	0	2				

Add Edit Delete

Save Exit

Balance Sheet Format – Lines 13 through 24

Balance Sheet Format

The following is a slightly more complex statement, a balance sheet. If you still have your test company available, you can view this report format by requesting report BAL. Notice that only ten lines can display at one time. Use the up and down arrow keys to move the line marker to the line you wish to view or edit.

Note how in line 7 the total field 1 is cleared (Ct) so that it can be used for another account total, after the current account total has been printed in line 5.

In line 13, the *Add Total* command adds the total identified in column **T** (1) to the total identified in column **B** (2), and the sum is retained in column **B**. Then total 1 is cleared in line 14. Total 2 saves the total *Liabilities*, so that it can be added later to the *Owner's Equity* total. Lines 13 and 14 demonstrate how you can reuse total 1 for each account and accumulate the sum of all these totals in the total 2 field.

Adding the *Liability* and *Owner's Equity* is done by the *Add Total* command in line 20, where total field 1 (which was cleared and now is being used for the *Owner's Equity* total) is added into total field 2 (containing the *Liability* total).

In line 23, total field 2 is printed. This prints *Liabilities + Owner's Equity*, to complete the balance sheet.

The method of using one total field over and over, “emptying” it, so to speak, into other total fields which are holding the totals you wish to keep is a useful way to limit the number of unique operations in your format.

Income Statement Format

Finally, the most complex statement yet, an income statement. If you still have your test company, you can see this statement format by requesting INCOME. Notice the similarities between this statement and the earlier balance sheet.

In this format, the GL account amounts that are read into total fields 1 and 2 (income totals and expense totals) are all added into total field 3, which is then used as both the net total and as the calculation base for percentages. In other words, this statement will show income and expenses as percentage of net income.

Whether you keep one total field and add all the others into it or keep multiple totals will depend on the kind of statement you are trying to create.

NOTE: To correctly calculate the total amounts, the program will actually process the statement twice. The first time the program is calculating totals in order to print the percentages the second time through. This means you will not want to clear the field or fields you are using as a base. Be careful not to use your calculation base as a “bucket” field that you continually fill and empty.

There are also differences between this statement and the earlier ones. Notice, for example, that the totals are to be printed with dollar signs (column \$). Notice also that the account amounts are printed in column location 1, the subtotals in location 2, and the net total in location 3 (column L).

You will probably need to try to use this program a few times, print some statements, then improve your format until you are happy with it. With a little practice you will be preparing sophisticated formats that give an individualized look to your company's financial statements. You can specify specific account balances and the percentage printing option in the statement printing program (GL-N, *Print Custom Formats*), once the report is saved. You can easily use this program for all of your statements, bypassing the standard statements in AM-H, *Format Standard Financial Statements*.

The Manufacturing Answer - 9/23/98

File View Window Help

Sys Mgr UT MM MD AM AD PS

AM-J Format Custom Statements

Template Name: INCOME

Template Lines

Op	From GL	Thru GL	Tot	Bs	P	L	\$	D/C	Description
MT			0	0	0				Income Statement
PH			0	0	1				Sales:
GA	40000	43000	1	3	Y	1	N		
PS			0	0	2				
PT			1	3	2	Y	C		
AT			1	3	0				
PB			1	0	0				
PH			0	0	1				Expenses:
GA	50000	70000	2	3	Y	1	N		
PS			0	0	2				
PT			2	3	2	Y	D		Total Expenses:
AT			2	3	0				

Add Edit Delete

Save Exit

Income Statement Format – Lines 1 through 12

The Manufacturing Answer - 9/23/98

File View Window Help

Sys Mgr UT MM MD **AM** AD PS

AM-J Format Custom Statements

Template Name: INCOME

Template Lines

Op	From GL	Thru GL	Tot	Bs	P	L	\$	D/C	Description
AT			1	3		0			
PB			1	0		0			
PH			0	0		1			Expenses:
GA	50000	70000	2	3	Y	1	N		
PS			0	0		2			
PT			2	3		2	Y	D	Total Expenses:
AT			2	3		0			
PB			1	0		0			
PS			0	0		3			
PT			3	3		3	Y	C	Net Income Before Taxes:
PD			0	0		3			

Add Edit Delete Save Exit

Income Statement Format – Lines 6 through 16

AM-G Consolidate Financials

Manufacturing Answer 2000 - 5/23/2002

File View Window Help

Accounting GL AP **AM** AD

AM-J Consolidate Financials

Consolidation name: CONS

Last Consolidation was on:

Comp Code	Include	Name	COA recs
		ABC Company	107
99		Manufacturing Answer 2000	99

Help Save Consolidation Companies Exit

DBA provides the capability to use a single copy of the system software to handle multiple companies. See chapter 30, *Using Multiple Companies*, in the *Manufacturing User Guide* for more information.

If you are using DBA to maintain multiple companies, it is assumed that the financial data of the multiple companies is maintained independently. However, there are cases when you might need a financial statement that reflects summary figures relative to several companies. For example, if you own two related enterprises and want to keep the financial information separate, you may still want to see an income statement that incorporates the financial performance of both companies. In this case, AM-J, *Consolidate Financials*, allows you to consolidate company information for this purpose.

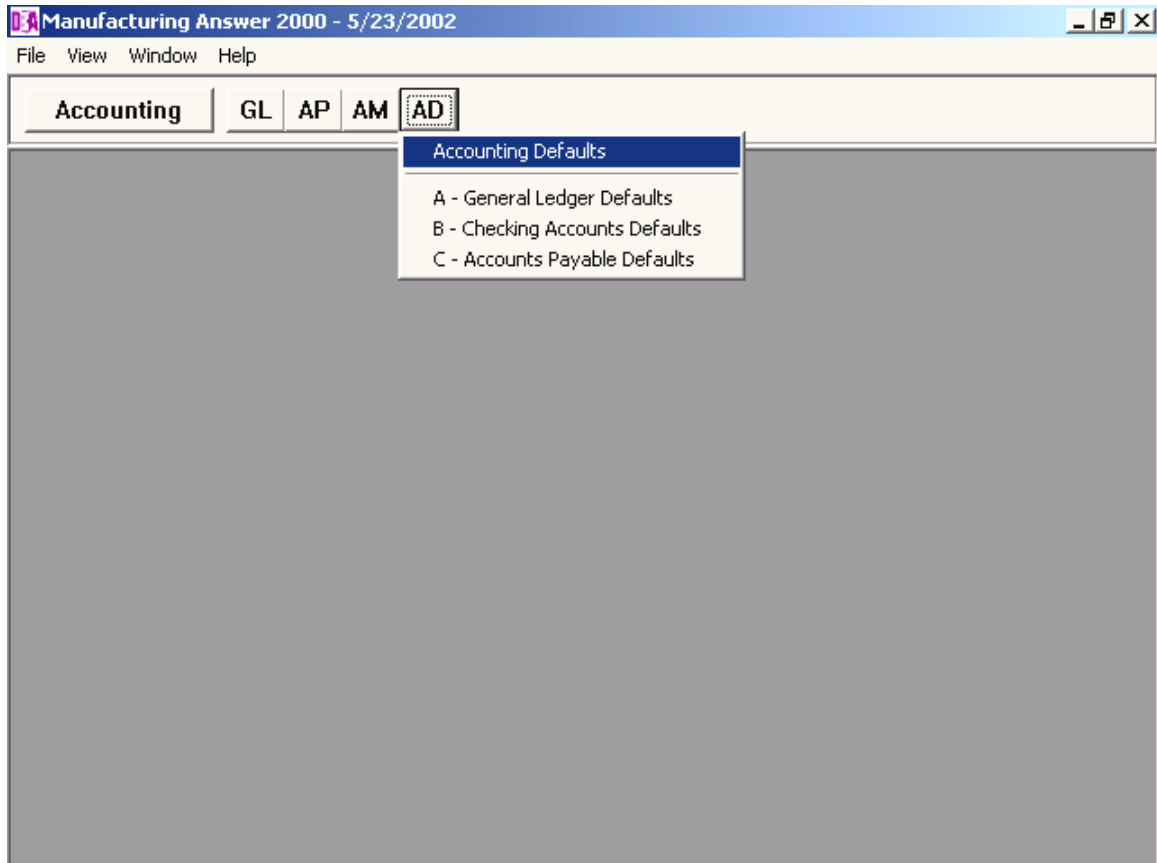
This consolidation requires that the chart of accounts structure for the two accounts be similar. One company may have additional accounts or departments; however, an account number must not be used as an asset account in one company and a liability account in another.

Both standard financial statements available through GL-F, *Print Financial Statements*, and custom financial statements can be used for the consolidated financial report. Custom financial statements are developed using AM-I, *Format*

Custom Financial Statements, and printed through GL-N, *Print Custom Statements*.

NOTE: This operation does not merge financial information for any function other than producing a report external to these companies. The financial information in each company will not be affected by running this program.

11. ACCOUNTING DEFAULTS



Various default settings for the accounting system modules are found on the *Accounting Defaults* menu.

AD-A General Ledger Defaults

Manufacturing Answer 2000 - 5/23/2002

File View Window Help

Accounting GL AP AM **AD**

AD-B General Ledger Defaults

IF DBA ACCOUNTING ACTIVATED:

Fiscal Year Start Dt 01/01/02

Next Genl Journal No 2

You may elect to NOT post some transaction types to the GL:

N Post COGS transactions?

N Post PO transactions?

N Post Inventory Adjustments?

N Post WO transactions?

N Permit use of Item Class GLs?

Accounting & Sales GL Accounts

GL Current Earnings	36000	-
GL Retained Earnings	37000	-
GL Clearing Account	99999	-
AP Accounts Payable	20000	-
AP Discounts Taken	52400	-
AR Accts Receivable	12000	-
AR Discounts Taken	42600	-
AR Interest Charged	43000	-
AR Customer Deposits	21500	-
SO Taxable Sales	40000	-
SO Non-Taxable Sales	40200	-
SO Invoice Frght Out	42000	-
SO Sales Tax Withheld	23000	-
SO Retention	23000	-
CS Agts Comm Payable	24000	-
CS Agts Comm Expense	57600	-

Help Mfg GL Defaults Save Exit

Use this program to enter or change system wide *General Ledger* default account codes, as well as to set the current fiscal year, GL close date, and next general journal number.

Field descriptions

Fiscal Year Start Dt

If you are on a calendar year, this would be 1/01/94, 1/01/95, etc. If you are on a non-calendar fiscal year, then this is the starting date of your year. This is automatically updated when you run AM-B, *Fiscal Year End Routine*.

CAUTION: Once the *Fiscal Year Date* is set, it is never manually re-set. The only time you should ever make an entry in this field is during system startup.

Next Genl Journal No

The next *General Journal* batch number, as used by GL-B, *Enter/Post General Journal Trxns*.

Post COGS transactions?

If you will be manually posting to your inventory-related GL accounts at month end, you can shut-off automatic GL posting by setting this field to *N*.

Post PO Transactions?

If you will be manually posting to your inventory-related GL accounts at month end, you can shut-off automatic GL posting by setting this field to *N*.

Post Inventory Adjustments?

If you will be manually posting to your inventory-related GL accounts at month end, you can shut-off automatic GL posting by setting this field to *N*.

Post WO Transactions?

If you will be manually posting to your inventory and WIP-related GL accounts at month end, you can shut-off automatic GL posting by setting this field to *N*.

Permit use of Item Class GLs?

Manufacturing and inventory GL postings can be controlled system-wide by the settings entered in this program. You can, however, enter such defaults at the item class level. If you want the ability to do so, enter a *Y* in this field.

Default GL account codes

You must enter default GL Codes for all the fields on both the main screen and the second screen, which is accessed by clicking the *Mfg GL Accounts* button.

NOTE: All account codes you enter can also include a department code. We recommend that you confine the use of department codes to income and expense accounts. See AM-D, *Enter General Ledger Departments*, for a discussion of department codes.

ACCOUNTING & SALES GL ACCOUNTS**Current Earnings (owner's equity)**

Current Earnings is the account that holds the net income/loss for the current fiscal year. At fiscal year end these amounts get transferred to the *Retained Earnings* account when AM-B, *Fiscal Year End Routine*, is run.

Retained Earnings (owner's equity)

This is where the earnings for previous years are saved. When you run AM-B, *Fiscal Year End Routine*, the year-to-date amount in the *Current Earnings* account will be added to this account.

Clearing Account (owner's equity)

This account is used if a GL account code is not found during a posting. You must enter a GL clearing account code. If you do not set up this account, any GL account not found during a posting will result in a transaction that will put your accounts out of balance. By using this clearing account, you can ensure that no

transactions will be lost. We recommend an account number such as 99999, so that it is always at the end of your chart of accounts. It is important that this account be made a type “O” account (Owner’s Equity).

Accounts Payable (liability)

The account code for your *Accounts Payable* GL account.

AP Discounts Taken (contra-expense or income)

If your vendors offer discount terms on their payables, the system will post those discounts to this account. This can be either an expense or income account.

Accounts Receivable (asset)

The account code for your *Accounts Receivable* GL account.

AR Discounts Taken (contra-income or expense)

If you offer discount terms on your receivables, the system will post those discounts to this account. This account can also be set up as an expense.

AR Interest Charged (income)

If you charge your customers interest on overdue invoices, the system will post the interest to this account.

AR Customer Deposits (liability)

The account code for any customer deposits (prepayments) that will eventually get applied to invoices. Deposits are kept in a separate account so as not to be mingled with *Accounts Receivable*. Customer deposits can be entered through AR-N, *Enter/Print Deposits*, or through AR-C, *Record Payments*.

Taxable Sales (income)

Taxable sales are recorded to this account. You can set up one account and use it system-wide, or you can set up different accounts at the item class level via SM-C, *Enter Item Classes*.

Non-Taxable Sales (income)

This account records non-taxable sales. If you don’t distinguish between taxable and non-taxable sales in your *General Ledger*, you can use the same account for both taxable and non-taxable sales. You can set up one account and use it system-wide, or you can set up different accounts at the item class level via SM-C, *Enter Item Classes*.

Invoice Freight Out (income or contra-expense)

The account you charge for freight that is invoiced to customers.

Sales Tax Withheld (liability)

The GL account(s) for posting sales taxes collected through invoicing. Each tax authority can have a separate account or they can all share the same account.

Retention (asset)

The sales order module has the capability of handling retention billing, whereby a percentage of an invoice is held back and billed later. A GL account is needed to temporarily hold retention amounts when the original invoice gets posted, but the newly created sales order for the retention does not get posted. When the retention sales order finally does get posted, the dollars get credited from the retention GL account and get debited to your default AR account.

Agents Commissions Payable (liability)

Whenever invoices or customer payments are posted that include sales commissions payable to agents, the program will credit the commission amount to the GL account entered here. A corresponding debit will be posted to the *Agents Commission Expense* entered in the next field below. When commissions are transferred through CS-D, Transfer Sales Commissions, this account gets debited and your default *Accounts Payable* account gets credited.

Agents Commission Expense (expense)

When invoices or customer payments are posted that include commissions payable to agents, this account gets debited for the commission amount.

MANUFACTURING GL ACCOUNTS**Inventory (asset)**

Each item can be assigned to inventory when received from purchase orders or work orders. Some companies prefer to lump all inventory into one GL account; others break it out into separate inventories for raw materials, semi-finished goods (subassemblies), and finished goods. You can set up one account and use it system-wide for all items, or you can set up different accounts at the item class level via SM-C, *Enter Item Classes*.

Cost-of-Goods-Sold (expense)

This is an expense account that is normally located after your income accounts. This account gets debited when invoices are posted. You can set up one account and use it system-wide, or you can set up different accounts at the item class level via SM-C, *Enter Item Classes*.

Absorbed Freight In

If you will be using the *Freight Pct* field in IN-B, *Enter Inventory*, to absorb freight into your inventory cost, this is the account to which the credit side of the entry will be posted (the debit will be to the item's *Asset* account). If you plan on absorbing all your freight into the inventory, you can contrast the month end value of this account with your actual *Freight In* account to see how close to reality your *Freight Pct* settings are.

PO's Received not Invoiced (liability)

This account is set up adjacent to your *Accounts Payable* account. When purchases or services are received, this account gets credited. When the vendor

invoice is received and entered, this account gets debited and your *Accounts Payable* account gets credited.

PO Freight In (expense)

This is the account that registers the amount of freight vendors add to their invoices for shipping orders to you.

PO Sales Tax Expense (expense)

If you are charged tax on purchase orders, the system will post these amounts to this account.

Extra Costs (expense)

Extra costs are work order costs that are not handled through purchase orders, nor are they tied to specific routing sequences. This account is an expense that gets credited when extra costs are entered; the manufactured item's *WIP* account gets debited. Later, when the vendor invoice gets entered through an AP voucher, the account gets debited and *Accounts Payable* gets credited. This posting sequence serves to absorb these extra costs into the overall cost of the item being manufactured.

Miscellaneous Costs (expense)

These are costs that apply to specific routing sequences (tooling, as an example) that are not handled through purchase orders. This is an expense account that gets credited when miscellaneous costs are entered; the manufactured item's *WIP* account gets debited. Later, when the vendor invoice gets entered through an AP voucher, the account gets debited and *Accounts Payable* gets credited. This posting sequence serves to absorb these costs into the overall cost of the item being manufactured.

Absorbed Labor (expense)

On your income statement you would first list your *direct labor* GL accounts actually paid or accrued for the period (which will be debit balances) followed by the GL account for *Absorbed Labor* (which will be a credit balance). Ideally, the debit amounts for the actual direct labor will exactly equal the credit amount for the absorbed labor, thus canceling each other out and bringing your direct labor expense down to zero. This zero balance means that your direct labor for the period was accurately absorbed 100% into your *WIP* inventory. You can set up one account and use it system-wide, or you can set up different accounts at the item class level via SM-C, *Enter Item Classes*.

Labor Variance (expense)

In real life, however, it is rare for absorbed labor (see above) to ever exactly equal your actual direct labor. The difference represents what is called your *labor variance*. This variance amount can optionally be adjusted via a journal entry at month end. Calculate your monthly *Labor Variance* by comparing actual direct labor with your *Absorbed Labor* account and post appropriate adjusting entries to your *WIP Variance* (expense) and *Labor Variance* accounts. Labor Variance is

an expense account that is normally located adjacent to your *Cost-of-Goods-Sold* account.

Absorbed Fixed Overhead (expense)

On your income statement you would first list your fixed overhead GL accounts actually paid or accrued for the period (which will be debit balances) followed by the GL account for *Absorbed Fixed Overhead* (which will be a credit balance). Ideally, the debits and credits will cancel each other out, bring your fixed overhead expense down to zero. This zero balance means that your fixed overhead for the period was accurately absorbed 100% into your WIP inventory. You can set up one account and use it system-wide, or you can set up different accounts at the item class level via SM-C, *Enter Item Classes*.

Fixed Overhead Variance (expense)

In real life, however, you will never get your absorbed fixed overhead (see above) to ever exactly equal your actual fixed overhead. The difference represents what is called your *fixed overhead variance*. This variance amount can optionally be adjusted via a journal entry at month end. Calculate your monthly *Fixed Overhead Variance* by comparing your actual fixed overhead with your *Absorbed Fixed Overhead* account and post appropriate adjusting entries to your *WIP Variance* (expense) and *Fixed Overhead Variance* accounts. *Fixed Overhead Variance* is an expense account that normally follows the *Labor Variance* account in your *Cost-of-Goods-Sold* section. You can set up one account and use it system-wide, or you can set up different accounts at the item class level via SM-C, *Enter Item Classes*.

Absorbed Variable Overhead (expense)

Variable overhead is handled exactly the same as fixed overhead. On your income statement you would first list your variable overhead GL accounts actually paid or accrued for the period (which will be debit balances) followed by the GL account for *Absorbed Variable Overhead* (which will be a credit balance). Ideally, the debits and credits will cancel each other out, bring your variable overhead expense down to zero. This zero balance means that your variable overhead for the period was accurately absorbed 100% into your WIP inventory. You can set up one account and use it system-wide, or you can set up different accounts at the item class level via SM-C, *Enter Item Classes*.

Variable Overhead Variance (expense)

In real life, however, you will never get your absorbed variable overhead to ever exactly equal your actual variable overhead. The difference represents what is called your *variable overhead variance*. This variance amount can optionally be adjusted via a journal entry at month end. Calculate your monthly *Variable Overhead Variance* by comparing your actual variable overhead with your *Absorbed Variable Overhead* account and post appropriate adjusting entries to your *WIP Variance* (expense) and *Variable Overhead Variance* accounts. *Variable Overhead Variance* is an expense account that normally follows the *Fixed Overhead Variance* account in your *Cost-of-Goods-Sold* section.

WIP (Work-in-Process) Inventory (asset)

All costs associated with manufacturing the item get charged (debited) to this *WIP* account. When manufactured items are finished and transferred to inventory, this account gets credited and the item's inventory account gets credited. There is no need for different *WIP* accounts; we recommend setting up only one *WIP* account per company. You can set up one account and use it system-wide, or you can set up different accounts at the item class level via SM-C, *Enter Item Classes*.

WIP Variance (expense)

The *WIP Variance* account is normally located adjacent to your *Cost of Goods Sold* account. At month end adjustments will be made to this account, offset by adjustments to your *Labor Variance*, *Fixed Overhead Variance*, and *Variable Overhead Variance* accounts. This account is also posted to when work orders are closed with residual costs and when PO Invoices are entered with a price change after a work order is closed.

AD-B Checking Accounts Defaults

Manufacturing Answer 2000 - 5/23/2002

File View Window Help

Accounting GL AP AM **AD**

AD-C Checking Accounts Defaults

Default Bank Account Numbers <1-9>		AP Checks	PR Checks
AR	1	Print Form Number 1	Print Form Number 1
AP	1	Graphical Laser S/C/S	Graphical Laser
PR	1		

	Account Name	Cur	G/L	Account-Dpt	Balance	Next Check#
1	Primary Bank Account		10100	-	0.00	1
2				-	0.00	0
3				-	0.00	0
4				-	0.00	0
5				-	0.00	0
6				-	0.00	0
7				-	0.00	0
8				-	0.00	0
9				-	0.00	0

Help Save Exit

Use this program to set up the checking accounts you want to use. You can establish up to nine different checking accounts. Specific accounts will be designated as default accounts for *Accounts Receivable*, *Accounts Payable*, and *Payroll*. The default account for *Payroll* works with either *CheckMark Payroll* or the old DBA *Payroll* module (now discontinued).

Field descriptions

Default Bank Account Numbers (1-9)

You will assign a specific checking account as a default account for use by *Accounts Receivable*, *Accounts Payable*, and *Payroll*. The default account for *Payroll* works with either *CheckMark Payroll* or the old DBA *Payroll* module (now discontinued).

AR

If you are setting up this information for the first time, you should set up the

names and numbers of your cash account(s) in the lower portion of the screen. You can then type in the number (1-9) of the account that is to be used for handling deposits from *Accounts Receivable*.

AP

If you are setting up this information for the first time, you should set up the names and numbers of your cash account(s) in the lower portion of the screen. You can then type in the line number (1-9) of the account that is to be used for checks issued through *Accounts Payable*.

PR

This field is for customers using *CheckMark Payroll* or for those still using the old (discontinued) *DBA Payroll* module. If you are setting up this information for the first time, you should set up the names and numbers of your payroll account(s) in the lower portion of the screen. You can then type in the line number (1-9) of the account that is to be used for issuing payroll checks.

NOTE: All three designations above can be the same account.

AP Checks -- Print Format Number

You are offered three print format choices in a lookup window. Formats 1, 2, 4, and 5 are graphical formats for laser or continuous forms. The format identification number, which is used by UT-G, *Enter Graphical Print Settings*, is located in parenthesis to the right of the description. If you will be using text-based format 3, be sure and review appendix A, *Setting up Printing*, in the *Manufacturing User Guide* for information on setting up the correct printer driver for dot matrix printing.

PR Checks -- Print Format Number

This is for customers still using the old (discontinued) payroll module. You are offered three print format choices in a lookup window. Formats 1 and 2 are graphical formats for laser or continuous forms. The format identification number, which is used by UT-G, *Enter Graphical Print Settings*, is located in parenthesis to the right of the description. If you will be using text-based format 3, be sure and review appendix A, *Setting up Printing*, in the *Manufacturing User Guide*, for information on setting up the correct printer driver for dot matrix printing. Also, be aware that format 3, because it does not use condensed printing, is limited to 11 deductions on the printed check stub (even though DBA allows up to 22 deductions overall).

Account Name

Type in the name of the account. This can be any reference that helps identify the account. This is the description that will appear when bank accounts are presented for selection in pop-up windows throughout various programs.

GL Account-Dept

The cash GL account code for this checking account. Normally this is an asset account; however, it could be a liability account for credit card processing purposes.

Balance

The period ending balance of each bank account. This figure is automatically updated by GL-J, *Reconcile Check Register*, and should match your bank statement balance.

Next Ck #

The next available check number. This can be set to a higher number than 1 during your initial setup; after that, the number is incremented each time checks are printed.

AD-C Accounts Payable Defaults

Manufacturing Answer 2000 - 5/23/2002

File View Window Help

Accounting GL AP AM AD

AD-D Accounts Payable Defaults

Next AP Invoice Number 1 Next Recurring AP Number 1

*** Aging Periods ***

Greater Than	Period 1	Period 2	Period 3	Period 4	Period 5
	0 days	30 days	60 days	90 days	120 days

Help Save Exit

Use this program to set various defaults for the *Accounts Payable* module.

Field explanations

Next AP Invoice Number

The number to be assigned to the next AP invoice created when transferring payroll taxes and sales taxes to *Accounts Payable*.

Next Recurring AP Number

You can set up a “template” for AP vouchers that you create on a regular basis (e.g. rent or utilities) using AP-O, *Enter Recurring Vouchers*. When you create a new template for a recurring voucher, this number will automatically be assigned and then incremented for the next template.

Aging Periods (Periods 1-5)

You can establish up to five different aging periods, used when printing aging reports through AP-I, *Print Aging*. Defining these aging periods will allow you to view, sort, and print out invoices/vouchers that are over 30 days old, etc. The first

aging period should always be set to 0 days in order to include all vendor invoices. These defaults can be changed on-the-fly when printing aging reports.

12. MONTH END ACCOUNTING

Recommended month end procedures

With DBA you are not required to do anything at period end in order to begin transactions in the next period. There is no monthly “close” like there is with many accounting systems. There are, however, a set of monthly procedures that are recommended as sound accounting practices, detailed as follows.

Make a complete system backup

- Perform a complete backup of your entire system (programs and data files) and archive it in a safe place. This way you can restore your company exactly as it was should there ever be a need to do so.

Reconcile key GL balances with control report totals

A good accounting practice is to reconcile key general ledger account balances with various control report totals. This insures the accuracy and reliability of your general ledger data.

While it's a good idea to print these reports at month end, you do not have to do so. The only report that needs to be printed before making transactions in the new month is PO-I-A, *Print PO's Received not Invoiced*. The other reports can be printed after month end as of a prior date. If you run IN-F, *Print Inventory Value*, after month end, you need to run IN-N-A, *Print Month End Inventory Costing*, as a net change report and deduct the total of transactions made since month end from the IN-F total. All other reports can be printed at any time as of a prior date.

- Print the AR-F, *Print AR Aging*, report. Answer N to include Deposits. The report total should agree with your *Accounts Receivable* GL account.
- Print the IN-F, *Print Inventory Value*, report at month end before making transactions in the new month and compare value(s) to your inventory GL account(s).
- Print the PO-I-F, *Print PO's Received not Invoiced*, and PO-J-B, *Print Inventory in QC*, reports as of the month end date. The total of the two reports should agree with your *PO's Received not Invoiced* GL account.
- Run the JC-M, *Print WIP Summary* twice. First, run it for status R and F (released and firm) work orders for a date range of 00/00/00 through the month end date. Next, run it for status C and X (closed and canceled) work orders for the same date range but limit to Actual Finish Date from the day after month end through today to include costs in work orders that are closed or canceled now but were open and potentially had net costs as of the month end date. The report total should agree with the balance in your *WIP* GL account.
- Print the AP-I, *Print AP Aging*, report. The report total should agree with

your *Accounts Payable* GL account.

- Run GL-I, *Print Check Register* through the month end date. The report totals should agree with the GL account balances for each of your checking accounts.

Perform typical month end activities

The following activities are typically performed at month end.

- Charge interest on past due invoices, if applicable (AR-D, *Charge Interest on Invoices*).
- Print and mail customer statements (AR-E, *Print Statements*).
- Generate recurring and/or reversing monthly journal entries, if applicable (GL-B, *Enter/Post General Journal Trxns*) and post them to the general ledger (GL-O, *Print/Post General Ledger Batches*).
- Generate recurring monthly sales orders, if applicable (SO-J, *Generate Recurring Sales Orders*) and print and post invoices (SO-F, *Print Invoices*, and SO-G, *Post Invoices*).
- Generate recurring monthly AP vouchers, if applicable (AP-P, *Generate Recurring AP Vouchers*).
- Transfer sales taxes due to accounts payable (AR-L, *Transfer Sales Taxes*).
- Transfer sales commissions due to accounts payable (CS-D, *Transfer Sales Commissions*) and manually transfer commissions to be paid through payroll to *CheckMark Payroll* from the *Transfer Sales Commissions* report.
- Run LM-D, *Reconcile Inventory On-Hand*, to insure accuracy of stock status fields.
- Run UT-K-D, *Recalculate Book Value*, and make a journal entry for change posted to the inventory book value.
- Make journal entries for any month end adjustments such as depreciation (GL-B, *Enter/Post General Journal Trxns*) and post them to the general ledger (GL-O, *Print/Post General Ledger Batches*).
- Optionally purge the following files: paid AP vouchers (AM-P-B), paid AR vouchers (AM-P-C), closed sales orders (AM-P-D), closed purchase orders (LM-F).
- Reconcile the check register with your bank statement (GL-J, *Reconcile Check Register*).

Make month end manufacturing adjustments

To complete your month end manufacturing accounting, three variances should be evaluated to review the accuracy of labor and overhead rates. Journal entries reflecting these variances are entered through GL-B, *Enter/Post General Journal*

Trxns, and are posted to the general ledger via GL-O, *Print/Post General Ledger Batches*.

- Calculate your monthly *Labor Variance* by comparing actual direct labor with your *Absorbed Labor* account and post appropriate adjusting entries to your *WIP Variance* (expense – adjacent to *Cost-of-Goods-Sold* account) and *Labor Variance* (expense – adjacent to *Cost-of-Goods-Sold* account) GL accounts.
- Calculate your monthly *Fixed Overhead Variance* by comparing your actual fixed overhead with your *Absorbed Fixed Overhead* account and post appropriate adjusting entries to your *WIP Variance* (expense – adjacent to *Cost-of-Goods-Sold* account) and *Fixed Overhead Variance* (expense – following *Labor Variance* account in *Cost-of-Goods-Sold* section) GL accounts.
- Calculate your monthly *Variable Overhead Variance* by comparing your actual variable overhead with your *Absorbed Variable Overhead* account and post appropriate adjusting entries to your *WIP Variance* (expense – adjacent to *Cost-of-Goods-Sold* account) and *Variable Overhead Variance* (expense – following *Fixed Overhead Variance* account in *Cost-of-Goods-Sold* section) GL accounts.

If you manually post manufacturing transactions

If you manually post your manufacturing transactions, you must make the following entries at period end. If you are using automatic posting of manufacturing transactions, you can skip this section.

- You will make an entry to reflect all adjustments made to inventory during the period. This requires a debit/credit entry to your *Inventory* account and a debit/credit entry to your *Cost of Goods Sold* account. For a supporting detail report, use IN-N-A, *Print Month End Inventory Accounting*.
- You will make an entry to reflect all purchases received to inventory or to QC inspection during the period. This requires a debit entry to your *Inventory* account and a credit entry to your *Purchases Received not Invoiced* account. For a supporting detail report, use IN-N-A, *Print Month End Inventory Accounting*.
- You will make an entry to reflect all finished production received into stock during the period. This requires a debit entry to your *Inventory* account and a credit entry to your *WIP* account. For a supporting detail report, use IN-N-A, *Print Month End Inventory Accounting*.
- You will make an entry to reflect all material issues made from inventory to work orders during the period. This requires a debit entry to your *WIP* account and a credit entry to your *Inventory* account. For a supporting detail report, use IN-N-A, *Print Month End Inventory Accounting*.
- You will make an entry to reflect all shipments made to customers during the period. This requires a debit entry to your *Cost of Goods Sold* account and a

- credit entry to your *Inventory* account. For a supporting detail report, use IN-N-A, *Print Month End Inventory Accounting*.
- You will make an entry to reflect all purchases (including service orders) received directly to work orders. This requires a debit entry to your *WIP* account and a credit entry to your *Purchases Received not Invoiced* account. For a supporting detail report, use IN-N-A, *Print Month End Inventory Accounting*.
 - You will make an entry to reflect all price changes made in AP-C, *Enter PO Invoices*. This requires a debit or credit entry to your *WIP* and *Inventory* accounts and an offsetting entry to your *Purchases Received not Invoiced* account. For a supporting detail report, use IN-N-A, *Print Month End Inventory Accounting*.
 - You will make an entry to reflect all labor reported to work orders during the period. This requires a debit entry to your *WIP* account and a credit entry to your *Absorbed Labor* account. For a supporting detail report on *Routings* based transactions, use JC-C, *Print Labor Transactions*. For a listing of Labor part number transactions, use LW-J-C, *Print Material/Labor Transactions*. The cost on the report will be the total cost; the breakdown between labor and overhead needs to be calculated based on the standard cost of the L type parts.
 - You will make an entry to reflect all fixed overhead reported to work orders during the period. This requires a debit entry to your *WIP* account and a credit entry to your *Absorbed Fixed Overhead* account. For a supporting detail report on *Routings* based transactions, use JC-D, *Print Overhead Transactions*. For a supporting detail report on Labor part numbers, use LW-J-C, *Print Material/Labor Transactions*. The cost on the report will be the total cost; the breakdown between labor and overhead needs to be calculated based on the standard cost of the L type parts.
 - You will make an entry to reflect all variable overhead reported to work orders during the period. This requires a debit entry to your *WIP* account and a credit entry to your *Absorbed Variable Overhead* account. For a supporting detail report on *Routings* based transactions, use JC-D, *Print Overhead Transactions*. For a supporting detail report on Labor part numbers, use LW-J-C, *Print Material/Labor Transactions*. The cost on the report will be the total cost; the breakdown between labor and overhead needs to be calculated based on the standard cost of the L type parts.
 - You will make an entry to reflect any extra costs reported to work orders during the period. This requires a debit entry to your *WIP* account and a credit entry to your *Absorbed Extra Costs* account.
 - You will make an entry to reflect any miscellaneous costs reported to work orders during the period. This requires a debit entry to your *WIP* account and a credit entry to your *Absorbed Extra Costs* account.

Set GL close date and print financial statements

- Reset the *General Ledger Close Date*, if desired (AM-A).
- Print financial statements (GL-F, *Print Financial Statements*, or GL-N, *Print Custom Statements*).

13. IMPORTANT TIMES

The guidelines presented in this section are procedures that you should be performing on a regular cycle to maintain your DBA system.

These checklists are broken down into daily, weekly, monthly, quarterly, and year-end procedures. Although some of the items will not apply to every company, there are many items that apply to all companies. For example, the importance of backing up your data files cannot be overstated.

Things to do daily

Some of the following activities are performed every day or less often, depending on volume of activity. Planning activities, for example, might be performed once or twice a week.

- Back up your data files (*.B*); preferably a full backup. Remember, companies other than the default company are located in separate folders (subdirectories), so be sure your backup includes all folders underneath your DBAMFG folder.
- Run GL-O, *Print/Post General Ledger Batches*, daily. Running this program daily makes it much easier to review and make any needed corrections than to let them build over the course of a week or a month.
- Review *Detailed Trial Balance* (GL-E) and/or journals (GL-D) to verify posting accuracy and balancing of debits and credits.
- Process the following as needed: sales orders, work orders, purchase orders, receivables, payables.
- Perform the following planning activities as needed: scheduling, material requirements, forecasting.
- Update the following as needed: inventory management, product specifications.

Things to do monthly

For more detail on recommended month end procedures, see chapter 18, *Month End Accounting*.

Perform a complete backup of programs and data (*.*) ; archive in a safe place.

- Print AR-F, *Print Aging*, saying N to Include Deposits (AR-F). The report total should agree with your *Accounts Receivable* GL account.
- Print AP-I, *Print Aging*, in *Accounts Payable*. The report total should agree with your *Accounts Payable* GL account.
- Run IN-F, *Print Inventory Value*, at month end before making transactions in the new month and compare value to your inventory GL accounts; adjust through journal entry if necessary (GL-B).
- Run PO-I-F, *Print Received not Invoiced*. The report total should agree with your *PO's Received not Invoiced* GL account.
- Run GL-I, *Print Check Register*. The report totals should agree with the GL account balances for each of your checking accounts.
- Run JC-M or LW-J-H, *Print WIP Summary*. The report total should agree with the balance in your WIP GL account.
- Charge interest on invoices, if applicable (AR-D).
- Print and mail statements (AR-E).
- Generate recurring or reversing monthly journal entries, if applicable (GL-B).
- Generate recurring monthly invoices, if applicable (SO-K).
- Generate recurring monthly AP vouchers, if applicable (AP-P).
- Transfer sales taxes due to *Accounts Payable* (AR-L).
- Transfer sales commissions due to *Payroll* and *Accounts Payable* (CS-D).
- Run LM-D, *Reconcile Inventory On-Hand*, to insure accuracy of stock status fields.
- Run UT-K-D, *Reconcile Book Value*, and make a journal entry for any change posted to the inventory book value.
- Make journal entries (GL-B) for the following adjustments: labor variance, fixed overhead variance, variable overhead variance.
- Make journal entries for any month end adjustments such as depreciation (GL-B).
- Optionally purge the following files: paid vouchers (AM-P-B), customer payments (AM-P-C), closed sales orders (AM-P-D), closed purchase orders (LM-F).

- Reset *General Ledger Close Date*, if desired (AM-A).
- Reconcile the check register with your bank statement (GL-J).
- Print financial statements (GL-F, GL-N).

Thins to do at year end

Calendar year end

- Make a full backup of all programs and files and archive it in a safe place.
- Print 1099's sometime after year-end, usually in early January, for any vendors who should receive a 1099 form.

Fiscal year end

- Make a full backup of all programs and files and archive it in a safe place.
- Run AM-B, *Fiscal Year End Routine*, usually on the first day of your new fiscal year.

Index

absorbed fixed overhead GL account.....	29, 141
absorbed freight in GL account.....	28, 139
absorbed labor GL account.....	29, 140
absorbed variable overhead GL account.....	30, 141
accounting	
absorbing labor and overhead into inventory.....	11
accrued liability for PO's received not invoiced...	14
batch transfer to the general ledger.....	9
consolidating general ledger detail.....	14
departmental accounting.....	8
direct labor.....	11
even job shops are inventory-driven.....	10
fiscal year end procedure.....	17
fixed overhead.....	11
general ledger is the foundation.....	7
GL supporting files and backup reports.....	8
how labor and overhead rates are established.....	12
how payables are derived.....	15
how the accounting systgem works.....	7
inventory and WIP-driven system.....	9
multiple company system.....	17
open system with no period end or yearly closes.....	15
optionally posting manufacturing transactions with journal entries.....	13
period end control reports.....	16
period end manufacturing adjustments.....	16
period end procedures.....	16
product classes control inventory GL posting.....	10
variable overhead.....	12
accounting defaults	
accounts payable defaults.....	146
checking accounts defaults.....	143
general ledger defaults.....	136
accounting maintenance	
consolidate financials.....	133
enter general ledger accounts.....	113
enter general ledger departments.....	115
format custom financial statements.....	123
format standard financial statements.....	117
month end routines.....	112
accounts payable	
flow chart.....	65
how derived from purchase orders and AP vouchers.....	15
overview.....	64
print vouchers/invoices to pay.....	68
reconciling vendor invoices with purchase orders	66
scheduling vendor payments.....	68, 69
selecting items for payment by vendor.....	69
Accounts Payable defaults.....	31
accounts payable GL account.....	26, 138
accounts receivable GL account.....	26, 138
agents commission expense GL account.....	27, 139
agents commission payable GL account.....	27, 139
AP checks	
print format number.....	144
AR customer deposits GL account.....	27, 138
AR discounts taken GL account.....	26, 138
AR interest charged GL account.....	26, 138
balance sheet, entering.....	119
batch posting.....	44
beginning balances.....	33
cash flow statement, entering.....	120
checking accounts	
flow chart.....	59
NSF checks.....	60
reconciling.....	60
checking accounts defaults.....	31, 143
checklist	
implementing the base system.....	38
checkmark payroll	
import employee checks.....	81
import employer vouchers.....	82
payroll link setup.....	78
CheckMark Payroll	
run81	
CheckMark payroll link module.....	75
clearing account.....	26, 137
commissions	
paying through CheckMark Payroll.....	77
consolidate financials.....	133
cost-of-goods-sold	
how to show on income statement.....	49
cost-of-goods-sold GL account.....	28, 139
current earnings.....	53
current earnings GL account.....	26, 137
DBA	
how the accounting systgem works.....	7
how to get started.....	21
implementing the base system.....	23
multiple company system.....	17
departmental accounting.....	8, 47
departments	
departmentalizing AP vouchers.....	48
departmentalizing direct labor.....	48
departmentalizing purchases.....	48
normally used for income and expense accounts.....	47
tracking sales by.....	48
using for sales and COGS.....	49
direct labor.....	11
departmentalizing.....	48
enter general ledger accounts.....	113
exchange rates.....	102
excise tax.....	90
extra costs GL account.....	28, 140
financial statement formats.....	31
financial statements	
balance sheet, entering.....	119
consolidate financials.....	133
entering.....	117
income statement, entering.....	118
statement of changes in financial position.....	120
financial statements, custom	
balance sheet format.....	129
income statement format.....	130
trial balance format.....	127
fiscal year	

changing your	52	numbers	36
fiscal year date	136	important times	155
fiscal year end procedure	17, 52	calendar year end	157
fixed overhead	11	things to do daily	155
fixed overhead variance GL account	29, 141	things to do monthly	156
flow chart		income statement	
accounting system	19	how to show sales and COGS on	49
accounts payable	65	income statement, entering	118
checking accounts	59	international module	
general ledger	46	configuration	90
payroll link	80	sales and purchase tax processing	86
follow-ups		inventory GL account	28, 139
by vendor	71	job costing	
freight		exporting job cost hours to CheckMark	77
charging to work orders	67	job shops	
general ledger		even job shops are inventory-driven	10
consolidating detail	14	journal entries	
consolidating financial statements for multiple		next general journal number	136
companies	56	labor	
consolidating manufacturing detail	55	absorbing into inventory	11
departmental accounting	47	labor rates	
file structure	8, 43	how they are established	12
fiscal year end procedure	52	labor variance GL account	29, 140
flow chart	46	landed cost defaults	104
foundation of the accounting system	7	landed cost customs fees	107
GL close date	50	landed cost duty codes	105
how batch posting works	44	landed cost processing	86
how DBA handles current and retained earnings	53	manufacturing	
how to show sales and COGS on income statement		posting GL transactions	55
.....	49	MCSTART multi-currency startup program	88
optionally posting manufacturing transactions with		miscellaneous costs GL account	29, 140
journal entries	13	month end accounting	
overview	42	control reports	149
post mfg transactions manually or automatically	55	manufacturing adjustments	150
supporting files and backup reports	8	recommended procedures	149
general ledger account codes	25	typical month end activities	150
general ledger accounts		month end routines	112
enter	113	multi-currency processing	85
general ledger close date	50	multi-currency processing chart	100
General Ledger defaults	31	multiple companies	
general ledger departments	115	consolidate financial statements	56
GL close date	50, 153	multiple currencies	
history notes		enter	92
by vendor	71	multiple currency	
implementation <i>See implementing the base system</i>		exchange rates	102
ask our help	22	multiple currency startup	88
consider implementing manufacturing first	21	non-taxable sales GL account	27, 138
follow the checklists	22	NSF checks	60
how to get started	21	overhead	
necessary to run in parallel?	22	absorbing into inventory	11
study the manual first	21	overhead rates	
implementing the base system	23	how they are established	12
checklist	38	payroll checks	
phase 1 - system orientation	24	print format number	144
phase 2 - develop numbering schemes	25	payroll link	
phase 3 - enter GL chart of accounts	25	exporting job cost hours to CheckMark	77
phase 4 - enter master files	31	flow chart	80
phase 5 - enter module defaults	31	setting up employees	76
phase 6 - train personnel to use the programs	32	setting up GL accounts	76
phase 7 - enter beginning balances and open orders		setting up vendors	76
.....	33	payroll link overview	75
phase 8 - start using the system and check the		period end	

control reports.....	51	SO retention GL account.....	27, 139
manufacturing adjustments.....	16, 50	SO sales tax withheld GL account.....	27, 138
ontrol reports.....	16	statement of changes in financial position, entering	120
other procedures	51	taxable sales GL account.....	27, 138
what to do at	50	tax-in codes	109
PO freight expense GL account	28, 140	things to do monthly.....	156
PO tax expense GL account	28, 140	variable overhead	12
PO's received not invoiced GL account	28, 139	variable overhead variance GL account	30, 141
posting manufacturing transactions		vendor invoices	
post mfg transactions manually or automatically.	55	reconciling with purchase orders.....	66
product classes		vendors	
how they control GL inventory posting	10	scheduling payments.....	68
purchase orders		scheduling vendor payments	69
accrued liability for PO's received not invoiced...	14	selecting items for payment.....	69
purchases		setting up for payroll link.....	76
departmentalizing	48	using history notes and follow-ups.....	71
reconciling checking accounts	60	vouchers	
retained earnings	53	departmentalizing AP vouchers	48
retained earnings GL account.....	26, 137	WIP inventory GL account.....	30, 142
sales		WIP variance GL account	30, 142
how to show on income statement.....	49	year end	157
SO invoice freight out GL account	27, 138	fiscal year end routine.....	112